Greaves Cotton (GREAVESCOT)

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GREAVES

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19th May, 2023

The Manager - Listing The Manager – Listing
BSE Limited National Stock Exchange of India Limited
BSE Code - 501455 NSE Code - GREAVESCOT

Dear Sir/Madam,

Sub: Transcript of the quarterly earnings call for the quarter and year ended 31st March, 2023

In furtherance to our intimations dated 8th May, 2023, please find enclosed herewith the Transcript of the Q4 FY 23 earnings call for the quarter and year ended 31st March, 2023.The transcript is also available on the Company's website at www.greavescotton.com .

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Greaves Cotton Limited

Atindra Basu
General Counsel & Company Secretary

Encl.: a/a

Greaves Cotton Limited

Q4 FY23 Earnings Conference Call

May 15, 2023

Management Representatives:
Nagesh Basavanhalli – Non-Executive Vice Chairman, GCL
Dr. Arup Basu – Managing Director, GCL
Dalpat Jain – Group CFO, GCL
Sanjay Behl – CEO and ED, GEMPL
Narasimha Jayakumar – CEO, Greaves retails
Akhila Balachander – CFO, GCL

Moderator: Ladies and gentlemen, good day and welcome to Greaves Cotton Limited Q4 FY23 Earnings Conference call. From the management team, we have with us Mr. Nagesh Basavanhalli - Vice Chairman, Mr. Dalpat Jain – Group CFO, Dr. Arup Basu - Managing Director, Greaves Cotton, Mr. Sanjay Behl - CEO and Executive Director, GEMPL, Mr. Narasimha Jayakumar – CEO, Retail and Ms. Akhila Balachander – Group CFO.

As a reminder, all participant lines will be in the listen-only mode, and you will be able to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nagesh Basavanhalli. Thank you, and over to you, sir.

Nagesh Basavanhalli: Good morning, everybody. Greetings and a warm welcome to the Q4 and full-year FY23 Earnings Call for Greaves Cotton Limited. I trust everybody is doing well and in good health. My gratitude to all of you for being present on this call today. FY23 has been a good year for the Company in terms of both operational and financial performance. Greaves Cotton has experienced success and growth throughout the year, marked by significant milestones, strategic collaborations and our enormous strength significantly increased by adding substantial talent over the year. During the quarter, Greaves Cotton has recorded a stellar performance with the highest quarterly earning revenue reflecting our commitment to sustainable growth. The consistent improvement in profitability across our whole business units, be it the components of the Engines division or the Electric Mobility or Retail, is also evidence as part of our strategic vision and dedication through innovation. Very quick highlight, Greaves Cotton got into a definitive agreement in the last quarter for the multi-tranche acquisition of Excel Controlinkage Private Limited. Greaves Cotton acquired a 60% stake in the Company in the first tranche. This acquisition strengthens Greaves Cotton's position in the industry and the portfolio offerings were all shared in the pretax reading material sent out. We are happy to take any questions on that at a later point.

Our transformation, the journey that started several years ago in terms of moving from a B2B to a B2B plus B2C and getting closer to the consumer, has be

en driven primarily due to the
strength of our main verticals, our Greaves Engineering, Greaves Retail and Electric Mobility. Now ,B2C businesses contribute to almost 66% of the revenue. Coming to Electric Mobility, the Ampere 2-wheeler registered over 100,000 retail sales in FY23. It partnered with Royal Challengers Bangalore as an Official EV partner for the ongoing IPL T20 season. We also unveiled six new 2-wheeler and 3-wheeler products at the Auto Expo in New Delhi in January. This caters to the diverse consumer segments of the different price points of the ever-growing 2-wheeler, 3-wheeler needs, which form more than 80% of the Indian population of vehicles in the last mile segment. Greaves Retail is a leading distribution and retail business in India. It

specializes in last mile transportation and the life cycle spanning over 2-wheeler, 3-wheeler, Electric and conventional vehicles as well as low-end commercial vehicles and this is into multi-brand spares, multi-brand service and multi-brand sales.

From an overall perspective, when you take a step back, we thank our talented team, which has been strengthened significantly over the last 18 months. The consistent improvement in profitability across the various divisions is also a reflection of that. We remain steadfast in our mission to build new competencies in this era of disruption and accelerate our movement in terms of being a full stack mobility and a sustainable last mile transportation solutions provider with that overview, let me hand it over to Mr. Dalpat Jain.

Dalpat Jain: Thank you Nagesh. Good morning everyone. To add to what Nagesh mentioned and put it in terms of numbers, during Q4 FY23, the Company had the highest consolidated revenue of Rs. 827 crores, which was 33% higher than the same quarter of the previous year. It had a profit before tax of Rs. 56 crores. The good part is Company's financial ratios are strong and the business ROCE is at the highest level. We had a standalone ROCE of 35% and consolidated ROCE of 18% for the full financial year FY23. If you look at only Q4 FY23, consolidated ROCE was more than 30%, cash conversion ratio of the Company was more than 90% and that augurs very well in terms of Working Capital management. In terms of the Balance Sheet strength, the Company had consolidated net cash of Rs. 1,142 crores, which can be used for further expansion as we go forward.

If I add Excel's revenue of Q4 FY23 and see on a proforma basis, the Company's consolidated revenue for Q4 FY23 would have been close to Rs. 880 crores which is an annual run rate of close to Rs. 3,500 crores, so overall good profitable quarter. Standalone margins have come back to double digit, and we expect as we go forward, the industry will continue to remain in strong position and the diversification that the group has undertaken will help us in having consolidated revenues at a stronger position. With that, Nirav, we can open up the floor for question and answer.

Moderator: Thank you very much. The first question is from line of Ashin from Equirus. Please go ahead.

Ashin: My questions are on the E-Mobility business, so we reported the highest ever volumes during the quarter. Despite that the margins continue to remain subdued because of the lower gross margin and higher employee cost, so could you please reflect on that?

Dalpat Jain: You have rightly observed, if you look at our overall volumes have been the highest ever, the revenues are at Rs. 383 crores of a quarterly run rate, but at the same time, the Company has been set up for far higher revenues and the volumes as we go, because the industry is going to see huge penetration in favour of Electric and that is where the management team has further been strengthened. We have filled in key positions at the senior level plus the overall headcount reached more than 500, so that is wha

t has led to the employee cost being higher.

In terms of the gross margin, some of the changes made to bring in AIS 156 related compliances, that price has not been fully passed on to the consumer and that impacted margin, gross margins marginally. But mainly it is the fixed overheads which have been built for a much higher scale as we go in future.

Ashin: My next question is on the subsidy front, where are we on and as on March 2023? How much subsidy is left and now there is news that few players are in the final stages of approval, so where are we on that?

Sanjay Behl: As you are aware, the Ministry of Heavy Industries is reviewing FAME-2 compliance for most EV players, including the Greaves Electric Mobility. We understand that the review is still ongoing and partly completed, but it is still ongoing and we are currently fully cooperating with NHAI and all the authorized agencies appointed by them and we are awaiting any further communication from them. Just want you to note that while this is ongoing inquiry that we are one of the first few EV players to receive the CMVR and ARAI certification, even for the AIS Phase-II, which started on April 1, (Inaudible 10:34) compliance for all the top vehicle models. Every single model is cleared for AIS Phase-II (Inaudible 10.36) based communication.

Ashin: Any word on the remaining subsidy which is there? The subsidy amount receivable for us?

Dalpat Jain: Net receivable in the consolidated financials is close to Rs. 350 crores as of March 31.

Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital. Please go ahead.

Jyoti Singh: Congratulations on the excellent set of numbers. My question is on the E-Mobility side. In this quarter we have performed very well, so what are expectation going forward ? You can comment on the margin front and also on the top line front, what we are expecting going forward?

Sanjay Behl: Thank you very much for recommending the results we have had in Q4. I think while the forward-looking statements we will not make because they are still speculative, overall just to reflect on the last 12 months where the industry has close to tripled in size, as you know, I am talking about electric 2-Wheelers which went from about 253,000 to about 727,000 now, if this rate of growth continues, Ampere is the 3rd largest selling electric vehicle in the country today, and in fact it has inched up to number 2, so there is every reason to believe that we will be in a significant leading position in this fast growing market . Electric 3-wheeler also, we have seen both in e-Rickshaw and in the L5 segment, the contribution of electric vehicles in the overall pie is continuing to grow very rapidly. Last year, if you see, more than half a million electric vehicles which are almost 700,000 electric 3-Wheelers got sold and if this again growth continues with our addressability in both segments, L3 and L5, we can see now a big growth coming.

Jyoti Singh: Okey, thank you sir.
Moderator: Thank you. The next question is from the line of Amyn Pirani from J.P. Morgan. Please go ahead.
Amyn Pirani: First question is just the clarification, if I look at your financial snapshot, then there is still a small negative gap between standalone and consolidated EBITDA and PBT, but when I look at your business division wise disclosures, all of them seem to be in the green, including the E-Mobility, which has a small PBT profit, so just some clarification as to why is console still lower than standalone?
Dalpat Jain: Amyn, good question, 2 companies Greaves Finance and Greaves Technology are our new businesses, and the difference is basically the margin revenue and the PBT of those 2 entities.
Amyn Pirani: And the on the E-Mobility side, you know it is quite commend

able that you are already back to
after having a difficult Q3, in Q4 you are already back to PBT, which is all the positive, but when I look at your launches, so when we look at your upcoming E2-Wheelers as well as the E3-Wheelers, I am guessing that the realizations for these will be higher because they have more features and they are new vehicle, but how should we think of gross margins? So, compared to how it has been for you in the last 1 or 2 quarters? As these volumes go up, realization could go up, but would it be positive from the start for margins, or could there be a period where margins could be negative on these new products and then start to improve?
Nagesh Basavanhalli: If you look at the Greaves Cotton philosophy and how we have done business in terms of frugal approach over the last couple of years and looking at the contribution margin, looking at how we run our business, how we introduce products, how we have brought in the plans and at what level we have automated or capitalized the products, meaning we spend the CAPEX where it is needed in terms of both the design and the process areas. Some of you have visited our plants, so I think that tells you a little ,story of how Greaves Electric Mobility and Greaves Cotton runs its business. So, I will leave you with that overarching stuff, so whatever we do, we look at overall and road map to profitability, overarching view.
Sanjay Behl: Ampere has traditionally been operating in a competitive market, but always has had cost leadership as one of the very strong philosophies driving our products there. Now, while the point about the two new products will increase, the realization is right it also needs to be understood that both these products are 100% designed in-house, engineered in-house, manufactured in-house and with the scale efficiency is now building in, in terms of sourcing, localization and c olocation of some suppliers, I have every reason to believe that margins are only going to be accretive in the overall portfolio as we go forward.
Amyn Pirani: That is helpful. As we move into these categories now, these categories are areas where there are some other companies which are already operating and selling decent volumes as well, and

they seem to still struggle with hitting even EBITDA profitability now obviously you mentioned the things that you mentioned about cost leadership as well as efficiency and in-house design, what I was trying to get that is this segment inherently high on cost because the BOM cost can be high because the kind of features that you have to put in is high? Or is it just temporary, and gross margins on this category eventually should be better than your existing category? If you can give some understanding on that?
Sanjay Behl: Traditionally, you are right. In stable, matured, reasonably penetrated markets, the high yield products with more features typically get higher gross margins, so that is the logical kind of continuum you will see as the market matures. Now, initially, there could be multiple reasons why the margins can get challenged a little bit in terms of trying to pass on incentives to get higher adoption rate for electric vehicles, there could be some higher level of cash burn overall in the industry and all that stuff, so, but those are very temporary phenomena. Inherently if you see the gross margin profile, I think it will be as good, if not better than the belly of the market as you move up the value ladder because the customer is ready to pay more premium. So, I would not go with immediately what is happening in the competitive context, but I would look at a 12 to 24 month horizon on this one and I feel confident that there could be reasonably strong double digit gross margins coming in for these products.
Moderator: Thank you. Next question is from the line of Gunjan from Bank of America.

Please go ahead.
Gunjan: Just couple of clarifications, I mean you usually used to give this EBITDA margin on E-Mobility which you seem to have disclosed on PBT level this time, I am just trying to understand is there some treasury income because we raised funds there? And if you could just give us operating EBITDA? I mean EBITDA margin this quarter, which was, if I remember, Q2 was around 2-3% levels, Q3 was loss making, so where are we now?
Dalpat Jain: At EBITDA level, we are breaking even, so we are at the marginal profit, I would say 1% kind of margin in E-Mobility and because those numbers are available as a consolidated minus

standalone, we disclosed at the PBT level and PBT, while it has a bit of treasury income, it is mainly the operating PBT that we have disclosed.
Gunjan: What is the contribution margin of the business right now and in the E-Mobility?
Dalpat Jain: Same close to around 20 to 22%.
Gunjan: On the AIS Phase-II, could you just share the cost? I mean AIS Phase-I, I remember which was done at some Rs. 3,000 to 4,000 crores, what is the incremental cost we have to incur on the AIS Phase-II? And has that been taken through price hikes, absorbed through price hikes? And maybe then I will take on the extension of this question later?

Sanjay Behl: From AIS Phase-II, the cost increment is almost in the same ballpark of AIS Phase-I because there is some amount of additional layering you need to do in terms of thermal coating, you need to IP67 ingress, so it is almost in the same ballpark. Now what we as the Greaves, have done is we have taken a price increase on April 1 in our flagship product Magnus and that takes care of most of the increase is being passed on to the kind of hopefully the customer. It is met up with a good response in fact, we continue to do very good secondary after the price increase and even in the April and even continuing in May. So, that has been taken, which is playing into the products already. Most of it has got covered.
Gunjan: So, since December, we would have taken almost 7,000 to 8,000 sort of price increases on the key models?
Sanjay Behl: We have taken Rs. 4,000 that time.
Moderator: Thank you. The next question is from the line of Amish Kanani from JM Financials. Please go ahead.
Amish Kanani: Congrats on a good set of numbers. Sir, two questions, if you can give us some sense of secondary versus primary sales trend in Q4 and say first couple of months of this quarter and also if you can provide us with some sense of our pricing strategy you did say we had taken some price hike, but market share versus pricing strategy, how are we looking at that and how is the competitive intensity of the industry in that context?
Sanjay Behl: Overall, if you see in the quarter, we did about close to 14,000 Ampere and if I take only 2-Wheelers there, we did that level of numbers in terms of our primary, but the secondary was actually very good 13,300 was the total secondary number. So almost the entire thing we put in primary actually, I am talking about March month if you take the overall quarter that was close to about 36,000 primary and about 33,000 to 34,000 secondary, so some part went into channel because when we opened the quarter the channel was a little low in terms of stock given AIS Phase-I switchover. So, 90% of the primary went into secondary and even the registrations as you know continued to grow up from about 4,500 in January, we almost touched 10,000 registrations in the quarter in the exit month of March. In April, in fact, we improved it further and we have crossed 13% market share we are the number 2 electric scooter in registrations in April. So, that is the first part regarding primary and secondary correlation. Now go ahead with the next part of your question, please.
Amish Kanani: How are we looking at our pricing strategy work in ma

rket share and how is the competitive
intensity? How is the sale I don't want to name but say Tier-I players who have their own offerings and also the new players who are very aggressive in the marketplace. How are you looking at our pricing strategy and our market share versus there's? How would we typically, I don't want you to give me the marketing strategy in a sense, but what will we prioritize market share versus pricing versus market, our margins?

Sanjay Behl: We prioritize the profitable growth and whatever trade-off we have to make, we will have to really keep that as the right present there, but coming specifically to pricing strategy, look, unlike a lot of competitors you talked about whichever Tier-I, Tier-II, Tier-III, we have a very clearly spelt out strategy to democratize electric mobility in the country on the back of 2-Wheelers and 3-Wheelers. Now why I am taking you back to this is that we will have products in each of the customer segments and not a few price point segments that you operate in, so we will have a mass marketplace, we will operate in the value segment, we will perform in the mass segment, we will operate in the premium segment in the price ladder and we will operate in every use case segment there. Currently, if you see we have 4 products, this will clarify your pricing strategy. Our entry product is Zeal EX, which talks to a particular millennial kind of customer who has a typical use case of about 70 to 80 kilometerskilometres, a run over 2 or 3 days and at about a 40 to 50 kilometer kind of a speed. Then there is Magnus EX which is the flagship, which is a different price point completely. Then there is Zeal CA which caters to the fleet mobility where it is a very different kind of an offering in terms of price bundles that we make along with service to some of the lead fleet mobility players and then there is Primus,

which is priced at Rs. 110,000, so our range really starts from Rs. 70,000 and goes up to a Rs. 110,000 with about 10,000 gaps at every price. So, our market share really is going to be share of the segment and that totals up to the total market share of the Company rather than trying to compete on price with one or the other player in the market that is going to be our strategy.
Nagesh Basavanhalli: And if I can add Sanjay, this is a good question, we have always believed in our strategy of playing in the belly of the market. We started with where the price volume relationship was Rs. 80,000 to Rs. 100,000, now to Sanjay's point, we are moving more towards the left. We are also moving towards the right and with products like the Primus, which was launched and the product like NX, the Next Generation that was introduced in the Auto Expo, which is yet to be launched, you will see our expansion both to the left, but specifically, going after the different customer and different market segmentations, looking at what those customer needs are, what those unmet needs are and how can we satisfy. So, I think it is a much more broad-based strategy than just a pricing or one-off strategy and that is where I want everybody to keep that in mind.
Moderator: Thank you. The next question is from the line of Saurabh from Sunidhi. Please go ahead.
Saurabh: I just needed a volume number for non-auto products which include genset and light equipment for the quarter this time it is missing in this quarter’s presentation?
Dalpat Jain: The engine number that we have over there gives the total engines for the non-auto small engines at the industrial part. Farm equipment is something which we have not included considering the overall pivot at the total non-auto level. Farm equipment would be a similar number that we had in the same quarter of last year.
Saurabh: That was 12,002, right?

Dalpat Jain: Yes, so it wil

l be close to around that between the farm equipment and the power genset, so that is the similar number that we have.
Saurabh: So, now onwards this won't be given separately, right?
Dalpat Jain: The idea is that now we have 3 businesses, Engineering, Retail and Electric and then there are 2 new businesses which are to create and empower overall mobility segment. Within engineering, we are going to have auto and non-auto as the 2 disclosures for auto purpose not industrial purpose. That is how things are going to be as you go forward.
Nagesh Basavanhalli: I think with the evolution of the Company, Greaves Engineering now has engines, they also have other end equipment, which is to your point, the gensets or some of the other application engineer end products. More importantly, with the Excel acquisition, they have all the other areas like levers, push pull cables, sensors, etc., and more importantly, so this is if I can look at it is the component part of the business and this component part of the business and we included some of the exact components in the presentation, it caters to some of the small and light commercial vehicles, it also goes up to the heavy truck and the bus industry. So, when you look at the play, the play has expanded. So, now hence from a bigger picture, you are going to start seeing us speak about the Greaves Engineering, which is more component based and which is more in these several areas and they are primarily between auto and non-auto and then of course, the other 2 verticals are basically electric mobility, which is a 2-Wheeler, 3-Wheeler and vehicle player and Retail which is also we have separated it out to bring in more clarity a post purchase solution where we sell multi brands spares, multi brand service and multi brand sales of several different electric vehicles. So, when you look at it from a value chain extraction, you have the Company in the component space, you have the Company in vehicle space, you have the Company in post purchase solutions, so from an end-to-end lifecycle management, right, that is the big picture.
Saurabh: What would be the capacity utilization in this quarter for engines division roughly? And how is the trend looking for the next 2 to 3 years?
Nagesh Basavanhalli: If you can see, the engine volumes have gone up.
Dr. Arup Basu: Our capacity utilization is hovering around the 60-odd percent range, and we have done about 180,000 plus engines with our portfolio using our manufacturing facilities around both engines and motors, etc., we see a healthy line going forward.
Moderator: Thank you. The next question is from the line Rushabh Shah from Emkay Capital. Please go ahead.

Rushabh Shah: My question is regarding the acquisition of Excel, not many companies make an EBITDA margin of 25% to 28% in a cable business, so what difference does this Company do, how are you interested in this kind of business and how does the Company can help Greaves Cotton?
Nagesh Basavanhalli: One of the reasons we acquired Excel was precisely what you just mentioned. It had got a very highly profitable business and in fact as the CFO has mentioned in the past, this should be

margin accretive going forward, so you will clearly see that add to the Greaves Cotton portfolio also, point number one, point number 2 they are a very cost focused, profit focused Company and they operate 40% of their business comes from international markets. They are both in the OE business and in the aftermarket business. They are pretty much suppliers to all the heavy truck manufacturers, the bus manufacturers in India and also globally to specific manufacturers. They pick and choose their orders; they work very closely upfront with the OEs. So, hence a strong engineering supply chain cost control and they also “find areas where the profitability is high and where they want to participate”,

they have a very strong order book
and Dr. Basu and his team in the Greaves Engineering division will continue to work with them, with the same philosophy of profitable growth going forward.
Moderator: Thank you, Rushabh. The next question is from the lines of Samraat Jadhav from Prosperity Wealth Advisors. Please go ahead.
Samraat Jadhav: So, my significant questions have been asked one only thing was about this 9,000 retail network which we have, so do we have any kind of division Like how much are for EV specific and what is the expansion plan there?
Nagesh Basavanhalli: So, at a high level, the dealerships are across various units and electric mobility is the area that is growing.
Sanjay Behl: In terms of the dealer network for Ampere, we have more than doubled our network, and it is Pan India across all Tier-town over the last year I think this growth will continue at this pace as the industry continues to grow and penetration, more people adopting for Electric Vehicle as their preferred 2-Wheeler. A similar kind of growth is evident even in the electric 3-Wheeler space now with exclusive and multi brand 3-Wheeler both kind of channels seem to be maturing now in the market and Greaves Retail which is our own in-house channel and AutoEVMart t which Narasimha can add after me I think are becoming the prime platforms for both Electric 2-Wheeler and 3-Wheeler industry kind of options that are there for the customer. So, yes, you are right in picking up that 8,000 to 10,000 kind of point of sale already of electric there and these are only vehicle points of sale if you add to that the service, spares, and accessories this number is going to multiply very rapidly is our view.
Narasimha Jayakumar: On the Greaves Retail side, we have now, as of April 30, 150 stores for AutoEVmart, which is our Multi Brand Retailing Dealerships for covering 3Wheelers, Electric 3-Wheelers and 2-Wheelers. On the Greaves Care, our Multi Brand Servicing Network, we have a Pan India

network of about 170 care centers where we service multi brand electric vehicles and traditional fuel vehicles. We have about 8,000 plus retailing network which distribute our multi-brand spare. So, overall, you know that is how we come up with this 9,000 plus numbers actually closer to 10,000 as of now. So, that is the scope and another important of course distribution is also our mechanics that we have all over India. We engage with over 20,000 mechanics which basically use our spares to service multi brand 3-Wheelers and 2-Wheelers, increasingly the focus is getting electric.
Moderator: Thank you. The next question is from the line of Pankaj from Affluent Assets. Please go ahead.
Pankaj: I have compared this year's results with pre-COVID levels, so we have beaten the topline by a very good margin, but we are not at par, not even in the vicinity of the EBITDA margins you have to achieve pre-COVID levels. So, my first question would be what is the internal roadmap if you could share for us to reach the EBITDA margins to the pre-COVID level? Second question, we have a partner with us in E-Mobility who has a global presence, so in our earlier interaction you mentioned that they would be helping us explore the export market, so just wanted to understand what is the plan for that? And 3rd question if I may squeeze, we have a CNG-based engine and as I understand the CV Makers are launching the CNG based vehicles in India, do we have any plans on that line?
Dalpat Jain: So, Pankaj, if you look at the margins and now let me talk about the Greaves standalone where you alluded to the pre-COVID margins which you rightly identified were in the close to 13% - 14% range. If you look at our quarter 4th standalone results, EBITDA margins have already reached nearly 12% and if you take Excel and do a proforma, then the margins will be upward for 13%. Having

said that, one thing which fundamentally has changed from the pre-COVID period to now is the overall auto volumes because fossil fuel, mainly diesel had its disruption in the COVID period and then now post, COVID things are recovering, volumes are coming back, but there is going to be some shift in the industry towards electric and others. As a company we are now going closer to the pre-COVID with the new mix of the businesses at the standalone level and with the addition of the components motion sensors through Excel maybe standalone margins will even improve beyond what it used to be in the pre-COVID period. So, that is the direction that you can see basis the quarter 4th result without giving any forward guidance from our side. Now from an electric mobility point of view, Sanjay, I would request you to add in terms of the direction that you are looking at.

Sanjay Behl: Coming to the investor you spoke about, which is ALJ and what is the added advantages we have actually mentioned in an earlier investor call, let me repeat this, ALJ is a long term investor invested in clean energy on the planet and India this is the first investment they have made with Greaves, but they do have similar investments across the world, including Rivian, which is one of the top electric companies in the US. So, that gives us a huge advantage in understanding the already penetrated capability they have in not just electric mobility OEM space, but the entire ecosystem. So, we get a lot of know how in terms of Technical,

Engineering, R&D and Networking across the globe, so that is the first advantage we get. With the capability know how and the majority of the industry in different parts of the world, I think the learning curve improves for Greaves.

The second is market linkage, ALJ is also one of the top distributors for Toyota across the world, and they have similar partnerships both in many regions across the globe, Greaves will get benefited as we go forward and into international forays on both our 2-Wheelers and 3-Wheelers, we will get an advantage of a market leader with ALJ as an investor. So these are the 2 that I am explicitly spelling out, if you have something else in mind, you can ask.

The third point was on CNG 400 or CNG specifically as a growing kind of component in the overall scheme of things. You must have seen that CNG has been a dominant space. We do have our play through MLR Auto space where we have CNG 400 engine, actually doing exceptionally well in the market and growing quarter after quarter. So, we will continue to have this play as the protocol will stay the customer's choice as you go forwar. We have already spelt out our strategy to be fuel agnostic and the fuel of choice of the customer as you go forward. CNG being a much more cleaner protocol than fossil fuel, we continue to stay invested and will see how the protocol grows. Still, we do have a product to sell in that part of the market.

Moderator: Thank you. The next question is from the line of Jiten Parmar from Aurum Capital. Please go ahead.

Jiten Parmar: My question is basically when we expect the new launches, the NXG and the NXU and the Aero Vision? and also, can you throw some colour on what is happening at Excel and ELE? How was the Q4 for these companies? All these subsidiaries rather?

Nagesh Basavanhalli: In terms of the launches, as we had announced at Auto Expo and the previous analyst calls, we had said the first launch will be we had announced 3 on the 2-Wheeler 3 products on the 3-Wheeler. We had said the Zeal and the Primus would be launched, which we did to schedule, so the Sanjay Behl talked about the Zeal product, which is a sub Rs. 70,000 product. Then he touched upon the Primus, which is the greater than Rs. 100,000 products, so two done. The final product on the 2-Wheeler, the Next Generation NX, we had sai

d in at Auto Expo that it would be sometime this fiscal year and is still on track for that. And as we get closer, we will discuss more about it. Regarding the question on the new Company Excel that was acquired, they had a very good order and a good Q4 and that is why the CFO did mention on a pro forma basis how that could be accretive going forward and how that would happen. I mean that was already discussed before, happy to give the details at a later stage.

Moderator: Thank you. The next question is from the land of Rishikesh Oza from RoboCapital.. Please go ahead.

Rishikesh Oza: My first question is what kind of growth are we looking at E-Mobility business in the next 2 to 3 years?

Sanjay Behl: I think we should be growing in line with the market now that there are varying market estimates. Current market penetration and 2-Wheelers are about a little under 5% and if you take different estimates from Bain to McKinsey to any other industry, they are talking about more than doubling of the market over the next 2 years. So, you can expect Greaves to sustain to improve its market share in this growing market. So, you can calculate based on that. That is how it is going to be. The other segment 3-Wheelers is going to be a little more aggressive because we have a starting position that is just getting formed up now and I think you will see us going even faster in that segment over the next 12 to 24 months.

Rishikesh Oza: Ia the In recent call, company Company aims for (Inaudible 46:35) EBITDA margin on medium term, so how are we going to achieve this and can you see year-on-year improvement from FY24 onwards?

Dalpat Jain: As I was talking on the standalone side, which is clear from the quarter 4 results onwards. As far as E-Mobility is concerned, obviously it is evolving very fast, how will the industry shape up?

What are the kinds of technologies which will get into it? Having said that, if you see from a long-term perspective, EV 2-Wheelers or 3-Wheelers should not have margins comparable to what the ICE peers have been having and ICE have been having in the range that you spoke about. How would that be achieved? Obviously with the operating leverage, if the kind of penetration numbers are being talked about, if they are achieved, then there will be a natural benefit of the fixed overhead getting allocated to far higher revenue. There will be an advantage of operational scale in sourcing which will give gross margin improvements and in the long term, eventually, with the battery cells getting produced in India and with the PLI led incentives coming to the industry that will also further add. So, these are the 3 broad drivers which as the industry settles should lead to stable margins in E-Mobility.

Moderator: Thank you. The next question is from the lines of Jaydeep Bothra from Subh Labh Research. Please go ahead.

Jaydeep Bothra: My question is on the expected timeline for the completion of the current expansion on capital expenses? And the second question is there any planning for having a brand image for the electric EV 2-wheeler, the Ampere brand?

Nagesh Basavanhalli: If you are taking a question on the CAPEX, obviously we have said in the past that we have committed significant capital on the electric mobility side, we have also committed significant capital on the Excel acquisition side and some of the regulatory upgrades on the engine side, whether it is the CPCB IV gensets or the BS6 of the OBD 2 on the genset, so we have used the judicial blend of capital utilization across the areas where technologies are differentiator,

where we can get a competitive advantage. Greaves Retail, one of our profitable businesses, tends to remain as a flight. That is the big picture.

Moderator: Thank you. The next question is from the lines of Niteen Dharmawat from Aurum Capital. Please go ahead.

Niteen Dharmawat: I have a couple of questions rather 2 questions, the trade receivable numbers, if you can give me the FAME-II subsidy number out of this and with aging, that will help?

Dalpat Jain: Trade receivables are all receivables and as you know in our business is mainly we are into cash and carry in E-Mobility and Retail and also in Engineering major part of the receivables is secured, so that is the part on the trade receivables now coming to the subsidy, subsidy comes under the other financial assets and there as I mentioned earlier, the total outstanding is close to Rs. 350 crores, half of it will be less than 90 days, half of it will be more than 90 days.

Moderator: Thank you. I now hand the conference over to Mr. Nagesh Basavanhalli for closing comments.

Nagesh Basavanhalli: Thank you all for your continued interest and again, just reiterating what was in the highlights of the quarter, our transformation to a, B2B plus B2C, there is an end to end strategy based on our 3 main verticals, Engineering, Retail and Electric continues, the contribution is now 66%, 67%. Excel 60% is done. Greaves Retail continues to expand its footprint. The product that was committed to being launched, the 2 products Zeal and Primus have been launched and the next generation to follow and we continue to focus on our strategy and our game plan of being an end-to-end value chain player, building a sound profitable business for the long-term future. Thank you all for your attention. Thank you for your time. Have a wonderful day.

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Note: This transcript has been edited to improve readability.

forward-looking statements indicate our assessment and future expectations concerning the development of our business, a number of risks, uncertainties and other unknown factors could cause actual developments and results to differ materially from our expectations. These factors include, but are not limited to, general market, macro-economic, governmental and regulatory trends, movements in currency exchange and interest rates, competitive pressures, technological developments, changes in the financial conditions of third parties dealing with us, legislative developments, and other key factors that could affect our business and financial performance. Greaves undertakes no obligation to publicly revise any forward-looking statements to reflect future / likely events or circumstances.

Call: Aug 2023

17th August, 2023

The Manager - Listing The Manager - Listing
BSE Limited National Stock Exchange of India Limited
BSE Code - 501455 NSE Code - GREAVESCOT

Dear Sir/Madam,

Sub: Transcript of the quarterly earnings call for the quarter ended 30th June, 2023

In furtherance to our letter dated 01st August, 2023, please find enclosed herewith the Transcript of the quarterly earnings call for the quarter ended 30th June, 2023. The transcript is also available on the Company's website at www.greavescotton.com

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Greaves Cotton Limited

Atindra Basu
Group General Counsel & Company Secretary

Encl.: a/a

Greaves Cotton Limited

Q1 FY24 Earnings Conference Call

August 11, 2023

Management Representatives:
Nagesh Basavanhalli – Non - Executive Vice Chairman, GCL
Dr. Arup Basu – Managing Director, GCL
Akhila Balachand ar – Group CFO, GCL
Sanjay Behl – CEO and ED, GEMPL
Narasimha Jayakumar – CEO, Greaves Retai l

Moderator: Ladies and gentlemen, good day and welcome to Greaves Cotton Limited 's Q1 FY 2024 Earnings Conference Call.
From the management we have with us, Mr. Nagesh Basavanhalli – Non-Executive Vice - Chairman, Ms. Akhila Balachandar - CFO, Dr. Arup Basu - Managing Director, Greaves Cotton and Mr. Sanjay Behl - CEO and Executive Director, GEMPL.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the co nference call, please signal an operator by pressing "*" then "0" on your touchtone phone . Please note that this conference is being recorded.
I now hand the conference over to Mr. Nagesh Basavanhalli – Non-Executive Vice -Chairman of Greaves Cotton Limite d. Thank you and over to you, Sir.
Nagesh Basavanhalli : Good morning, everybody, hope everybody is doing well and staying safe. Welcome to the Q1 FY24 Earning s Call for Greaves Cotton.
As we ha ve talked about over the last several quarters, our strategic journey of being a key player in the full -stack last -mile mobility ecosystem continues. Our mission and purpose of empowering millions of lives and livelihoods through sustainable mobility solution s continue. Thanks to our talented team and con tinued investments , our focus continue s and Q1 FY24 demonstrates some of these aspect s. A quick strategic recap : over the last quarter, we are glad to report that the integration of Greaves Cotton along with Excel ControlLinkages, which was 60% and announ ced in the previous quarter , is on track. The integration is going well. This has driven both growth and profitability; more importantly, it has expanded our reach to new markets, customers, and products across the automotive value chain and several othe r value chains. Point number two, our recent acquisition of a majority stake at MLR Auto, the three - wheeler company out of Hyderabad, presents a valuable opportunity for our mobility division to strengthen our presence across the three -wheeler segment . More importantly, we have always talked about lifecycle value extraction. This now gives us an opportunity , when you look at the three -wheeler value chain , to significantly expand our value chain offerings , not only as a component supplier, whether in terms of engines , motors , sensors , or components from the Excel division, but also in terms of vehicle sales, service, and spares . Greaves Retail supports the retailing opportunities and Greaves Finance opportunities that arise out of this. So, the three -wheeler value chain 's capture enormously increases with this.
Moving on, some of the other areas that I am glad to re

port are: Greaves Retail is continuing
to expand its network presence throughout India, and they continue to work across multi - brand spare s, multi -brand service , and multi -brand sales and service, basically the 3S model. Greaves Finance recently launched the "evfin ," an innovative EV financing platform that will enable sustainable mobility adoption agai n. Overall, as we continue to move from being a

diesel engine mechanical company to mechatronics, and electronic sensors, a lot of the forward -looking areas in terms of technology, but more importantly , also looking at profitable growth, especially in the en gineering retail consumer market , are very evident, and I think our management team will take you through some of the details. We continue to be a relatively debt -free company with a strong cash position, which the CFO has identified in the deck. And we continue to invest our capex in all the key areas, be it our Engineering business, our Electric Mobility division , in terms of new products and components a nd in terms of Retail. So now , with that, let me hand it over to the CFO, Akhila Balachandar. Thank you.
Akhila Balachandar :
Thank you , Nagesh. Good morning, everyone. We are happy to report our consolidated revenue of Rs. 569 crores for Q1 FY24 . On a standalone basis , Greav es Cotton has reported a revenue of Rs. 396 crores . Excel , the new acquisition, reported a revenue of Rs. 39 crores and Electric Mobility reported a revenue of Rs. 135 crore s. The good news is that with the acquisition and integration of Excel into the Greaves fold, the revenues from the GCL and Excel segments total at Rs. 435 crore s, giving us a strong base to diversify our core product portfolio. On the margins, GCL standalone EBITDA margins are now firmly in the double digits at 11.3% , and if I were to look at GCL plus Excel combined, the margin stands at a healthy 13.5%. This puts us on track to our historical trend of 13% plus margins of pre -COVID levels. Standalone PBT is at Rs. 45 crores and th e standalone business ROC is at 37%. The cash conversion ratio of the company is more than 90% , and that augurs very well in terms of working capital management and shows the strength that we are seeing in our legacy businesses. Regarding the balance she et strength, as the vice -chairman mentioned, the company has almost zero debt and consolidated net cash of Rs.739 crores, which we will use for further investments and expansion as we go forward. One area where we saw a lot of pressure in the early part of last

year was the overall commodity cycle , and that led to an increase in the raw material cost s for some of our product segments. I am happy to note that the commodity cycle softening is having a positive impact as we go forward, and we are expecting raw material prices and raw material cost as a percentage of revenue to remain stable in the coming quarters. Given the regulatory challenges, our material subsidiary , GEMPL reported subdued revenues of Rs. 135 crores and an EBITDA of Rs. (71) crores. Our consolidated EBITDA was Rs . (14) crores , and consolidated PBT was Rs . (10) crores. However, on a standalone GCL plus Excel basis , we saw very strong financial performance . That again reflects the strength of the company's strategy over the last couple of years to diversify the product portfolio. With this, I will hand it over to Sanjay to share his updates. Thank you.
Sanjay Behl: Thank you, Akhila. Good morning, everyone I w ill talk on behalf of Greaves Electric Mobility in Q1 FY24 . So, Q1 FY24 has been a quarter of significant regulatory changes both in EV and IC E sectors. In electric vehicles, the battery norms evolved to AIS 156 Phase II for significantly enhanced safety of the battery component and for the vehicle. Further, the quar

ter saw FAME II subsidy on electric two -wheelers getting reduced by 30% to 50% , effective

June. The OBD -2 BS6 emission norms kicked in at the start of the quarter. Now in line with the regulatory requirements, all our vehicles are fully compliant and certified with the AIS 156 Phase 2 standards and the OBD -2 BS6 norms. Further, the product p ortfolio has been adjusted in terms of pricing to accommodate the decreased subsidy in electric two -wheelers, specifically on two -wheeler performance. Now, despite the electric scooter market being flat, quarter -on-quarter basis in Q1 FY24, Ampere registe red over 10% market share and recorded a double -digit growth in vehicle registrations. Another significant milestone in Q1 is that Ampere Brand , achieved the customer base of over 200,000 electric scooters in India. As was proposed during Auto Expo earli er this year, Ampere has already launched 2 new electric scooters over the last two quarters, Zeal EX in Q4 of last financial year and Primus in Q1 of this financial year. We also plan to launch a high -speed, fully connected scooter NXG before the end of the calendar year. The twin impact of battery add -on cost on account of the new AIS 156 Phase II norms effective April and reduced FAME II subsidy from June , led to a significant slowdown in electric two-wheeler industry off takes , in the month June an d it's continued in July. Though we believe that this blip is temporary and soon the retail sales will pick up considerably.
Coming to three -wheelers , our product portfolio spanning across the L 3 and L5 formats recorded a 140% volume growth year -on-year basis as we continue to enhance the product portfolio and the dealer network across the country. Bestway and MLR are our subsidaries . MLR became a subsidiary after increased stake . Both the businesses have recorded strong double digit growth year -on-year basis , ahead of the market versus same quarter last year. Continuing to build on Q1 FY24, we have recorded the highest ever sales in three -wheeler business in the month of July . On the new products in three -wheeler portfolio , our recently launched vehicles include the onboard diagnostics BS6 compliant CNG and diesel vehicles, a lineup of new electric cargo and passenger vehicles are in the pipeline for launch under the Greaves brand. In fact, to enhance the brand visibility , the 'powered by Greaves ' branding approach is being applied to the L5 IC E vehicles where as the Greaves brand is dedicated to L5 EVs. I will just hand over to the operator for any Q&A's that you will have. Thank you.
Moderator: Thank you very much, Sir. We will now begin the Q&A session. We will take the first question from the line of Rushabh Shah from O3 Securities. Please go ahead.
Rushabh Shah: Good morning, Sir. I have a few questions. Sir, in your gensets business, wou ld you please help me explain your plans in that segment because our competitors are growing at a much faster pace than us or are not losing our market share ? I just wanted to have your view and what do you think about this segment going into the future?
Nagesh Basavanhalli : Thank you. I think there it's a mix issue. Dr. Basu, you want to take that?
Dr. Arup Basu: So, we are growing our market share in gensets. What is happening is that there are change s in the norms around the whole gensets industry and that is coming in between this year and the next year. And the application areas are quite diverse across industries and across various

types . And the reason why we are positive about it going forward i s because of our fuel agnostic strategy. Gensets are also headed that way , earlier they used to be largely diesel. Now there are options around diesel, alternative fuels like C

NG and electric on some of the
lower capacity inverter s. So overall , we will continue to play in the gensets space , both within India and for exports . Thank you.

Rushab Shah: Sir, if you could help me with the alternative fuel shifting to CNG, how will that impact our business?
Dr. Arup Basu: It just adds to us because our approach has alway s been fuel agnostic. So, we will make the gensets , we do customi se products across our portfolio. So, if our customer wants CNG gensets, they will get CNG gensets. If they want diesel gensets, they will get diesel gensets. Whatever other fuels that a customer prefers, we will design, and make gensets accordingly. So, it does not really impact us. It impacts us positively because we have a fuel agnostic stance. Thank you.
Nagesh Basavanhalli : And just to close the doubt fr om a non-auto perspective , if you look at the FY 2023 versus FY 2022, I am talking about non -auto no t overall . The strategy of diversifying there, the volumes had increased by 6% yearly . FY 2023 versus FY 2022 and when you look at a quarterly basis , non-auto almost grew 11% quarter -on-quarter, FY 2024 versus FY 2023. So, the diversification strategy is across fuels like Dr. Basu said and across auto and non -auto and that continues and that obviously helps with our capacity utili sation.
Rushab Shah: And Sir, my next question is in on the aftermarket side. Is there a b ig opportunity opening across and what are we doing out there?
Nagesh Basavanhalli : Yes, aftermarket is definitely a growth and a highly profitable area for us. As announced last time, we now have a dedicated CEO who runs that business . And when you look at it in terms of spares, in terms of service , and in terms of sales , we are playing a three -pronged strategy there, spares it's multi fuel spread over both three -wheeler and two -wheeler , spread over IC engines and getting into newer areas like batteries and other EV -related components. Our market has expanded with several retailers and several mechanics , pan India . Service is getting back to pre -COVID level in terms of the number of vehicles that are coming in to our multi - brand service and our retailing, we retail more than 10 plus automotive brands through our retail showrooms. So yes, that's the profit growth and I think the CFO has also started reporting the aftermarket numbers separately.
Moderator: Thank y ou. Ladies and gentlemen, may we request all the participants to limit their questions to two per participant ? Should you have a follow up question, please join the queue. Thank you. We will take the next question from the line of Raghunandan from Nuvama Institutional Equities. Please go ahead.

Raghunandan: Thank you, Sir for the opportunity. Congratulations on a good set of numbers for GCL Plus Excel. My questions is to Sanjay Sir , on FAME II incentives. Can you provide us with some color and confidence? (A), will we get incentives for future sales ? and (B), on historical sales, have we met the same requirements as per your knowledge?
Sanjay Behl: Okay, so let me just give you an overview on where we are , we have as you are aware received a show cause notice from Ministry of Heavy Industries, which has been appropriately replied already. This matter is now pending adjudication for a final hearing. Now just to assure you that we have, as Greaves Electric Mobility has been actively cooperating with MHI and all their authori sed bodies for this investigation. We have made a very comprehensive representation submission and the provision of necessary clarification and any addi tional information that authorities have asked for, we have done it both proactively on our behalf and, as has been asked us during the course of this investigation, I just want to keep you informed that we h

ave
been given an opportunity for hearing in MHI , which is pending and we are very confident on the matter to be adjudicated in our favo ur. And just an assurance that we remain dedicated fully to aiding the country becoming a global leader in electric vehicle, not just design development, but also indi geni sed sourcing, engineering, and manufacturing. So that's our position on this.
Raghunandan: Thanks for that, Sir. And just a clarification, when is the final hearing date, by when do you expect the matter to be fully resolved?
Sanjay Behl: I cannot say, because the matter must be resolved on behalf of the Ministry and they have to decide the timeline, but the hearing is likely to be next week.
Raghu Nandan: Understood, Sir and on the current retail sales, are you offering FAME II benefits to customers?
Sanjay Behl: No. In fact, at this point , we do not have access to the FAME portal, so we do not have that FAME benefit. So, our pricing has already considered , the reduction in FAME subsidy and we are not passing on at this point o f time any FAME incentive.
Raghu Nandan: And dispatches in Q1 were lower than the Vahan registrations. Is AIS 156, Phase II , responsible for that lower dispatcher ?
Sanjay Behl: No, I think there are multiple factors as I told you, the industry has been fl at. If you see Q4 of last financial year to this Q4 it's about 217,000 electric scooters got sold almost equal in Q4 and Q1, so one is the industry slowdown on both the accounts. One, as you rightly picked up, which is the new norms kicking in and certifications did take a little time for vehicles to stabili se and then there was a subsidy impact which happened on effective first June where subsidy was

reduced by 30% to 50% on elect ric vehicles and that did slow down the market. So, it's really a combination of both of them and then at the end of Q4, there was a higher channel inventory,

which also got reduced considerably because of higher offtakes that we see as a brand over the Q1.
Moderator: Thank you. We will take the next question from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.
Jyoti Singh: Thank you for the opportunity. Sir, as the earlier participant spoke about the subsidy , my question is on the similar line, could you provide some insight into the clarity regarding EV business because in this quarter, we were not able to perform because of the Greaves Electric Mobility. So, what's your view going forward from here on?
Sanjay Behl: Okay, fine. I understood your question , it's like giving an overview of all EV business that we have. So, I did mention briefly the accelerated performance of our three -wheeler business. Yes, two -wheeler had a couple of interventions, whether it i s regulatory, non -perspective or whether its subsidy related. But our three -wheeler business has grown 140% quarter -on-quarter, or on y ear-on-year basis if you see last year Q1 to this year Q 1 and I did hint that July has been the highest ever sale s there. So, the first overall, if you look at as a portfolio for Greaves Electric Mobility, there is an ecstatic performance or exponential growth that we are witnessing on the three -wheeler. I also did mention but let me reiterate that t wo new products will come over the next six months. One is going to be the launch of electric vehicle Cargo, which we will be putting it in the market as Greaves Eltra. That vehicle should hit at the end of this quarter , followed by the passenger electric vehicle under Greaves Eltra in the next quarter . That should be a total incremental volume over the existing sales we are getting in three -wheel er business . We are also growing the dealer and financing networks for our L 3 and L5 segments there. So that secures a robust growth map for three -wheelers.

Coming to two -
wheelers , as I mention ed, our registrations continue to grow and that's a good sign that customer acceptance is getting validated. We grew 12% quarter -on-quarter in a flat quarter. Ampere wa s one of the few brands to grow 12% in registration, which is a testimony of our customer offtake. And eventually as you know that if the registrations are growing in , our billing will ultimate ly match up to that. The other product that I again mentioned and reiterated is the launch of NXG, the high -speed connected smart scooter which will be coming before Diwali and will further add to the addressability of our electric scooter segment. So overall, our addressability, over the last 12 months, has increa sed from about 35% to 75% of the electric scooter market . That would provide a very strong reason or a growth enabler for the electric two -wheeler segment there. There is some slowdown because of the subsidy reduction that we have seen in the market. But we believe that as the festivity starts kicking in at the end of this quarter, moving into the third quarter, I think the market should bounce back to the pre -reduction kind of levels. And if we can get our logical double -digit share in that market, w hich we continue to work towards , we should be reasonably well placed to register good performance in electric two -wheelers.

Jyoti Singh: Also, if you can highlight how the momentum on the evfin side and third is on the inventory side, how many weeks we ar e maintaining? Thank you.
Sanjay Behl: Okay so let me just first answer the second question. If it is evfin as a company then I will hand over to Nagesh to really address that . But on the inventory in the channel, the norm that we have is between 4 to 6 weeks and we are not over that at this point . That's the kind of inventory we maintain at the dealer level . A very similar kind of norms are there in three -wheeler, three -wheeler inventory has come down a little because there was a liquidation of the stock which happened for the old stock during Q1, because the norms have changed and the new norm certificate vehicl es took some time to really build into the market. So that inventory is a little lower and the two -wheeler inventory is at about four to six weeks across dealer network in India . On evfin , let me hand over to Nagesh.
Nagesh Basavanhalli Thanks, Sanjay. On evfin , as you all know, it is our latest startup to enable electric mobility financing, it's an enabler or it's a smaller or the latest startup. Our operations have started under the brand name of evfin , right … evfin by Greaves. So that was launched in the this quarter. We have launched direct operations in about three cities. We are more in the proof -of-concept phase right now. We have empane lled about 3 OEM's, so three people doing electric mobility and two -multi brand chain outlets including Greaves Retail . And other multi -brand OEMs and financing sign -ups are in the way. So, I think it is still in the early stage. The idea here is , it is a fintech , where we are looking at the asset life of the battery and how to determin e whether it is a key enabler or a n essential cap list in electric vehicles moving to much

higher numbers . So that's the enabler and we will keep you informed as and when the story develops. Thank you.

Moderator: Thank you. We will take the next question from the line of Smita Mohta from Kredent InfoEdge. Please go ahead.

Smita Mohta: So, my question is, Sir, segment wise, can you report what you have done in the EV segment post the FAME subsidy being taken off and before th e FAME subsidy which was allowed to you so segment -wise bifurcation if you could give Sir?

Sanjay Behl: The revenue that we reported is Rs.135 crores, which does not include any subsidy in this revenue. If

you look at the equivalent quarter last year on a year -on-year basis there was a Rs.90 crore subsidy in Rs.270 crore revenue that was reported. So, if you take that as a total number, it will be about Rs.180 crore s revenue of last year without subsidy versus Rs.135 crore s this year without subsidy. Does that answer your question?

Smita Mohta: Yes, that answers my questions. So, which means without subsidy, the revenue has dropped. So, do you think going ahead also this will you know have a problem in your books? And what about the engine business also?

Sanjay Behl: So, on the electric mobility, let me answer and then I will hand over the engine business to Arup to answer . On the Electric Mobility segment, I think it's been a quarter of a little more than anticipated disruption and hence I believe there was a little bit of inventory correction which did happen at our dealer level, going forward I would say that will get corrected. So, there should be a normal share restoration when it happens, I think we will grow with the market. Now the whole question is what will happen to this industry? Because our fate is also looked at the industry's overall number s. Last year, the indust ry made 726,000 electric two - wheelers. This year, if you look at the trend of the four months it is running almost at a similar kind of a way, 217,000 in the first quarter, but the July numbers are only 55,000. So, if you look at 60,000 -70,000 per month, it 's about 80,000 -85,000. If that must be taken, and if you look at about a 10% odd share that Ampere has consistently maintained by being in the top three to five players in this country, we should be doing as good, if not a little better than last year. Over to Arup for Greaves engine.

Dr. Arup Basu: In Greaves Engines, we do not have this kind of segmentation because we supply a certain number of O EMs and then the balance is supplied to the industry at large. And if I take away the OEM numbers between FY23 and FY22, we grew at 16%. So that 's the number we have grown, and a higher number is planned for this year. So overall , we see growth across a ll the segments we serve on engines.

Moderator: Thank you. We will take the next question from the line of Sandy Mehta from Evaluate Research. Please go ahead.

Sandy Mehta: I have two questions on the EV side , when you talk about what is your path to sus tainable profitability and when can we see profits on an EBITDA level on the EV side? And the second question was the UAE Investor ALJ how much money have you received from them already? What is the pipeline of further funding from that entity?

Sanjay Behl: So let me address the first question on EV profitability road map. I think I want to lay down a few pivots, maybe 5 pivots, the top five pivots that give us the right to win, not just the right to win, bu t to profitability in EV segment . We have a unique advantage of being the only true electric mobility player in India with the following five pivots that I will talk about. First, we have both two -wheeler and three -wheeler electric portfolio with us across all formats and all price points. So we have a representation in low speed, city speed, high speed scooters. We also have a representation in electric rickshaw in EV segment, both in cargo and passenger that I spoke about by the end of the year. So that's a pretty comprehensive address ability of the market and the entire value chain capture across both the segments is a benefit to Greaves Electric Mobility. Second , across the vehicles, we do cater both to the B2C and B2B segments and that is not just by having the same vehicle running both , we have unique use-case and application -based vehicles catering to fleet mobility. In fact, just to give you one name , one of the largest food service delivery cha

ins in India, about 40% of the deployed vehicles are from Greaves Electric Mobility, two-wheelers, I am talking about. The third path to profitability

would be unlike our competitors, we have demonstrated a unique ability to remain a cost leader in this country and have a unit economics positive philosophy to run our EV business there. Last quarter of the financial year, Q4 of last financial year, we had declared a two - wheeler profitable operating margin and that given this blip going forward, gets neutrali sed. I think there is already a demonstrated road map to profitability there. The fourth point is that we continue to invest your point on the ALJ you brought up. I think it will get answered, but we are continuing to invest benefited by our investors add ou r internal cash accruals at the group level, both in technology and innovation road map. We are the first three -wheeler company to provide data solutions to our customers. In the soon -to-be-launched cargo and passenger vehicles, you will find IOT connect ed solutions as we go forward. We are also hugely benefited by the synergies across all our group companies, and I think Nagesh did talk about the three -wheeler value chain capture, but it's also in the two -wheeler with Greaves Engineering, Excel Technolo gy, the recent acquisition we made . Greaves Technology, the service engineering company, Greaves Retail, Greaves Finance a re feeding to the GEMs value chain for cataly sing a holistic leadership position at a profit level. So, these are the five things there to be specific, how long do we see ? My sense is we continue to invest in both product and technology. So, we should be looking at the exit of this year or actually getting into next year, we turn into an operatively profitable domain.

Sandy Mehta: And how much have you received from ALJ? I think the amounts mentioned were $150 million or maybe $220 million. Have you actually received some of this?

Sanjay Behl: So, we have received already $150 million which is the number you quoted that we have already received .

Moderator: Thank you. We will take the next question from the line of Rushabh Shah from O3 Securities. Please go ahead.

Rushabh Shah: Thanks for the follow up. Sir, I have a question on your Excel acquisition, if the company is making su ch good EBITDA margins, then why is the promoter willing to exit the company in the sales manner?

Nagesh Basavanhalli : You are right . I think it is a very profitable business. And there the question was about succession planning , so we are working very closely with the promoters. So, over a period of time, the promoters will exit, and Greaves has a road map to go from 60%, which we already have today to the 100% and yes, it opens up opportunities in areas of new products, new markets, new geographies for us. Thank you.

Rushabh Shah: And so my next question is what are the challenges you are facing in your business going ahead, for 2 -3 years, what challenges do you see in your business?

Nagesh Basavanhalli : So, I think that is a very macro question. When you look at it, I think the CFO already touched upon the commodity cycle softening. We had seen that challenge over the last several quarters and obviously , that's turning favo urable. Mr. Sanjay Behl talked about the regulatory environment in the Electric Mobility Division, so I think that's one of the areas which we obviously will have to watch, which we will, the Electric Mobility team is very closely watching that. But when you loo k at that, I am glad you asked this question. The entire fundamental thesis of our strategy was on diversification from being a diesel engine company a few years ago, to go from diesel engine to a fuel -agnostic diesel plus CNG plus electric, r

ight? Plus our boys are already looking at future technologies . Going from auto to non -auto because in non -auto we supply engines to construction , marine and defense. Then the second , the vertical component has now diversified into Excel type components: the push -pull cables, the sensors, the mechatronics part. Then we got into electric mobility, which is getting closer to the end consumer then we got into retail. So, when you really look at it, right, auto plus non -auto components vehicles and then retail which is the post -purchase solutions and spares. So, the good part I would say is when you look at it , we are seeing regulatory headwinds on the electric mobility side, but other parts of the businesses are seeing strong tailwinds, right? So, I think that is again the strength of the diversification strategy and obviously we will continue to keep investing. We are a cash -positive debt -free company and will continue to keep investing in future products and future services.

Moderator: Thank you. We will take the next question from the line of Sandy Mehta from Evaluate Research. Please go ahead.

Sandy Mehta: Yes, thank you. This is more of a suggestion and a question. But while you are investing in the EV space and you have this period where you have lo sses there, it might help if you would break down, you gave us a segment details, but overall EBITDA , overall EPS, if you can report the rest of the business, a consolidated basis and then you can report EV separately. So, it helps to value the stock and while you are investing in EV people , may value that more on a price to sales basis. But it becomes clear that the rest of the business is doing well and you have losses in one area. It might help if you can sort of break that out more clearly, especiall y on the EPS level. Thank you.

Nagesh B: I think good input, the CFO will take that. I think it is a good suggestion.

Moderator: Thank you. We will take the next question from the line of Smita Mohta from Kredent InfoEdge. Please go ahead.

Smita Mohta: Again, a similar question of your segment evaluation. So, can you give a ballpark figure on the auto and the non -auto segment currently on your revenue, what percentage is auto and what percentage is non -auto and going forward, how do you see it changing in the next five years?

Akhila B alchandar . So, ma 'am, just to clarify, we have shared the segment volumes in our presentation and hope that clarifies .
Smita Mohta: Yes, five years down the line, where do you see it going m a'am?
Dr. Arup Basu: Okay, I think there are two dimensions to this, first, we see both going up quite a bit. Secondly, I will add one more layer. The auto pie is going to be a combination like it currently is of diesel, alternate fuels and electric , on that pie will get lar ger and the ratio of these three types of fuels I am calling alternate fuels, all clubbing them into one , that's going to change depending on the kind of policies , enabling policies that appear in future and also the equation between CNG and diesel and pet rol largely. But we see three -wheeler demand growing significantly because of underlying trends of increased urbani sation and last mile mobility and the push towards a greener sustainable mobility solution , that's one part on the auto side. Non-auto is a combination of all other prime movers linked to how the economy grows. There we also see significant growth , so in both cases we see an aggressive growth in demand for these products. And that's one of the reasons why we have decided to pursue a bespoke, customi sed, fuel - agnostic approach to developing prime movers.
Smita Mohta: So currently, how much EV constitutes to this?
Dr. Arup Basu: In the three -wheeler space of L5, which is the main passenger and cargo, I am not talking about
e- rickshaws , but in the regular three -wheeler space the electric component currently is about 10 % -12%.
Sanjay Behl: If we take last year, it was 65% CNG, about 22 % -- 23% was diesel and about 12% -13% as Ar up mentioned was electric. But electric is seeing month -on-month growth of about 10% right now. And that's if you look at July numbers, just the last month, which has gone by, is inching towards 15% of the total L5 market. That's it.
Smita Mohta: So, is it inclusive of two -wheelers also?
Sanjay Behl: No, I am talking only on three -wheelers. So, three -wheelers are currently trending L5 format would be 40,000 a month. That's about half a million of L5 format of three -wheelers makes, I am talking about ICE plus EV together makes it almost close to 80 %-90% of pre -COVID levels sales. Out of this about 65% is CNG. About 20 -odd % is diesel right now and about 15% is electric. That's the current trend.
Moderator: Thank you Sir. Ladies and gentlemen, we will take that as a last question for today. I want to hand the conference over to Mr. Nagesh Basavanhalli for closing comments. Over to you, Sir.
Nagesh Basavanhalli: Thank you all for taking the time and we appreciate your in terest in Greaves Cotton. Management is available for any follow -up questions. Should you desire we are available and

to answer any questions. Thank you again for taking the time. Have a great day. Thank you very much.
Moderator: Thank you, Sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Greaves Cotton Limited, we thank you once again. Stay safe. With this we conclude this investor call. Thank you for joining us and you may now disconnect your lines.
For further i nformation, please contact
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Note: This transcript has been edited to improve readability.

with us, legislative developments, and other key factors that could affect our business and financial performance. Greaves undertakes no obligation to publicly revise any forward -looking statements to reflect future / likely events or circumstances.

Call: Nov 2023

15th November, 2023

The Manager - Listing
BSE Limited
BSE Code: 501455 The Manager – Listing
National Stock Exchange of India Limited
NSE Code: GREAVESCOT

Dear Sir/Madam,

Sub.: Transcript of the quarterly earnings call for the quarter ended 30th September, 2023

In furtherance to our letter dated 27th October, 2023, please find enclosed herewith the Transcript of the quarterly earnings call for the quarter ended 30th September, 2023. The transcript is also available on the Company’s website at www.greavescotton.com

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Greaves Cotton Limited

Atindra Basu
Group General Counsel & Company Secretary

Encl.: a/a

Greaves Cotton Limited

Q2 FY24 Earnings Conference Call

November 8, 2023

Management Representatives:
Nagesh Basavanhalli – Non - Executive Vice Chairman, GCL
Dr. Arup Basu – Managing Director, GCL
Akhila Balachandar –CFO, GCL
Sanjay Behl – CEO, GEMPL
Narasimha Jayakumar – CEO, Greaves Retail
Chandrasekar Thyagarajan – CFO, GEMPL

Moderator: Ladies and gentlemen, good day and welcome to the Greaves Cotton Limited Q2-FY24 Earnings Conference Call.
From the management we have with us Mr. Nagesh Basavanahalli – Non-Executive Vice Chairman, GCL, Dr. Arup Basu – Managing Director, GCL, Mrs. Akhila Balachander –CFO, GCL, Mr. Sanjay Behl – CEO, GEMPL, Mr. Narasimha Jayakumar – CEO, Greaves Retail and Mr. Chandrashekhar Thyagarajan – CFO, GEMPL.
As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the opening remarks are concluded. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touch tone phone.
I now hand the conference over to Mr. Nagesh Basavanahalli – Non-Executive Vice Chairman of Greaves Cotton Limited.
Nagesh Basavanahalli: Good morning and welcome to the Q2 and H1 FY2024 Earnings Call for Greaves Cotton Limited.
I trust you're all in good health and I'll hand it over to the respective business CEOs and the CFO for a more detailed review and discussion.
At a very high level, over the years we have been committed to innovation, growth, and I'm pleased to report that our journey continues. Greaves Cotton delivered a robust performance in the Q2 and H1 FY2024, reflecting the resilience and the diverse portfolio of our various business segments. Our strategic journey of being a key player in the full stack last mile mobility ecosystem continues with our businesses, whether they are Greaves Engineering, Electric Mobility, and Retail. Our mission and purpose of empowering millions of lives and livelihoods through sustainable mobility solutions continues.
So, now with that, let me hand it over to Dr. Arup Basu, who will discuss Greaves Engineering.
Thank you.
Dr. Arup Basu: Good morning, ladies and gentlemen. This morning my commentary is on the performance of the B2B products portfolio that is engines and Excel Controlinkage. Accelerator, Brake, Clutch, Steering Wheel, Gear Shift, and Park Brake are the six components used to control any vehicle, either physically using rods or cables or electronically using sensors. Excel Controlinkage custom designs, develops and manufactures this entire product range of controls and therefore represents a natural fit to our portfolio.
We are making good progress on our ongoing program to build a future ready fuel agnostic product portfolio to gradually wean us from a dependence on demand for Diesel Engines. The

Engine and Genset portfolio are being augmented with greener fuel agnostic variants that can use CNG, Biodiesel, and Ethanol blended fuels. In addition, our Genset portfolio is fully CPCB 4+

compliant. Simultaneously, we are expanding our international business footprint which currently constitutes just over 10% of our revenues. In addition, we are also expanding the industry segments we serve, for example, Industrial Tools and Passenger Cars. Simultaneously, to enable this transformation, we are augmenting our prevailing domain depth in Mechanical Engineering with Mechatronics and Electronics. The latter will help accelerate the growth of Electronic sensor-based controls from Excel Controlinkage.
In Q2 FY24, the Engines business plus Excel Controlinkage delivered revenues of Rs. 381 crores that was 58% higher Y-o-Y and 28% higher Q-o-Q. The Engines business delivered revenues of Rs. 313 crores that was 30% higher Y-o-Y and 22% higher Q-o-Q. EBITDA improved to 10.5% in Q2 FY24 from 3.5% in Q2 FY23. Overall, the diversity of our customer segments, platform, technologies and application areas, combined with our brand Greaves that has stood the test of time for over a century and a half allows us to be optimistic about the future. Thank you.
Sanjay Behl : I'll take over from Arup. Thank you, Arup. I'm Sanjay Behl. I'm going to give you the commentary on Greaves Electric Mobility performance in Q2 FY2024.
Q2 was the first quarter of electric two-wheeler industry, which represented Q-o-Q decline after many quarters of steady growth. The industry recorded 181,000 registrations of Electric Scooters between July to September, as compared to 217,000 in April to June, which is Q1 of the current financial year. It is a decline Q-o-Q of about 17%. This was led partly by the reduction in FAME II subsidy incentive on electric scooters effective from 1st June of 2023 and

partly by an adverse end consumer price impact owing to the AIS phase-II regulations which were implemented from 1st of April of 2023. However, amidst this slowdown in Electric 2-wheelers, Ampere continues to be amongst the top five Electric Scooters in India in terms of retail sales.

Furthermore, Ampere has strengthened its retail reach by launch on multiple new E-commerce platforms, business to government engagements, industry first introduction of Electric Scooters in an Electronic goods store like Croma and with pan India financing partners tie ups like Muthoot Finance. In fact, in addition to Muthoot Finance, Ampere has many new participating financial institutes like Bajaj Finserv, Hero Fincorp, Jana Small Financial Bank, so on and so forth. Also, Ampere has partnered with many leasing firms like RevFin, Alt Mobility, TWU for vehicle leasing to fleet customers.

The 3-wheeler market witnessed a very high 23% Q-o-Q growth in Q2 with both L3 and L5 formats growing in strong double digits. Notably Greaves Electric Mobility achieved a significant milestone by recording its highest ever quarterly sales in the 3-wheeler business with a 75% increase from the first quarter and 100% increase y-o-y basis. During Q2, we also unveiled our new Electric Cargo Vehicle Greaves Eltra in three variants, flatbed, pickup, and

delivery van. Currently, this vehicle is under trial with many B2B customers and should be commercially available soon.

Now I want to cover the aspects of FAME-II subsidy matter. As of 30th September 2023, the company had an outstanding amount of Rs. 361.78 crores towards the subsidy receivable from Ministry of Heavy Industries of Government of India. This is under the same scheme. The amount includes Rs. 80.68 crores towards the claims pending to be filed with Ministry of Heavy Industries. During the six-month period ended 30th September 2023, the company received a notice from MHI dated 25th May 2023 proposing three things. First, recover the amount of subsidy paid to GEMPL, Greaves Electric Mobility since inception of the scheme amounting to Rs. 124.91 crores, along with the interest there on. Second, cancel the claims pending with the MHI for

payment and third deregistering GEMPL from the above scheme. The company submitted its response to the aforesaid notice within the prescribed timelines.

The management believes that the company has complied with the scheme, duly considering and supported by the legal advice obtained. However, keeping in mind the interest of our consumers and without accepting any of the allegations, contentions or statements in the notice and without prejudice, the company on 27th October 2023 offered to amicably resolve and put a quieter to the matter and has refunded an amount of Rs. 139.98 crores towards subsidy reimbursed by MHI to-date, which as I mentioned was Rs. 124.91 crores and the interest thereon of Rs. 15.07 crores. The company awaits confirmation from the MHI for taking the necessary steps to resolve the matter. The amount refunded and the subsidy receivable of Rs. 337.34 crore is the net of provisions has already been provided for as an exceptional item in the statement during the current quarter and six months, which ended on 30th September 2023.

I now hand it over to Narsimha, who can take you through the Greaves Retail performance please.

Narasimha Jayakumar : Good morning, ladies and gentlemen. This is Narasimha Jayakumar. I'm the CEO of Greaves Retail, and I'm very excited to be here. Greaves Retail, as some of you are aware, is a leading multi fuel spares and services business that spans the entire lifecycle of an asset, which is basically a 3-wheeler, electric 3-wheeler or small commercial vehicle. The core proposition continues to be high vehicle up time and driving asset productivity. I am very pleased to say that Greaves Retail had a solid Q2, revenues were up 9% y-o-y at Rs. 146 crores. On a YTD basis, we touched Rs. 284.5 crores, up 12%. Profitability continues to be strong with EBITDA margins of 20% plus and the business continues to expand both domestically and exports for spare parts and services.

Exports of our multi brand spare parts has expanded to newer markets like Sri Lanka, Bangladesh and Africa and we witnessed very strong, robust growth for our multi brand 3-wheeler spare parts covering various fuel types. We're seeing very healthy growth there. On

the domestic front, we expanded our mechanic loyalty program for Greaves's spares in North and Eastern India during the quarter. Our new Greaves Upahar app, which is the mechanic loyalty rewards program, has now over 20,000 registered mechanics covering 3-wheelers, small commercial vehicles and electric 3-wheelers. Last quarter, we launched our own range of batteries under the brand name of Greaves Power Raja for the L3 aftermarket, covering electric 3-wheelers both in the northern and eastern part of the country. We expanded our

services footprint to add 44 more outlets for Greaves Care.
Overall, the business continues to be doing well and we remain committed to offering very strong vehicle up time, which is the core proposition of the business. Thank you.
Akhila Balachandra : Thanks Narasimha, and good morning everyone. This is Akhila Balachandar, CFO of Greaves Cotton. I'm happy to report our consolidated revenue of Rs. 727 crores for Q2 FY24 and Rs. 1,295 crores for H1 FY24. On a standalone basis for Q2 FY24, Greaves Cotton has reported a revenue of Rs. 459 crores. Excel, our new acquisition, reported a revenue of Rs. 68 crores and Electric Mobility reported a revenue of Rs. 207 crores. Greaves Engines and Greaves Retail both have delivered robust growth both Q-o-Q and on a Y-o-Y basis. For H1FY24, Greaves Cotton reported a revenue of Rs. 855 crores, up by 14% compared to last year and on a consolidated basis, H1 FY2024 revenue was Rs. 1,295 crores.
The good news is that the acquisition and integration of Excel into the Greaves fold, the revenues from the GCL plus Excel segment for H1 FY24 stands at Rs. 962 crores. This gives us a strong base to

diversify and enrich our core product portfolio.
On the margins, GCL standalone EBITDA margins are now firmly in the double digits of 13.9%. And if I were to look at the GCL plus excel combined, the margin stands at a healthy 16.3%. This puts us on track to our historical trend of 13 plus percentage margins of pre COVID levels. Standalone operating PBT is at Rs. 62 crores and H1 FY24 the standalone business ROCE is at 38%. The cash conversion ratio of the company is more than 90% and that augers very well in terms of working capital management and also shows the strength that we are seeing in our legacy business today.
In terms of balance sheet strength, the company has almost zero debt and a consolidated net cash of Rs. 848 crores, which can be further used for expansion as we go forward.
One area where we saw a lot of pressure in the early part of last year was the overall commodity cycle and that led to an increase in the raw material cost for some of our products segments. I'm happy to note the commodity cycle softening is having a positive impact and as we go forward, we are expecting raw material prices and raw materials cost as a percentage of revenue to remain stable in the coming quarters. However, we are closely monitoring and evaluating the current geopolitical situation and its impact on a continuous basis.

Our Greaves Electric Mobility, given the regulatory challenges, reported subdued revenues of Rs. 207 crores and an EBITDA loss of Rs. 37 crores. As shared by Sanjay earlier, the current Electric Mobility results are without the impact of any subsidy starting 1st April this year. The amount refunded and the subsidy receivable have now been fully provided for as exceptional items in these results. With this, our consolidated EBITDA was Rs. 46 crores and the consolidated operating PBT was Rs. 40 crores. Overall, we saw strong and robust financial performance and that reflects the strength of the strategy that the company has initiated over the last couple of years. Thank you.
I would like to open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ashin from Equirus. Please go ahead.
Ashin: Thanks for the opportunity and congratulations for a decent set of numbers. My first question is regarding the standalone business. So, within the Engine side, we've seen very good growth during the quarter on the Engine business and also the profitability in the Engine business has improved significantly over the last few quarters. So, could you please give us more color on to that and how do we see this business going forward?
Sanjay Behl: Yes, the Engine business grew at about 22%. I'll ask Dr. Arup Basu to give a little more commentary on that.
Dr. Arup Basu : Essentially, we've been pursuing this fuel agnostic approach and expansion of the product portfolio to include multiple applications. So, the combination of these two is allowing us to expand our application segments from Automobile or Mobility solutions to other Engineering applications where you have Engines. The second leg is our increasing focus on international business as I mentioned and exports. The third is around the control on costs, which is embedded in our system. So, there is a continuous focus on making sure we utilize our assets as tightly as possible and maintain cost control and the supply chain focus to make sure that our raw material costs, etc. there is a significant focus on that, so two operational focus elements on productivity and costs and the other is expanding the product portfolio to use multiple applications and exports. Thank you.
Ashin: My next question is on the E-mobility side. So, given the fact that now E-3 wheeler is increasing as a percentage of our total E-mobility volumes, could you give us color on how is the profitability ther

e and within the E-3 wheeler side if you could help us also give us a split in the
E-rickshaw and E-auto, that would be helpful.
Sanjay Behl: Yes. So, in fact, we registered a growth in both L3 and L5 segment. L3 being the Electric rickshaw segment and L5 the Auto segment there. Both of them grew very, very strongly over the last quarter, the total sales, the volume we did was 4,706 between both the formats there, which

is a 127% growth y-o-y and about 75% growth which is q-o-q. Of this close to about 3,000 numbers were Electric rickshaw and the balance was L5, and both had registered a pretty strong growth there.
Coming to your profitability question, our 3-wheeler business is very close to operating margin breakeven now and going forward with some growth on this number, we should be having a profitable kind of a margin on this business plan. Coming to Electric 2-wheeler as I think Akhila also mentioned, there was some challenges in terms of subsidy, but that chapter is behind us. Through the provisioning that we have done, we've closed the entire amount which has been provided in the balance sheet. Going forward with subsidy getting restored, we have been declaring EBITDA positive quarter. If you see Q4 of last financial year, we were a positive operating business in Electric 2-wheelers. So, with the subsidy getting restored, we are very hopeful that we will get back to our operating margins.
Ashin: Yes. And lastly on the Excel Controlinkage side, so this business is growing pretty strongly. Could you help us understand, is there any synergy of this business with our existing business and how do we see this business going ahead?
Arup Basu : As I mentioned in my opening comments, the product portfolio that they make are used for controlling the vehicles, now they can be construction vehicles or they can be trucks or whatever it is and that's the synergy because we work on the Engine side and the Engines need to be then controlled through levers, sensors, whatever it is. So, the control part is an intrinsic aspect of any prime mover whether that is IC Engine based or Electric. So, that's an intrinsic and natural adjacency to our product portfolio. Thanks.
Moderator: Thank you. The next question is from the line of Amy Pirani from JP Morgan. Please go ahead.
Amy Pirani: First of all, clarification on this subsidy issue, you have paid the government around Rs. 140 crores like you mentioned. The Rs. 360 crores which you mentioned is pending for as of the first half of this year, are you still trying to claim that, or you have given up that claim also with the government?
Sanjay Behl : Let me clarify. As I had actually mentioned in my commentary that we submitted the money without accepting any allegations and actually without prejudice. So, we do reserve our legal rights at this point of time. The decision whether we want to go for it or not, I think will be prospective and I don't want to really take on that at this stage.
Amy Pirani: And the vehicle that you're selling now starting Q3, are you still continuing to build that you will receive the FAME subsidy or right now you are selling without FAME subsidy for now?
Sanjay Behl : As I again mentioned there in my commentary that we are waiting confirmation from ministry for taking the necessary steps now to get back to portal now. So, I think as and when that

happens, then we'll start billing it. Till then I think we will continue as we have continued in the first half of the year.
Amy Pirani: Okay, so the customers are getting the same subsidy for now in their pricing.
Sanjay Behl : Not yet. As I told you, this can only happen once we have withdrawal of the show cause notice and portal activation, which is yet to be confirmed. The date of that is yet to be confirmed to us. The moment it happens then the custome

rs can avail subsidy. Till then, we're not passing
any subsidy.
Amy Pirani: Anyway the subsidies have come down and going forward you have the newer launches. So, as we look into next year assuming a post subsidy world, how should we think about the profitability with the overall portfolio that you intend to have on the Electric 2-wheeler side?
Sanjay Behl : First, I want to just clarify that, we are neither getting subsidy nor we are charging any customer for the subsidy at this stage. So, it's been at the pricing excluding any subsidy incentive to the customer. Going forward, as we get the subsidy, as you know, it now has been brought down from Rs. 15,000 a kilowatt hour to Rs. 10,000. If you see our largest selling vehicle Magnus EX has got a 2.3 kilowatt battery. So, if you look at these two conditions that they have, one is 10,000 kilowatt per hour battery and the 15% of the ex-factory price, whichever is lower, is going to be subsidy. This then qualifies Magnus EX, our largest selling product to approximately Rs. 16,000 subsidy per vehicle. That Rs. 16,000 is then going to go partly into margin and partly probably we'll pass it on to the customer to make ourselves even more competitive and get back to some mobilizing our momentum and getting back to the double-digit share that we used to enjoy pre-stopping of the portal. So, that I think is yet to unfold there, but you can

understand that at about the volume that we are doing, you can multiply by Rs. 16,000 per vehicle. Then we have high-speed vehicles where we can enjoy up to Rs. 20,000 to Rs. 22,000 incentive per vehicle. So, an average of that would be a very good indication of how much additional margin can accrue. And then we will use that partly to become even more competitive and mobilize our scale and partly of course, it will be a margin accretive incentive that we will do.
Amy Pirani: Understood. I appreciate that. But I was more thinking from the point of view of say, assuming that the FAME is anyways ending. I mean there is talk of FAME-III, we don't know yet, but assuming that the FAME is anyways ending by March 24. Given the newer high-speed vehicles that you have anyways unveiled, and you have mentioned in the presentation also, how should we think of profitability? And if you can just add, where do you stand on the PLI? Any of your vehicles are you trying to get them certified for PLI and what benefit could be next year?
Sanjay Behl : Yes. So, coming to FAME III, you're right. Currently there is no notification that we have on FAME III and the current timeline stipulated for FAME II to get over is 31st March 2024. So, we have about four and half months ahead of us, a little over four and half months for the subsidy

to end. Now the announcement of city and high-speed scooters that you talked about, there are high-speed we have Primus and we already have mentioned in our investor deck, there is one more that we are planning to launch before the end of this financial year. And if you take into that, the subsidy FAME gets over, it gets over for everybody. So, it is still a level playing field and the overall level of the water is going to go up. Then we will have to see as to how much of Electric industry is able to absorb. But given the product’s competitiveness, we are reasonably confident to get a fair share of the high-speed market even without subsidy because it is going to be level playing field versus other players. So, we should be hoping to get the rightful share of the high-speed segment of the market.
We believe that if subsidy goes away, FAME III, City speed will become a little more prominent given the price factor as you understand and high-speed will probably shrink a little bit of a segment. But within that I think we will be extremely competitive. So, that's what we believe.
The second part about PLI, we are not part of the PLI at this

point of time. There are two kinds of PLIs, as you know, one of the PLIs as and when it kicks in, one is cell PLI, advanced cell chemistry PLI and one is a component PLI. As and when it kicks in there is a stipulation as per PLI policy that part of the benefit has to be passed on to OEMs and we will qualify for that. So, we will take as and when that benefit really starts coming in.
Amy Pirani: But your own vehicle, you're saying you're not trying to get them certified for PLI, like you’re as an OEM yourself of the vehicles.
Sanjay Behl : No, PLI is actually an eligibility where you have to apply to the government policy to get that. So, we are not part of that kind yet.
Amy Pirani: Okay. Thanks a lot.
Moderator : Thank you. The next question is from the line of Pramod Amte from Incred. Please go ahead.
Pramod Amte : My first question is with regard to the 3-wheelers, when you say operating margin, is it EBITDA margins, or just to clarify, profitable?
Sanjay Behl : For 3-wheelers, I'm talking about operating margin to start with and then of course, there will be PBT which will be break even.
Pramod Amte : The operating margin as per your definition is EBITDA or gross margin? Just to clarify.
Sanjay Behl : Operating margin, I'm talking about EBITDA margin.
Pramod Amte : The second question related to the same is, if you look at 3-wheeler and 2-wheeler, you are one of the few guys who operate in both the spaces. I wanted to understand considering the position where you are, will you be able to make operating margins much faster in 3-wheelers.

Can you tell us something about the competitive intensity and technology? Is it better there in 3-wheelers and hence it is relatively faster and possible to accretive on the margin front as compared to 2-wheelers? And also, second one is, are there any synergies you have been able to draw from 2-wheelers to 3-wheelers and hence that cost optimization has also played out for you to early achieve those given points on a lower volume?
Sanjay Behl : Let me first come to your first question in terms of 3-wheelers. 3-wheeler intrinsically has been the strength of Greaves as a group. In fact, the legacy of the entire Engineering excellence actually comes from the three-wheeler province that the group has demonstrated. Arup did talk about the entire power train and how it comes to really mobilize any kind of a 3-wheeler on the road so. Coming from there, our 3-wheeler intrinsically has got a stronger profit margin because we have a portfolio of diesel, CNG, and emerging of Electric. So, we have an intrinsically stronger margin in ICE 3-wheelers that we are currently marketing through MLR

Auto, that's the subsidiary of Greaves Electric Mobility. I'll come to the Electric rickshaw a little later.

The second part of Electric technology you talked about of Electric Autos, Electric L5, we just unveiled the Electric cargo vehicle called Greaves Eltra, which on Electric power train technology is superior to any other competitor that is on the Indian roads there. It has a range of over 100 kilometers to a single charge. It's got the ability for full payload of over 500 kgs to do a 12 degrees gradient kind of a slope. It's the first fully IoT connected cargo Electric 3-wheeler vehicle on the road. So, with technology we benefit from that.

Coming to the second part of your question about synergies between 2 and 3-wheelers, there is a tremendous synergy that we get both in terms of backend and also in terms of front end. In terms of backend there is a dramatic synergy in Engineering design and the supply chain sourcing which really starts coming in. It's not just the parts commonality or platform commonality. It's purely in terms of the resource and the skill base we have in our human talent, I think it's a great synergy we get. Yes, there are some other design synergies, data, for example, HMI

clusters, Batteries, some of these are other synergies that we have started already getting some early benefits from as we start launching our 3-wheeler business.

Coming to Electric rickshaw business, which is the other part of our business there, there again we are operatively strong in terms of our ability to one, in terms of our margins and I'm talking about EBITDA not gross you know, EBITDA margins there and there also we are working towards making sure that our Electric rickshaw is one of the most reliable, trustworthy and safe Electric rickshaws on Indian roads. And that's the kind of a journey we are on and there too as the same synergies from our 2 and 3-wheeler, the other L5 business do spill over dramatically, but I can take any specific pointer if you want to have.

Pramod Amte : As a follow up, the reason to ask this synergy is the largest cost component which is battery seems to be of different nature and Kilowatt So, how do you derive that by sourcing from same vendor or actually what does it go at the back end?

Sanjay Behl : There are two things in the battery. One is the cell and the second is really the assembled battery. So, we are looking at convergence as we go forward as we are building scale and we're building more products in our portfolio. Till about last year, we had just Magnus EX and Zeal EX, just the two products. Now we have Primus added on. We have just launched ELTRA cargo vehicle. We are about to introduce passenger as we go forward there. Clearly the point you made, both in terms of cell procurement and in terms batteries and it's not too different actually. It's just a matter of basically modularity of a battery moving from 2 kilowatt to probably 10 kilowatt for a 3-wheeler kind of a drive power drain that it needs. So, yes, we are going to be converging and you will see in the next few quarters of convergence happening both in terms of cell and the battery assembly going forward over the next one to two years, you'll see that happening.

Pramod Amte : Thanks. So, one thing which if you can address which missed out was the competitive intensity in 2-wheeler vs 3-wheeler.

Sanjay Behl : The competitive intensity in either of the markets it's fairly well established. It's like both personal and shared ability have been in India for very long time and both of them have fairly strong players and India's position even in the global roadmap has been fairly strong both in 2-wheelers and 3-wheelers there. It just happens that in 2-wheelers if you just start counting the number of players both domestic and international, and the EV journey to that extent has been a little more pronounced than in 3-wheeler at this point of time and 2-wheelers in terms of its Electric journey started about three to four years, a little ahead of the 3-wheeler market. So, that may be the only difference. But at this point of time, just to give you one data point, we will probably have close to about three quarters of a million Electric 3-wheelers coming onto Indian roads, which is not very different than a 2-wheeler numbers.

So, in terms of the growth gradients right now Electric 3-wheelers are actually accelerating even faster. And I did give you the numbers of quarter and quarter 23% growth that the industry got. In fact, Electric L5 had 56% Q-o-Q growth which is the Q2 over Q1. So, overall, in terms of competitive intensity, while on the paper it looks 2-wheeler is a little high, but I would say that both are equally competitively intense and I think that's a very welcome thing because overall industry moves faster, the ecosystem develops faster, the supply chain comes very, very quickly there. I think this is a very good healthy competition which benefits customers at the end of the day. So, I think it's very welcome in both industries.

Moderator : Thank you. The next question is from the line of Siddhanth Sanja

y Shah from KVS. Please go ahead.

Siddhanth Shah : I just wanted to sort of circle back on the exciting announcement that you're sort of released to the rest of the shareholders about Abdullatif Jameel and their investment into Greaves, Electric Mobility. And since their sort of investment has been around a year and a half, I think there is not a lot of information regarding the potential synergies going forward. So, for the benefit of Greaves shareholders, can you spend some time throwing some light on the last one year? Since the investment was made, how have we evolved as a company by having them not only as a financial partner, but also as a strategic partner on board?
Nagesh: As you alluded, ALJ came in as a strategic investor more than about 15 months ago, June of last year to be precise, right? They are a global distributor around in 30 plus countries bring in international depth, have worked with other EV companies like Rivian, which went through its own startup phase, etc So, clearly, they are valuable members of the board and help our management from time to time. So, they are a minority investor. They are a valuable addition to our extended team, and I think as Sanjay and the team go international, I think they are going to be even more valuable given their international experience.
Siddhanth Shah : Got it. So, the distribution capabilities are well understood and appreciated and hopefully the management would be kind enough to sort of lay out a road map for expanding our export sort of mix. But I was reading an interview given by Hassan Jameel and you sort of mentioned about how their mobility strategy has three core pillars. And out of that, their first pillar sort of revolved around design and it seems like over the last one year or year and a half, we've been sort of making that, or forgive my lack of ignorance on the timeline, but it seems like our key priority also revolves more around product and tech, and sort of having them on board have we seen any advancements on the same or can you spend some light as to just explaining a little bit about what advancements have been made on the tech and product side on the Electric Mobility piece of business? Thanks.
Nagesh: Yes. So, I think that's a good point. If some of you were at our Auto Expo stall where we unveiled a series of products designed in India and Engineered and designed by our stylist. So, we have an in-house design styling team and an in-house infotainment and a cluster team. So, a lot of the design elements, the product development collectively, but the entire think tank led by the management team and supported by the board, right. I think it’s well on its way. I will also request Mr. Behl to add.
Sanjay Behl: Just to get into a specific question you asked on design, as Nagesh mentioned, in Auto Expo we had unveiled the core design theme and the philosophy for both our 2-wheelers and 3-wheelers embedded into arctic turn inspiration. This is the Norwegian bird we talked about and that was to really slow into our design ethos for all our products there, that is, as you rightly said, some of the investor inputs have already been taken in and from the ALJ team there and both of us have co-developed it in the in-house, what we call Greaves Design Studio.

Now that product, the first real implementation of that is coming up actually part of investor deck is going to be on the NX platform that you see as part of our presentation. So, that will be the full embodiment of the design ethos that are started now taking shape of all the Greaves electric mobility products. And going forward there is going to be a lot more platform convergence that you will start seeing not just within the different segments of 2-wheelers from low speed, city speed and high-speed, but also within the 3-wheeler business

es there and
as and when I think those are ready, I think we'll share the road map with you.
Moderator : Thank you. The next question is from the line of Sonal from Prescient Investment Management. Please go ahead.
Sonal: Sir, this is with regard to the 2-wheeler market. Just wanted to understand at this point in time, maybe October, November and maybe take a reference point of our 2-wheeler Primus, two 450 model for them and Ola S1, just wanted to understand that what is the difference in let's say the ex-showroom price or net on road price between us and them? Is it largely the subsidy that's the first question. And this is linked to the numbers on the ground what we're seeing on the Vahan dashboard, our numbers have come down significantly, while the numbers for the other are reasonably up. Just wanted to understand like is this just pricing, is this product specification and as somebody else in the call was asking earlier that maybe when the next round of FAME subsidy come, is this gap going to diminish over time? How do you see this market playing out because otherwise the product doesn't seem to be viable at the operating level, given how the margins we're talking about, just want to understand where are we actually in the market right now as we see speak?
Sanjay Behl: We are amongst the top five Electric 2-wheelers in the country at this stage and I'll take all parts of the question pretty quickly. So, we are at about a 6.3% market share of Electric 2-wheeler in Q2. Now you rightly said that compared to last year, which was about 12%, this

has come down, but there has been also an explanation to that in the last six months where we have not accounted for any subsidy. We have not availed any subsidy from the Government, and we have not really been able to pass it down to the customers. So, that has created an asymmetrical competition versus some of the other players who have had higher kilowatt batteries like Ola you talked about or some of our competitors with 3 kilowatts, 4 kilowatt batteries who have enjoyed a little higher subsidy. And with an asymmetrical competition where we were not availing it and they were availing it; the difference only went up. So, this is a momentary kind of a blip is what I would like to believe that we've seen in the first half and this should start recovering as we get normalized to the subsidy, whether it's FAME II or whether everything goes away and it becomes a level playing field or if FAME III has to come then of course, if Greaves is part of it, so that is a temporary blip. And I think that that's the way you should also look at it.

Coming to the overall segmental thing versus the sources of growth. There are two sources of growth for Electric 2-wheeler, if you include motorcycles or mopeds. Also, one source of

growth is that if a customer is wanting a second vehicle in the home or an existing ICE customer who is already a hot prospect, the second is a first-time mobility user. So, it's the first vehicle which takes into account. These are the two large sources of grow. For the person who's taking a second vehicle who's already got an ICE alternative, TCO and value probably becomes a little more kind of an important thing, and hence we are finding a lot more Electric 2-wheeler getting into those homes. For a first-time user who's coming into this category, it is important that FAME subsidy was able to provide that entry price kind of competitiveness to EV versus ICE options there. And with that subsidy reducing, we're already seeing some impact on the market and you rightly there that if your customer is going to walk in, if he's looking at any alternative of two seats, he's getting at Rs. 80,000, why will he pay Rs. 1,00,000 or Rs. 1,10,000 for an entry level similar spread in the Electric 2-wheeler. Yes. And hence the difference that has come now come up and that led to som

e slowdown in the market.

Going forward we believe that the Electronic prices really, which is largely part of RMC coming down, we believe that this prices along with some subsidy incentive continues will continue to get equated with the ICE alternatives and we will even have the second source of growth we can get into that. So, this is where the overall market is, and this is where our position is. If you have any other questions, then I can answer that.

Sonal: Just short on this, let's say just on the mathematical side of it, if there is no subsidy, the price of all these products should be basically comparable in the market. This is what I presume, is it should be? That is how it is.

Sanjay Behl: No. Amongst the EVs it will become parity. If there is no change through all the Electric 2-wheeler will not get FAME III but versus ICE, there is going to be a delta of about 20% to 25% entry price levels. But at a TCO level it is different. The total cost of ownership is a very different concept altogether. In total cost of ownership, even without subsidy an Electric 2-wheeler is far better. It's close to about Rs. 2.70, paisa per kilometer versus Rs. 3.30 to Rs. 3.40 per kilometer. That's the kind of equation there. So, it's still about 20% - 30% more comparatively.

Moderator: Thank you. Next question is from Rishikesh from Robo Capital. Please go ahead.

Rishikesh: Thank you for the opportunity. So, my first question is in regard to the EBITDA margins for E-mobility business. So, if you could comment, how do you see this in the coming quarters and what is the broad trajectory for the next one or two years?

Sanjay Behl: Overall EBITDA margins, if you look at the quarter four of last financial year, we were profitable in 2-wheelers and we had a marginal negative in our 3-wheeler. Going forward, at this point of time, I don't want to speculate there, but we are coming very close to operating margin break even in our 3-wheeler business. And 2-wheeler continues to be impacted by subsidy, as and when the subsidy gets regularized and if it gets regularized, we will be coming to unit economics positive of even 2-wheeler business.

Rishikesh: And regarding our GCL plus Excel, the other part of the business, the margins that we're doing currently, fair to say they are sustainable?

Akhila: So, basically what I would like to state here is that over the last eight quarters, we have been on this transformation journey. A few things that we’ve really focused on is the product portfolio enrichment like Arup had mentioned earlier, focusing a bit more on exports and this is something we are working on, cost reduction, commodity and obviously the benefit of the commodity pricing is coming to us. So, given all this and the continued focus on this, we would hope that all this helps us to sustain these margins at these levels. I hope that answers your question.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference over to Mr. Nagesh Basavanhalli for closing comments. Thank you and over to you, sir.

Nagesh: Thank you all for attending. just giving a quick summary here, our journey that we started, when during the COVID era, we took out costs and the cost journey continues like Dr. Basu was talking about and then the operating margin improvements are visible. Our journey on a fuel agnostic path, which was an end to end diesel plus, CNG plus Electric continues. Our journey on being a fuel agnostic player in addition and also looking at forward-looking skill sets i.e., Mechanical to Mechatronics, to Electronics and Sensor continues. So, thank you all for your attention and happy to take questions offline. Our management team will be ready and able to answer questions if you have additional questions since we had a paucity of time. Thank you. again, have a great day. Thank you ve

ry much.

Note: This transcript has been edited to improve readability.

This transcript contains statements that contain “forward looking statements” including, but without limitation, statements relating to the implementation of strategic initiatives, and other statements relating to Greaves Cotton (“Greaves” or the Company) future business developments and economic performance. While these forward-looking statements indicate our assessment and future expectations concerning the development of our business, a number of risks, uncertainties and other unknown factors could cause actual developments and For further information, please contact

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results to differ materially from our expectations. These factors include, but are not limited to, general market, macro-economic, governmental and regulatory trends, movements in currency exchange and interest rates, competitive pressures, technological developments, changes in the financial conditions of third parties dealing with us, legislative developments, and other key factors that could affect our business and financial performance. Greaves undertakes no obligation to publicly revise any forward-looking statements to reflect future / likely events or circumstances.

GREAVES

Call: Feb 2024

14th February, 2024

The Manager - Listing
BSE Limited
BSE Code: 501455 The Manager – Listing
National Stock Exchange of India Limited
NSE Code: GREAVESCOT

Dear Sir/Madam,

Sub: Transcript of the quarterly earnings call for the quarter and nine months ended 31st December, 2023

In furtherance to our letter dated 31st January, 2024, please find enclosed herewith the Transcript of the quarterly earnings call for the quarter and nine months ended 31st December, 2023. The transcript is also available on the Company's website at www.greavescotton.com

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Greaves Cotton Limited

Atindra Basu
Group General Counsel & Company Secretary

Encl.: a/a

Greaves Cotton Limited
Earnings Conference Call
February 08, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Greaves Cotton Limited Q3 and 9M FY24 Earnings Conference Call. From the management we have with us Mr. Nagesh Basavanhalli – Non-Executive Vice Chairman GCL, Dr. Arup Basu – Managing Director, GCL, Ms. Akhila Balachandar – Group CFO, GCL, Mr. Sanjay Behl – CEO, GEMPL, Mr. Narasimha Jayakumar – CEO, Greaves Retail, Chandrasekar Thyagarajan – CFO, GEMPL.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the opening remarks are concluded. Should you need assistance during the conference call, please signal the operator by pressing "*" then "0" on your touchtone phone.
I now hand the conference over to Mr. Nagesh Basavanhalli – Non-Executive Vice Chairman of Greaves Cotton Limited. Thank you and over to you, sir.
Nagesh Basavanhalli: Good afternoon everybody. Thank you for joining the Q3 FY24 Call for Greaves Cotton. At the outset, let me say a few words and then hand it over to management for the commentary.
We're happy to report the results and the details of which the CFO will be discussing shortly.
At the outset, our diverse portfolio and the strategy over the years with the commitment to fuel agnostic solutions have played a pivotal role in driving our advancements.
We're also glad to report the synergistic collaboration with Excel Controlinkage bringing new capabilities and newer avenues of growth for Greaves and Greaves Engineering continues to expand its presence in engines and other areas. Greaves Retail backed by its asset light, high

ROCE business and fortifying its presence in the aftermarket, aligning with our goal of continued expansion both in domestic and other markets.
Our enduring success is rooted in steadfast focus on capability building, our value proposition and our ability to fulfill the requirements of our diverse customer base. With that, let me hand it over to Dr. Basu, MD of Greaves.
Arup Basu: Thank you, Nagesh. Good afternoon ladies and gentlemen. My commentary is on the performance of Greaves Engineering that is Engines and Excel Controlinkage. We continue to make good progress on our ongoing program to build a future ready fuel agnostic portfolio to gradually wean us from a dependence on demand for diesel engines.

As I mentioned during the analyst call on 8 November 2023, the ICE Engine and Genset portfolio is being augmented with greener fuel agnostic variants that can use CNG, biodiesel and ethanol blended fuels.
In addition, we have commenced sales of fuel agnostic engine components. This new product line utilizes our current manufacturing equipment and will help us extract more value from our manufacturing infrastructure and other equipment.
Additionally, as this new product line relies on our existing domain expertise in precision machining, the business can grow relatively rapidly. Simultaneously, we are increasing our share of exports which in Q3 FY24 has

increased to about 15% of our revenues. The integration
with Excel Controlinkage has moved to the next stage with the initiation of cross selling products and services.
Simultaneously, we are continuing to augment our prevailing domain depth in mechanical engineering with mechatronics and electronics. The latter will also help accelerate the growth of electronic sensors. In Q3 FY24, Greaves Engineering delivered an operating profit margin of 15.5% on revenues of Rs. 375 crore, higher than the 5.5% EBITDA that was delivered in Q3 FY23 and higher than the 14.5% EBITDA delivered in Q2 FY24.
In the Engine segment, operating profit margin improved to 12.6% in Q3 FY24 on revenues of Rs. 301 crore compared to 5.5% EBITDA in Q3 FY23 and 10.5% in Q2 FY24. Excel Controlinkage delivered in operating profit margin of 27.5% on revenues of Rs. 74 crores in Q3 FY24. Overall, the prevailing tailwinds in the Indian economy, our increasing global customer base, the diversity of our platform technologies and application areas combined with our brand Greaves makes us optimistic about the future. Thank you. I now hand it over to Sanjay Behl. Over to you Sanjay.
Sanjay Behl: Thank you, Arup. I'm going to talk about the Greaves Electric Mobility business for Q3 FY24.
Overall, Greaves Electric Mobility had an excellent quarter in the 3-wheeler business with 37% year-on-year growth. While our L3 business registered a healthy 18% growth, the L5 business nearly doubled during the quarter with 94% year-on-year growth. Our new Electric Cargo 3-wheeler, Greaves Eltra is now FAME subsidy eligible and listed on the NAV portal effective 15th of January 2024.
The Electric passenger 3-wheeler vehicle business is also FAME certified now, and we expect listing on the NAV portal over the coming few days. We are confident of a good retail offtake starting this month for our EV 3-wheeler business both for Eltra Cargo and Passenger vehicles.
In our 2-wheeler business while the overall volumes declined on a quarter-on-quarter basis, Ampere registrations grew on Vahan by 9% in Q3 FY24 and the brand continues to be amongst the top 5 electric scooters in India.

As announced during the Auto Expo last year, we will soon be launching the much-awaited NXG Scooter. This new age high speed fully connected scooter is 100% in-house, designed by the Greaves design team and will be manufactured at our EV Mega Site in Ranipet. This new scooter from Ampere portfolio is equipped with one of the lightest operating software and brightest touch screens ensuring seamless navigation and connectivity, elevating the driving experience to a new height.
With an objective to demonstrate NXGs impressive power performance and superiority, we embarked upon an unprecedented 5,100-kilometer, long Kashmir to Kanyakumari drive on January 14th of this year, just about 3 weeks back and we started symbolically with Reasi, a source of the lithium finds in Jammu Kashmir. This is the first of its kind road travel challenge undertaken and that too in extreme climatic condition and vastly varying road terrains of the country by any electric vehicle of any format in India.
With these vehicles halfway in their journey, the response from the field has been extremely positive thus far. We continue to stay invested in launching new products and variants and we are hopeful of continuing profitable growth in the coming quarters. Thank you. may I now hand

over to Narasimha from Greaves Retail.
Narasimha Jayakumar: Good afternoon, ladies and gentlemen. This is Narasimha Jayakumar, CEO of Greves Retail. Very pleased to give you an update for Q3 FY24. Greaves Retail recorded a revenue of Rs. 141 crores for Q3 FY24, very strong EBITDA margins of 21.4%. We had higher spare part sales in all our core markets with a much better product mix.
Q3 FY24 EBITDA margins were up by 310 basis points on a year-on

-year basis and for the
9M FY24 we have recorded a revenue of Rs. 425 crores, up 8% YoY. Greaves Retail continues to be committed to its strategy to be fuel agnostic aftermarket players with a focus on multi brand part sales. During the quarter, Greaves Retail expanded its range of various products, namely our Greaves Power Raja Battery, various EV parts for the aftermarket catering to the e-rickshaw segment. These include motors, controllers, chargers, DCDC converters etcetera for the e-rickshaw segment. We also did launch a number of digital and technology initiatives including the launch of our new Greaves care app for 3-wheeler and 2-wheeler customers that enable them to digitally manage their service bookings and get notifications when their service is due. Considering the growth of the EV population, particularly e-rickshaws, the business continues to expand, distribution and retailing reach.
As I've stated previously in our calls, across the country with the greater emphasis on Tier 2, Tier 3 cities and towns in the North and East of the country. At the end of Q3 FY24, we had our retailing network had approximately 9,300 retailers including 250 specialist stock kits for EV parts and battery, 130 plus distributors and we have engaged with 21,000 plus mechanics in the country.

Our recent launch of our Greaves Upahar which is our mechanic loyalty program app, and our other apps strengthens our connections with our partners and customers. I just want to reiterate that we are a very asset light business and with a very high ROCE, ROCE for the quarter exceeded 100%, so excited about that. Just handing it over to now Akhila.
Akhila Balachandar: Thanks Narasimha and good afternoon, everyone. We are very happy to report our consolidated revenue for the quarter of Rs. 665 crore, up by 30% on a year-on-year basis compared to Rs. 514 crores last year Q3 FY23. On a standalone basis GCL has reported a revenue of Rs. 443 crore, up by 21% year-on-year. Excel, as already shared by Arup, reported a revenue of Rs. 74 crores and electric mobility has reported a revenue of Rs. 149 crores.
For the 9M FY24, GCL has reported a standalone revenue of Rs. 1,297 crores, up by 17%. Again, on a standalone level GCL reported an EBITDA of Rs. 67 crores, which is a growth of 73% year-on-year. Our margins have improved by 450 basis points, that is we moved from 10.7% to 15.2%. Here, I would like to share that we continue on our EBITDA improvement journey. This quarter, we have reported EBITDA at 15.2%, which is possibly the highest in the last 8 to 10 quarters and if I were to look at GCL plus Excel as a combination the margin stands at a healthy 16.9%. This now puts us back on track of our historical trend of 13% plus margins of pre COVID levels.
On a YTD basis also, our EBITDA for the 9M FY24 stood at Rs. 175 crores. Same period last year our EBITDA was Rs. 100 crores and hence a growth of 76% year-on-year, our improvement in margins has also been by 450 basis points for this period, up from 9.1% to 13.5%. Along with the margins, we have been very focused on capital efficiency both at the CAPEX level and at the working capital level and this has ensured that our ROCE today stands at a healthy 50 plus percentage level.
In terms of balance sheet strength, the company continues to be almost at a zero-debt level, and we have a consolidated cash position of Rs. 600 plus crores which can be used for further expansion as we go forward.
Looking forward, we remain steadfast in our commitment to our growth strategy. We are also confident that our strong foundation and unwavering commitment to excellence will sustain our success in the forthcoming quarters and the exciting opportunities the future holds. One area that we had seen a lot of pressure in the early part of last year was the overall commodity cycle and that led to an increase in the r

aw material cost for some of our product segments.
I'm happy to note that the commodity cycle softening is having a positive impact and as we go forward, we're expecting the raw material prices and raw material cost as a percentage of revenue to remain stable in the coming quarters. I would just like to take a step back. We did receive number of questions over the last quarter regarding FAME subsidy and I would like to point out to the note number 6 in our consolidated financials and would like to share again that

GEMPL has submitted its response to the notice that it received from MHI within the prescribed timelines. The management has complied with the scheme, duly considering and supported by legal advice. However, keeping in mind the interest of the consumers and without accepting any of the allegations, contentions or statements in the notice and without any prejudice GEMPL on October 27, 2023, offered to amicably resolve and put the quietest to the matter refunded an amount of Rs. 140 crores towards the subsidy reimbursed by the MHI to date which is Rs. 124.9 crore and an interest of Rs. 15.1 crores.
The amount refunded and the subsidy receivable of Rs. 337.3 crores net of provisions have been fully provided for as an exceptional item in the statement during the second quarter of the financial year. With this, there is no further liability which rests on the company regarding this matter. Again, this is all explained in the last quarter, but given the number of questions I am just reclarifying the entire position. With this I now open the floor for the Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amin Pirani from JP Morgan. Please go ahead.
Amyn Pirani: My first question is on the EV business as well as more specifically on the EV 2-wheeler. You mentioned that you are going to be soon launching the NXG which was shown at the last Auto Expo. I just wanted to get a sense from you in terms of how we should think about pricing given that a lot of the startups as well as legacy companies have launched lower price products and in an extreme case at least one company has started launching extremely low-priced products almost taking the price of a smart EV to the price of a very basic EV more recently. So, how should we think about pricing and profitability going forward as you embark on new launches and try to regain some of the market share?
Sanjay Behl: If you've seen the philosophy of pricing by Greaves, in fact over the past 4 years if you look at our electric portfolio, we have adequately demand cost and price in this category and will continue to stay the course. Our core philosophy is to balance growth, market share and profitability. So, if you look at the overall numbers, we still are even without subsidy a double-digit gross margin positive business in EV and I'm specifically talking to the 2-wheelers that you referred to. So, what is to be expected is in the new scooter that we are launching, the price will be competitive to make sure that we stay in unit economics positive and if subsidy gets restored going forward which you expect. I think it will be a healthy margin, that's what you should expect.
Amyn Pirani: And as a corollary to this, how much of a benefit are you already seeing or are expecting to see from the fact that cell prices have fallen. So, is this double-digit gross margin helped already because of the decline in cell prices, or this is something that can get some more benefit going forward?

Sanjay Behl: So, partly you're right. In fact, there has been a globally softening of cell prices that we've seen over the last two quarters and part of the benefit is being passed on by the industry that is helping us also so that is there and we expec

t that with the overall scale going up in electric vehicle industry and across all the formats there we expect the cell prices to continue to stay where they are and if that happens or continue to come down slightly and if that happens, you will find us also becoming more price competitive and margin healthy as we go forward.
Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.
Jyoti Singh: My question is on the growth side what are the expectations on the top line side going forward?
Akhila Balachandar: So, as a policy the company has not been giving any forward guidance and that is the policy that we continue to have. But if you've been tracking us for the past many quarters, there has been a transformation journey which is now in play for more than 7 to 8 quarters and whatever has been talked about and committed by the management is a lot of things work in progress, a lot of things are continuing now to play out, so that is what I would be able to share about it.
Jyoti Singh: Also, it will be very helpful if you can guide us segment wise like which segment, we are seeing more traction that will also be helpful for us?
Akhila Balachandar: When you say segment, would it be Retail and Engines business or is there anything else that you're looking forward?
Jyoti Singh: Yes, ma'am Retail and Engine in general.
Akhila Balachandar: So, if you were to look at both the business performance this quarter as well as a journey over the last 7 - 8 quarters, where the Engine business if I were to take Q1 FY23 and therefore 7 quarters we've really moved from Rs. 253 crores on a quarterly run rate to now Rs. 300 plus crores and an EBITDA improving from 2.9% margin to 12.6%. On the Greaves Retail, we move the needle from Rs. 121 crores to Rs. 141 crores and the margin improvement has been significant from 16.5% to 21.4%.
On a quarter-on-quarter basis, we have done a growth of approximately 21% compared to the same period last year at a Greaves Cotton level and this has been the journey of the company.

Given that we acquired Excel in May of 2023, this also now has been addictive to our overall business performance and if you know Excel has done extremely well, delivered results of Rs. 74 crores top line and an EBITDA margin of 27.5%.
GCL plus Excel hence gives me a very good, combined result of Rs. 517 crores for the quarter with the margin of close to 17% or 16.9% to be very precise. So, this is the journey that we have now gone through.

Moderator: Thank you. The next question is from the line of Himanshu Dugal from SafeGainz. Please go ahead.
Himanshu Dugar: If you could just give us an update around the cash deployment plan on your CAPEX timeline and the acquisitions and what are you looking at right now?
Akhila Balachandar: As you are aware, we currently have close to Rs. 400 crores plus of cash at a standalone level and close to Rs. 600 crores plus at the consolidated level which means our subsidiary Greaves Electric Mobility has Rs. 200 crores approximately of cash on their books. Both these companies have very strong CAPEX plans going forward.
At Greaves Cotton, our CAPEX plan is approximately Rs. 100 crores for this year and Greaves Electric Mobility have got its own plans of another Rs. 100 crores CAPEX in the current year, all these investments are towards the development of newer technologies and improving the existing product portfolio. This is core to the business and that is where we are currently investing.
Apart from that, we are also actively looking for opportunities where we can acquire stakes in businesses which will be additive to our core businesses which is both the Engines, Retails and Electric Mobility businesses. So, we do have enough strength in our balance sheet today to do some really good acquisitions . I hope that answe

rs your question.
Himanshu Dugar: Just a follow up on that, especially on the Electric side, what are the current capacity levels and utilizations and in this new CAPEX are you looking at design related CAPEX or is it again going to be towards some amount of capacity?
Sanjay Behl: Most of the CAPEX till now, if you know the Ranipet which is the EV Mega Site capacity for our 2-wheeler business some quarter of a million already existing with one shift and going to half a million now scooters in two shifts there. So, there is very limited capacity. Most of this is growth related CAPEX which is getting into product development. And capacity is minimal in the current financial year. We already have adequate capacity for both 2-wheeler and 3-wheeler businesses.
Himanshu Dugar: Sorry I'm not able to follow like these Rs. 100 crores that you're planning to spend in the coming year?
Sanjay Behl: Most of it is on product development. Capacity is limited because both our 2-wheeler and 3-wheeler businesses have adequate capacity and headspace for continued growth for some time to come.
Himanshu Dugar: Any insights on your product pipeline, in terms like what are the kind of products you're planning to launch or some other gaps in your product portfolio because I understand given

the recent launches also, you're kind of covering most of the gaps different types available. So, what else do you think is pending or where else do you want to introduce more products?
Sanjay Behl: In the Electric Mobility side, one segment where we wanted to represent and that's what I talked about in my opening commentary also was the high speed fully connected IoT segment there and that's getting filled up with the launch and pending launch of NXG as it gets into the launch sometime in the first half of this year. So, that is the one that is getting filled up in electric 2-wheeler that will make Greaves Electric Mobility a strong player across all the three segments in slow speed with Rio which we launched last quarter. Our city speed we have anyway been in a very strong leading position there with Magnus ex and coming to high speed one with primus that we launched and now getting completed with NXG we would have a representation across all the four segments.
On the 3-wheeler side, one segment where we have not been represented as the electric 3-wheeler L5 format and that we launched an Electric Cargo lost last month and passenger we should be launching anytime over the course of this quarter itself. So, that fills the electric 3-wheeler both cargo and passenger segments. So, that will now give us if you look at the Greaves Electric Mobility, full representation across all the customer segments in both 2-wheelers and 3-wheelers and both for B2C and B2B plans.
Himanshu Dugal: Just one last question on the Electric Mobility side. Now that this same thing is kind of getting settled and are you looking at some aggressiveness towards your campaigning or the marketing or some changing in the model what are you trying to gain market share here, what else are

you working on?
Sanjay Behl: So, look at our current position as we get into this three basic facts and three initiatives if you see. The three basic facts are that even without subsidy now running for 8 months in a row, Greaves Electric Mobility continues to be amongst the top 5 electric scooters in the country in terms of its market share. Look at our YTD market share, it's close to about 7%. I'm talking about YTD as in now it's close to about 7% and then with subsidy getting restored hopefully it has enough resilience because subsidy will be to the tune of about added 15% does make us more competitive in our product price proposition in the market. So, that would be one key thing and specifically to your question about regaining market share so that gives us resilience in the market gap. Added to th

at, there are both initiatives on products. One new variants have been launched and second new products are being launched.
One variant that has just gotten to the market is a variant of Magnus, our flagship product Magnus Ex, that's Magnus LT which is still in the city speed segment, but it's attracting a different kind of a customer and the second one which is a new product and will attract a new set customer segment altogether is the launch of NXG, which is a high speed scooter.

So, these are the some of the things specifically in 2-wheelers if you see, these are the products that we’re launching, and I already talked about 3-wheeler collateral filling the product. In addition to that, the point that you made on additional marketing spends and all that I think we will continue to stay extremely capital efficient in our marketing right now. Given that it's still a nascent category with low penetration so we will be a lot more digital and direct marketing focused and we will evaluate from quarter-to-quarter as to when is the time to go and really start increasing our marketing dollars. So, the ROI in terms of marketing will remain a very, very high priority for the company.
Moderator: Thank you. Our next question is from the line of Rishikesh Oza from RoboCapital. Please go ahead.
Rishikesh Oza: Sir my question is with respect to our EV 2-wheelers and 3-wheeler volume. So, how do you see the volume growth going ahead from Q4 FY24 onwards and for the coming one or two years for about 2-wheelers as well as 3-wheelers?
Sanjay Behl: I think it's a question about forward guidance both in terms of market and specific portfolio and as Ms. Akhila has clarified that as per our policy, we will not be able to give you forward guidance, but I think the current trends are indicative enough. As you've seen in 2-wheeler slowed down a little from the earlier kind of accelerated growth gradient, but we expect this continued kind of a growth there and in 3-wheelers you've already seen that market is at about pre COVID levels and from here on, I think we will have to see as to how depending on many other variant which are yet unknown like incentives, games and government things and PLIs how they play out. So, we're in no position to give any speculative forward guidance on this.
Rishikesh Oza: But I think if I have to see quarter-on-quarter, both 2-wheeler as well as 3-wheeler numbers, there have dip the numbers. So, how do you see them going ahead like do we see them bouncing back to our previous numbers from next quarter onwards or from coming after coming few quarters can you please indicate?
Sanjay Behl: It’s again a forward guidance in a way. In a different way, you're asking the same question there. I do see the numbers that you're talking about which is that in the 3-wheeler segment you're seeing plateauing of numbers. Both in L3 actually there has been a decline quarter-on-quarter. I'm talking about the industry numbers and in L5 again there is a very marginal low single digit growth that you're seen in Q3 FY24. So, that's the current trend there. If you look at the January numbers, there are no better it's pretty much a flattish kind of a trend. So, at best published numbers of January which I can talk about and even in 2-wheelers, the market has been pretty flattish if you see the January numbers. If you look at the trending MRR converting into QRR and January is about 81,000 registrations in electric 2-wheelers which is almost equal to the 240 odd trends that we've seen in Q3 FY24. So, the published number is the best guidance I have at this stage.

Moderator: Sonal Minhas your line has been unmuted. Please go ahead with your question.
Sonal Minhas: Sir, I have a question on the E-mobility business. Given the EBITDA loss and the cash burn in this business hoping

it's going to improve from here on, but from a financial prudence perspective and maybe some internal workings I am presuming so like what is the level to which this business can bear the losses given the cash balance and from a timeline perspective what is it that you are near term milestones you want to have for this business to break even and to

cut the EBITDA losses?
Sanjay Behl: It's again a very strategic kind of question. Look the first thing is to get subsidy getting restored going forward. We need to start showing resilience in our market share that's going to be the first pick that the management team will look at as to how can we come back and start showing a rebound back into market share. And as I had mentioned in the earlier answer that we still continue to have a strong position in overall electric scooter segment with good traction for our products. So, that would be the first matrix there.
Second, it's going to be some of these new products that we are launching we'll have to have that matrix in terms of looking at how they can contribute and given that they will be addressing largely a new customer segment that's going to be a delta on top of the existing rebound that we are likely to see going forward. So, that's going to be a delta sitting on top of it and all this with a double-digit gross margin and good contribution, healthy contribution margin even without subsidy today is only going to add up and show a road to profitability specifically that you're mentioning about.
So, I think these are the two initiatives that are currently there beyond that there has been a strong improvement in our overall cost position over the last 3 quarters and that will continue to keep adding fuel to the high profitability road map. So, I would just leave it at that at this stage.
Moderator: Thank you. Our next question is from the line of Kapil Agarwal from Daksh & Associates. Please go ahead.
Kapil Agarwal: So, my first question is what is the status of FAME subsidy for Ampere and the second question regarding what kind of response we are getting from that Nepal market in terms of volume and pricing over there?
Sanjay Behl: So, to the first question as you heard Akhila clarify in the subsidy clarification that we gave. We refunded the subsidy amount to MHI on 27th of October. Ampere products were taken up by the authorized testing agency immediately after that for the FAME scheme recertification and our flagship scooter Magnus Ex has already been recertified for FAME-2 eligibility in December month and now we are expecting other models to get certified soon.

We are awaiting the MHIs approval at this stage to be regularized on the FAME scheme and this will happen by actual activation of the electric 2-wheeler products on the NAV portal So, that's the status of the number one answer to your number one question. Your numbers two questions on Nepal, we have sent 80 Primus vehicles in the last quarter to Nepal and that's the one partner dealer that we have, one of the largest firms in Kathmandu and we've already started retailing the scooters there about 20 of them have already got retailed out in the last about 4 to 6 weeks that the scooter has hit the shores of Nepal there and we expect this to continue growing as we go forward. The pricing is extremely competitive. In fact, it's the same pricing converted for Nepal currency that is stable.
Kapil Agarwal: So, approximately by when we can say that our FAME subsidy will be started for our 2-wheelers any timeline or anything if you can give?
Sanjay Behl: We were in no position to give a timeline. We are just, as I told you await MHI approval, but we're not in a position to give any timeline today.
Kapil Agarwal: Any other plan or we can say any other overseas market to tap any other overseas market in near future?
Sanjay Behl: Now, at this point of time

we are in talks with some markets there, but at this point of time nothing firm for me to commit at this stage.
Moderator: Thank you. Our next question is from the line of Anubhav from Prescient Capital. Please go ahead.
Anubhav: Sir, are there any fundraise plans for GEMPL in like the recent which are given like cash has gone lower and like still a loss-making business in foreseeable future. So, are there any near-term fundraising plans or are we even considering sort of an IPO for this?
Akhila Balachandar: So, Greaves Electric is obviously here for the long haul. They are currently in the process of developing various new products both in the 2-wheeler and 3-wheeler category and the management and the board, essentially the board, will take an appropriate decision as and when required. I hope that answers the question.
Anubhav: Just as a follow up, like do you see enough runway given the cash on books and given the product development spending and all and given the losses, do you see enough runway for the cash on books?
Akhila Balachandar: As of now, we do have sufficient runway and the board is actively seized of this matter and will take an appropriate decision.
Anubhav: Did we apply for the PLI scheme for the EV business?

Sanjay Behl: We are not part of the PLI scheme.
Moderator: Thank you. Our next question is from the line of Faisal Zubair Hawa from HG Hawa & Company. Please go ahead.
Faisal Zubair Hawa: In the repeated questions about the Electric Mobility, the original business of our power generators that get largely ignored. So, how are we doing in that business and what is the kind of R&D we are trying to do to be much ahead of the competition because Cummins seems to be doing very well and how are we placed against them now? What are the kind of ROCE and ROE that we have in that kind of business?
Arup Basu: So, in terms of the products and the offerings, first of all, we have a diverse set of applications where we are selling our Engines as well as our Components and the applications range on the way from auto to pumps to Gensets and now to the components of various engines where irrespective of the fuel which is used for the engine, that's one line of growth.
In terms of the others, we are looking at enriching our product mix through new product development. So, fuel agnostic engine design is a new product area because of the changing landscape on emissions. So, our entire Genset portfolio, for example, is CPCB-IV compliant, which is the latest compliance norms on this application.
Similarly, all our engines for the automotive applications in 3-wheelers are also compliant to the latest norms that are there that are prevailing in India. The third area of work is new customer acquisition because our portfolio across Excel and Engines opens up a larger landscape of potential customers for our products, that's the other dimension we are looking at and all of this is also linked to a growth in exports where we've got customers across EU as well as US, where we are selling both Engines as well as Engine Components and this is underpinned with our higher capacity utilization of our current asset base which is now up in the high 80s and 90s and that is also giving us decent amount of operating leverage. We have a fairly high degree of ROCE in the business as a result of all of these actions.
Needless to say, our cost focus is also very intense in terms of both the design of form and the design of Engines and Components that we're doing.
Faisal Zubair Hawa: Do you mean to say that our capacity utilization is around 85% to 90%? And how are we doing on orders, is the industrial revival and the CAPEX cycle also boosting our orders?
Arup Basu: For the CAPEX, we have a complex set of manufacturing facilities which is a combination of assembly lines as well as manufacturing. There was a lot of w

ork done on debottlenecking and increasing capacity utilizations which has happened internally which is why we have created a fair amount of additional capacity which we are able to cater to the next tranche of growth.
So, we are very thoughtful about how we spend our CAPEX and so we don't have a challenge

in terms of meeting spikes in orders or increasing orders and we have enough of our asset base to be able to do that without incurring very heavy CAPEX.
Faisal Zubair Hawa: Would it be a right statement to make that most of our divisions are like firing on all cylinders and it would be FAME subsidy which is causing some kind of problem and also sir on many concalls previously you have referred that you would like to build up an entire ecosystem of ancillary suppliers for our electric scooter. So, how far progress we have made on that are there people ready to invest money for us on a standalone basis to supply to us so that capacity can move up substantially as and when you know our profitability comes in?
Nagesh Basavanhalli: So, let me start. I think there are multiple questions I'll attempt. So, I think the first part is multiple businesses firing. I think that was the first part of the question. If you look at our strategy several years ago, we went from a single fuel single customer, single industry to multiple revenue streams which is Greaves Engineering which is components both in the Auto, Non-Auto as well as Construction of highway equipment now with the addition of Excel. So, the addressable market increases there. And yes, both on the Engines as well as on the Excel side you're seeing the margin improvement and the revenue growth aided both by domestic and some exports.
Now coming to Retail you've seen the Spares and the Services part and that's again the CFO talked about the margin growth in both of these businesses. Greaves Electric Mobility obviously Mr. Behl has shared a lot of the details into that and the short-term challenges that that business faces.
So, clearly the businesses have moved from a single business, single fuel to multiple businesses, multiple revenue streams and both between B2B and B2C thus moving towards a strategic focus of getting closer to the consumer doing both B2B plus B2C and leveraging lifecycle value extraction over the value chain and I think that's kind of what you're beginning to see which is part of your next question which is the ecosystem effects. When you look at, while the component play is done out of Engineering, high end engineering precision, component manufacturing, supply chain capability exists out of the first core, Retail is the post purchase

solutions which has the spares, the service, the aftermarket sales in between of course you sell the vehicles through Electric Mobility and then of course we have two small enabler businesses in the Greaves Finance which enables the financing of EV's and Technologies which helps develop advanced technologies into some of those engineering divisions.
So, when you look at it aided by the 20,000 odd mechanics, 10,000 odd retailers, Pan India presence and growing capability between mechanical to mechatronics to electronics, to sensors that capability expansion we are moving from an industry which is a metal bashing industry to over to lot of the mechatronics and then the software part. So, I think that skill set addition is also happening as part of this transition. So, I think that's kind of what you're saying

hopefully that shows why it's multiple revenue stream, it's diversified across fuels, across industries, across geographies hopefully that addresses your question.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference call to the management for closing comments.
Nagesh Basavanhalli: Thank you all for

joining. Much appreciate you taking the time this afternoon, obviously our management will be available for answering any questions offline through our respective coordinators. Thank you so much. Have a great day.

Note: This transcript has been edited to improve readability.

For further information, please contact
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Call: May 2024

15th May, 2024

The Manager - Listing
BSE Limited
BSE Code: 501455 The Manager – Listing
National Stock Exchange of India Limited
NSE Code: GREAVESCOT

Dear Sir/Madam,

Sub: Transcript of the quarterly earnings call for the quarter and year ended 31 st March, 2024

In furtherance to our letter dated 03rd May, 2024, please find enclosed herewith the Transcript of the quarterly earnings call for the q uarter and year ended 31 st March, 2024. The transcript is also available on the Company's websi te at www.greavescotton.com

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Greaves Cotton Limited

Atindra Basu
Group General Counsel & Company Secretary

Encl.: a/a

Greaves Cotton Limited

Q4 FY24 Earnings Conference Call

May 09, 2024

Management Representatives :
Nagesh Basavanhalli – Non - Executive Vice Chairman, GCL
Akhila Balachand ar – CFO, GCL

Dr. Arup Basu – Managing Director, GCL
K Vijaya Kumar – ED & CEO , Greaves Electric Mobility
Narasimha Jayakumar – CEO, Greaves Retail
Chandrasekar Thyagarajan – CFO, GEMPL
Varghese Thomas – Chief Communications Officer – GCL
Atindra Basu – Group General Counsel & Company Secretary

Moderator: Ladies and gentlemen, Good morning and welcome to Greaves Cotton Limited Q4 and FY24 Earnings Conference Call.
From the Management we have with us Mr. Nagesh Basavanhalli – Non-Executive Vice Chairman , GCL ; Ms. Akhila Balachandar – CFO, GCL; Dr. Arup Basu – Managing Director, GCL; Mr. K. Vijaya Kumar – ED and CEO, GEMPL ; Mr. Narasimha Jayakumar – CEO, Greaves Retail; Mr. Chandrasekar Thyagarajan – CFO, GEMPL; Mr. Varghese Thomas – Chief Communications Officer, GCL; Mr Atindra Basu – Group General Counsel and Company Secretary .
As a reminder, all participants ' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*" then "0"on your phone.
I now hand the conference over to Mr. Nagesh Basavanhalli, Non-Executive Vice Chairman of Greaves Cotton Limited. Thank you and over to you, sir.
Nagesh Basavanhalli: Good morning, everybody. Nagesh Basavanhalli here. Very glad to be here. Welcome to the Greaves Cotton Q4 Analysts call and hope you are having a great day today.
Our transformation journey from diesel engines to a multifaceted organization , embracing a fuel agnostic approach and getting closer to the customer, the journey we started a few years ago, is beginning to bear fruit . The company's performance over the last quarter underscores the resilience of our diversification strategy. Collaborating with Excel Controlinkage, our newest entity that we acquired, has unlocked new capabilities and growth for Greaves Engineering, both in India and abroad.
Our evolution from a B2B Diesel Engine only company to a B2B plus B2C has been fueled by the robustness of the strategy. This has been pivotal in installing confidence as we go forward.
I want to take this opportunity to ask the CFO to come in, and then the CEOs to come in and talk about their business in more detail. Over to your, Ms. Akhila Balachandar, she will discuss the financial performance. Thank you.
Akhila Balachandar: Thank you, Nagesh. And good morning, everyone. Like Nagesh mentioned, we have had a very good financial performance this year and we are happy to report our full year financials today.
On a standalone basis, revenue for Greaves Cotton stood at Rs.1,779 crores, a growth of 15% year -on-year . Our newest acquisition, Excel, revenue stands at Rs.263 crores on a full-year basis, a growth of 41% year -on-year with robust margins of 31%. Our engineering and re

tail
businesses both registered double -digit growth of 17% and 10%, respectively. And like I mentioned, Excel's acquisition has proven value accretive with a first -year growth of 41% year - on-year . Almost one -third of Excel's revenues are from the export market, and this has really helped us to grow efficiently.

Greaves Electric Mobility's revenue stands at Rs. 612 crores with a strong focus on new product launches and a path to profitability.
Coming to margins, standalone EBITDA for FY24 stood at Rs. 232 crores vis -a-vis Rs. 151 crores last year in the same period, a growth of 53% year -on-year . This has also been helped by extremely good margins at 13%, an improvement of 325 basis points compared to last year's 9.77%. And if I were to look at GCL plus Excel, a s a combined entity , the EBITDA is Rs. 309 crores with the margins at healthy 15.2%. As I mentioned earlier in both our earlier earnings presentations, this has put us back on track to a historical trend of 13% to 15% EBITDA margins.
Here I would also like to emphasize that we continue our EBITDA improvement journey.
On a standalone basis, our profits were decadal high, our PBT was a decadal high of Rs.366 crores. Along with the margin improvement journey, we have also focused on working capital management, and this has ensured that our ROCE stands at a healthy 50% plus. In terms of balance sheet strength, the company continues to have an almost zero -debt and standalone cash of Rs.500 + crores, which will be used for further expansion and investments as we go forward. Given the healthy performance of the company, the Board has proposed a final dividend of 100%. Looking forward, we remain steadfast in our commitment to our growth and transformation journey. We are confident that our strong foundation and unwavering

commitment to excellence will sustain our success in the forthcoming quarters and the exciting opportunities the future holds.
One area where we saw a lot of pressure in the early parts of the last year was the overall commodity cycle. I'm happy to note that the commodity cycle has been soft in this current financial year and had a very positive impact and will continue to do so going forward. We are also continuously monitoring and evaluating the current geopolitical situation and its sort of impact. However, we continue our internal endeavors in our profit improvement journey.
With this, I invite Dr. Arup Basu to share his remarks on the engineering business. Over to you, Arup.
Arup Basu: Thank you, Akhila. Good morning, ladies, and gentlemen. My commentary is on the performance of the engineering business, that is Greaves Engines and Excel Controlinkage.
In FY24 , the revenue of Greaves Engines grew 17%, as Akhila said. We continue to make good progress on our ongoing program to build a future -ready energy flexible portfolio to gradually wean us from a dependence on demand for diesel engines. As I mentioned during previous analyst calls on 8th November 2023, and again on 8th February 2024, the ICE engine and genset portfolio is being augmented with greener fuel agnostic variants that can use CNG and biodiesel and ethanol blended fuels.
In addition, we have commenced sales of engine components. These products utilize our current manufacturing assets and are helping us maximize value from our manufacturing

infrastructure and equipment. Additionally, as these products rely on our existing domain expertise and precision manufacturing, the business can grow relatively rapidly.
Simultaneously, we are increasing the share of exports in our total revenue. In FY24 , exports accounted for about 12.5% of total revenue. Our exports are relatively evenly distributed across the USA, European Union, and the rest of the world. This diversif

ication is intentional
as a form of geographic risk mitigation.
The integration with Excel Controlinkage has moved to the next stage with the initiation of cross selling products and services. We are continuing to augment our prevailing domain depth in mechanical engineering with mechatronics and electronics. The latter will also help support the growth of electronic sensors.
Overall, the prevailing tailwinds in the Indian economy and the manufacturing ecosystem in general, our geographically diverse customer base, our complementary platform technologies, and application areas, combined with our brand Greaves, makes us optimistic about the future.
Thank you.
I now hand it over to my colleague Narasimha Jayakumar. Over to you, Narasimha.
Narasimha Jayakumar: Good morning, ladies, and gentlemen. This is Narasimha Jayakumar, I'm the CEO of Greaves Retail. Very pleased to be here to present to you the business commentary for Q4 and for the full financial year.
Greaves Retail had strong revenue growth in Q4 FY24 with a 27 % year -on-year increase. Full year revenue increased by 10% Y -on-Y. Revenue was Rs. 162 crores for Q4 and for the full year was Rs.588 crores, which is a growth of 10%. Highlight was also the overall almost 120 bps of margin improvement overall compared to last year.
Just on the business itself, as you probably know, Greaves Retail continues to be amongst the top three aftermarket companies in India catering to the small commercial vehicle segment which spans three -wheeler s, electric three -wheeler s, and small commercial vehicles. During the course of the year, we have expanded our business operations significantly in spares distribution going across various vehicle segments. The network now spans both domestic and international markets. We have also, in Q4, done a major part line expansion to include electric vehicle parts like motors, controllers, batteries and so on, which targets the growing e -rickshaw market in the country, and in general on the electrification side.
We have our digital initiatives which I touched on in the previous analyst call that are now really bearing fruit and is proving to be a moat for the business. We have scaled up our Greaves Upahar mechanic loyalty program quite significantly. We now have almost touch 20,000 mechanics and we have over 5,000 active scanning mechanics on a daily basis. This has led to good secondary sales and good retention of customers for us.

Our Greaves Care outlets, which are essentially franchise -owned franchise -operated, have now touched almost 138 billing outlets in the country, which are a good sort of independent standalone spares consumption channels for us. And they also do multi -brand service outlets catering to both electric three -wheeler s and three -wheeler s.
We have also, on the institutional customer side, acquired additional customers in the railway

business for our gensets , spares and services, which has expanded our presence into new railway zones. Last but not least, our part lines now also include construction equipment parts catering to the growing construction equipment industry in India. This is on the beachhead of Excel's product portfolio for us.
So, overall, it has been a very good quarter and a year. We are very optimistic about the future. Thank you.
I would now like to hand it over to my colleague Mr. K. Vijaya Kumar, CEO of Greaves Electric Mobility Private Limited.
K. Vijaya Kumar: Very good morning, ladies, and gentlemen. Very happy to be here taking you through the performance of Greaves Electric Mobility for Q4.
So, in Q4, our total two-wheeler sales were 8,448 units. Our three -wheeler sales were 2,579. In total for Q4 we did 11,527 to be precise. And we closed the year at 61,000 total units of two-wheeler and three -wheeler together.

As an organization, as you are all aware, we are waiting for our subsidy approvals for which we have completed all our part of commitments to the Government of India, and we are waiting for the final approvals in terms of getting back onto the portal.
The most important and significant information from our side is on the new product development. We are happy to share that we launched our most awaited technology marvel, we call it the next big thing, a product name d Nexus into the market, to the press fraternity as well as to our complete dealership network this month. And it has been received very, very well in terms of overall response.
I would like to spend a few minutes explaining that. It comes with very innovative groundbreaking features, innovations which have been built into it that it has the first time a very multi patented hybrid swing arm which has a field suspension. Basically, it's a two -stage hybrid architecture which isolates the wheel shocks from the best of the NVH performance which we see in today 's two-wheeler market. Very effective belt protection system which gives it 5x durability.
So, if you see from a two-wheeler perspective in terms of right comfort, in terms of durability, and it has been designed and developed in India by a very, I will say, different theme which we

based it on the Arctic Tern. It's a bird which has motivated us to design that product. So, it has smart fit body panels, which is the first time again in India where there are no visible hard mountings, modular body panels for easy serviceability.
We are launching this for the first time around with the safest LSV battery there. As you are aware, it has a much better excellent energy chemistry, 30% better cycle life which gives it, from a TCO perspective, in terms of better durability and life. Unique thermal flow cooling architecture is what we have innovated currently where the wind flow as the vehicle travels. And from the front to the rear vents, it's so aesthetically designed, but at the same time it reduces the heat on the battery side.
So, I will not get into very large details of the product. But it's been an innovation which has been acknowledged by the media, acknowledged by our partners, and we are our own wave where it is expected to be successful is what our expectation is. On the dealer partner and the supplier side, they are really motivated. We are seeing an uptick in terms of their response to the product as well as to the overall outlook towards this financial year.
Coming to the three -wheeler business, last quarter we released our electric three -wheeler , called ELTRA, and it is now gaining traction in terms of visibility. We are going in stage phases launching the product. We started off from South India and now we are entering Uttar Pradesh in a very big way. And we see a lot of green shoots on the electric three -wheeler also.
So, that's an overview of overall from Greaves Electric Mobility side. And thank you for being on the call. Over to Varghese, please.
Nagesh Basavanhalli : Let's open it up for questions. I now hand it back to the moderator.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Aashin from Equirus Securities. Please go ahead.
Aashin Mod: Sir my first question is regarding margins in the engines business and in the aftermarket business. So, despite decent growth on a sequential basis, margins in both the businesses have reduced significantly. So, could you please help us understand what were the reasons behind that?
Nagesh Basavanhalli: Akhila?
Akhila Balachandar: So, essentially, if you realize, we have been going through a margin improvement journey. And over the last eight quarters, both our margins in both the engines business as well as

the retail
business have constantly been improving. There are cyclical impacts, there would be some

seasonality to it, but the North Star goal and target has been to move back to the 13% plus range. And on a yearly basis, if you see, we have come back to what we were in pre -COVID. I would not put too much significance into Q4, because I said there will be a business mix, there

will be product mix issues coming and playing in. But overall if I were to take on a yearly basis and also on eight quarter basis, we would have been able to do a robust improvement journey.
Aashin Mod: My second question is only e -mobility business. So, with this FAME 2 subsidy almost ending, could you help us understand are we qualified for the PLI scheme?
K. Vijaya Kumar: So, as I mentioned in my speech, we have completed all formalities from our side, and we are awaiting approvals from the Government of India.
Arup Basu: And additionally, your question on PLI, we are not part of the PLI scheme. Back on the FAME and EMPS, as you know, the FAME gave way to the EMPS scheme up to 31st July. And we are awaiting information on what happens beyond that date. Back on the PLI for just a moment, the supplier auto component PLI, we believe that working with our suppliers we should be able to get the price advantage coming from the PLI scheme that will, through market forces, be passed on to our part s suppliers.
Moderator: The next question is from the line of Niraj Kamtekar from ProsperoTree. Please go ahead.
Niraj Kamtekar: Sir, my question is related to standalone business. See, we used to sell 2,90,000 engine units in FY 20 and now the company is producing fuel agnostic machines . But our total sales are 88,846 units for FY24 . Can we reach the FY20 levels? And how we will reach that level?
Arup Basu: This is Arup Basu, maybe I can try and respond to that. So, what you have indicated is the auto engine sales for diesel engines. As I mentioned, we are now building a portfolio which will have diesel as well as CNG, as well as going forward electric, that's part of the plan. And when we look at engine sales, auto is one angle. The other applications are in the non -automotive applications, for example, pumps, etc. There also we have had just under 50,000 engines sales. So, our total engine sales are 136,000. There is a pattern shift in three -wheeler s where earlier there were essentially diesel -based three -wheeler s and now it's diesel plus CNG plus electric. So, the whole pie is changing. The three -wheeler industry is growing significantly, so we will be playing in the growing market for three -wheeler s. Thank you.
Niraj Kamtekar: Yes. But I think FY20, the number of units sold was 290,000 and we are half the mark, 1,36,000, in FY24 . Can we even reach the 2,00,000 mark?
Arup Basu: See, there are two things that happened from that time. There was COVID which pretty much had a significantly adverse impact on last mile mobility because of the lockdowns, etc. And combined with that, there was a lot of pushbacks against diesel -based three -wheeler applications, in many parts of India there were diesel bans and so on. So, what will happen is the three -wheeler industry is growing again, it will grow. And our portfolio and our participation in the three -wheeler industry will grow. The fuel mix will be determined by many other parameters, not by us. And that's the reason why we have put our efforts to create a

portfolio that is energy agnostic. So, whether it's CNG, whether it's diesel or whether it's electric, we will be playing in the entire range.
Niraj Kamtekar: And, sir, my last question, recently we launched the Nexus in the EV, but is it without the eligibility of the subsidy or with the subsidy we hav

e launched?
K. Vijaya Kumar: So, presently what we have launched, Nexus is without the subsidy built into it. So, we are focusing more on innovation, and we are focusing more on building efficiency in our supply chain and our cost of goods purchased and things like that. So, to answer your question, it's basically without subsidy.
Niraj Kamtekar: But if the subsidy is allowed, then the difference will be around Rs. 10,000, as per the new guidelines?
K. Vijaya Kumar: Yes, the difference will be around Rs. 10,000.
Niraj Kamtekar: And if permit me the last question that the other expense at the standalone level has increased from Rs. 44 crores on a quarter -on-quarter basis to Rs. 57 crores. Is there any specific reason for such, I think, the other expense?
Akhila Balachandar: So, let me take that. Essentially, other expenses include a lot of variable and manufacturing overheads. So, if you see, the growth from Q3 to Q4, that has also been significant. And most of the increase is on account of the directly variable expenses.
Niraj Kamtekar: But ma'am, the revenue has grown by 10% and expenses by more than 20%.
Akhila Balachandar: That is correct. As I said, there will be various components of the variable expenses, and this has grown in proportion to the overall growth in the business.
Moderator: Thank you. The next question is from the line of Chandrachoodamani from PrimeInvestor. Please go ahead.

Chandrachoodamani: So, my question is on EV business. So, after the unfortunate set of events in the last two years, you burned a lot of cash. And if I understand correctly, you are left with the Rs. 200 crores to Rs. 250 crores in the EV division, cash. Sir, three related questions. So, how is your PE investor viewing this situation, that is, this kind of cash burn and all? Second, how you are able to manage your dealership ecosystem with such a slump in sales volumes? And third is, on a three -year b asis, would you require additional cash for this business or additional fundraising? Or you will be able to manage with whatever is left? These are my three questions.
Chandrasekar Thyagarajan: Yeah, I will take question number one and three, and I will request Vijaya to answer question number two. This is Chandrasekar here. On the view of our strategic investor, they are part of

our B oard, they are part of the decision -making process at the leadership level. And they are fully supportive of the trajectory that we are taking as a business, right.
On your third question regarding funding, yeah, you may have already seen the general announcement that went yesterday. The Board of the company has been discussing and deliberating the various options for raising funds in green electric mobility. And we will come up with more information as and when it is available.
K. Vijaya Kumar: This is Vijaya Kumar. I will address your second question. So, from the distribution standpoint, we have more than 400 partners in the country. And post launch and repricing of our present models, which we have done, which is the Magnus and the REO, there is a very good positive uptake. And you will be able to see that momentum building in the quarters to come.
Moderator: Thank you. The next question is from the line of Bhavesh Patel from Patel Investments. Please go ahead.
Bhavesh Patel: Good set of improvement overall. My question is regarding the fundraising plan that you touched upon. It is in both Greaves Electric Mobility as well as Greaves Finance, and one of the options is IPO as well. So, if you can give some more color to that in terms of what is the overall thinking.
And the second question is, is there any likelihood that we might get back the subsidy that we pay to the government in good faith, knowing that one of the competitors probably got the

money? And I could be wrong on that but would like to know your views on those. Thank you.
Nagesh Basavanhalli : I think we have lost the Electric Mobility team. But just to come in, the Board has announced that they will look at all options, and I think the release that was sent out and the CFO touched upon it, right. So, as and when we have more information on what those funding options are and the timing, I think we will share more.
Regarding the second thing, I think the CEO touched upon the point that we have done everything from our side. We are waiting for confirmation from the department on the subsidy next steps. So, we are waiting, we have done everything in our control, and we are waiting for the response.
Bhavesh Patel: In fact, on that, you are saying next step is one, but is there a likelihood of us getting back the money that we provisioned in the last quarter?
Nagesh Basavanhalli : So, that's what I'm saying, let's wait for the department to get back, right.
Bhavesh Patel: Thank you and best wishes. And I hope for a better performance going ahead. Thank you.

Moderator: Thank you. The next question is from the line of Deepanshu Agarwal from Quants Analyst LLP. Please go ahead.
Deepanshu Agarwal: So, I'm saying, from the last few years, the share price movement has been a little more stagnant even with Greaves Electric Mobility coming in and there's a lot of news of competitors going into IPO, yet our share price performance has almost been stagnating. So, just wanted to get your view. And is there any plan of having any investor relationship activity being done to probably make improvement in the share price?
Akhila Balachandar: Sure. We have, over the last couple of years, as you know, undertaken a transformation journey at the Greaves overall group. We are moving away from a single product diesel engine company to investments in fuel -agnostic, mixed fuels, multi -fuels technologies. This is a journey that will be of continuous nature and over the next few years.
One of our major investments has been in Greaves Electric Mobility, which had done extremely well in the last financial year, as you are aware. This year with the issues coming from NHAI, we have faced a lot of turbulent times, as you are also aware. On our part, we have paid up the demands of the government and are awaiting next steps from their side. We believe that on the other side, Greaves Cotton, the parent company, has also done its own share of good work and our standalone results reflect the journey that we have undertaken at our end.
We believe that this is an ongoing journey. The company is well funded and the Board also, as shared by both Nagesh and Vijaya, has deliberated options of capitalizing the company as per

its requirement. So, there are a lot of things happening and the Board is extremely cognizant of all these matters on hand.

At the share price level and investor relation what I would like to share is, we keep on engaging with the investor community. We have been giving regular updates of the developments at both the organizations and we have been continuously engaged. The share price is a reflection, and we believe that our continuous financial performance improved, with the growth story and the margin improvement journey, will surely over the next few quarters reflect also in the share price. Thank you.

Moderator: Thank you. The next question is from the line of K enil Mehta from Omkara Capital. Please go ahead.

Kenil Mehta : Sir, I wanted to know can you please provide a road map or guidelines on the EV business and what will be your focus area? As we have seen the volumes of two-wheeler s have decreased, but the volumes of three -wheeler s have increased , and overall, the three -wheeler market for EV is also increasing , it has t

ouch ed of 4 lakh vehicle s per annum over last year. So, should we expect the volume setback in the two-wheelers to be set off by the three -wheeler i n coming years ? Or the two-wheeler volume will also go back to earlier levels of 2 lakhs p er annum ?

K. Vijaya Kumar: We are one of the leading players who are operating across the last mile mobility solution , which is the two-wheeler, which is the L5, and which is the L3 . I will answer or take up each of your questions for each segment first.

If you take two-wheeler s, two-wheeler s as a brand, Ampere has been in the market for 15 -plus years . And we are predominantly known and loved as a brand in the middle segment, which is the family -oriented segment , and which is where the bulk of the industry is sitting. So, we have launched Nexus, which we call it India's first family scooter, a high -performance family scooter . And it has been seeing a lot of traction. You must see the product to believe it in terms of the build quality , in terms of the fit and finish , in terms of the technology which I mentioned when I started the call . It is overall comprehensiv ely a very well-built vehicle which will be able to compete in the middle segment , I would say , the high -speed segment of the Indian electric two-wheeler market.

As you rightly mentioned, we see in the next three years the two-wheeler industry growing and the segment share of electric two-wheeler s growing in that proportion. And we are working towards new products with our three leading brands, which we call it , four rather , NXG , which is the Nexus , Magnus, which we are taking on certain new product developments in our next discussion , we will be able to focus . And then Primus and REO . So, we are I think very well poised from a product , technology , brand , and a distribution standpoint to gather and increase our market share .

Coming to the L5 three -wheeler segment, you are right, the market has grown in the last two years . And with ELTRA , the electric three -wheeler which we have launched, our product has a key USP, which we have demonstrated , that it delivers the maximum range , I mean , on a single charge in that given category . We are seeing a very good response. It's the very initial phase where we are just opening up production and building out distribution across the country. But we believe that we will be able to increas e our market share. We are already in the top five when you look at the Vaahan data for L5. But I think there is headroom available as we have not started distributing, selling and building volumes across the country.

On the L3, which is our Ele brand, we are working on building our new products. We already have a 150-plus distribution across the country. We have a strong play in the northern and the eastern states of the country . And that industry has also grown in the last year or the last 18 months I would say. And we foresee a good play there. So, it's a comprehensive product mix in the last mile mobility solution where I think Greaves Electric Mobility is very distinctly positioned as compared to the market and the other operating players in the segment. Thank you so much.

Kenil Mehta : Can you give a road map or guidance on your Greaves Retail business which has double d over the last three to four years from your FY21 days , from Rs.250 crores revenue to Rs.550 crores.

So, what should we expect in the coming years? Should it be the growth driver further ? Or the revenue growth will slow down going forward ?

Narasimha Jayakumar : Yeah, I won't be able to talk about the future obviously . But I think as you must have seen from my previous analyst calls and in the call that I did before, we are moving the portfolio to newer growth areas very consciously. So, from a portfolio that was primarily doing the three -wheeler, diesel aftermarket segment , we have moved into newer areas. We are now fuel agnostic , so we do CNG parts, we do petrol . Increasingly the company is moving towards newer growth areas such as EV components and parts for the aftermarket. It's a very, very growing area. We are also looking at, we have also launched parts on the construction equipment line catering to specific applications around mining , road building, commercial building , construction. All this means that we have a very comprehensive suite of products for the aftermarket . And we have also strengthened our distribution, as I mentioned , both in India as well as overseas. So, we have all sorts of growth underpinnings for the future.

Kenil Mehta : Also, sir, in the Greaves Engine business , if you compare your FY19 to FY20 base, w e have non-auto segment at 70 ,000 to 80,000 volumes , then it thereby decreased to 30,000 volumes , and now it started increasing. Should we expect the same level of volume in the coming year , non -automotive?

Arup Basu: This is Aru p Basu; I will try and respond to your question. The non -auto , while we call it a segment, is actually a very large portfolio of applications. It includes various small engine applications in boats, i t includes applications for fire pumps , it includes gensets , and a whole host of other prime mover applications where there is an engine or some engine driving the mobility or the movement. Now what we have been doing over the last few years is looking at that portfolio in terms of the mix of applications and products that we have. So, the right way to look at it would be to see whether our applications are growing , whether our mix is growing , and whether our performance in terms of the profitability of the areas that we play in. So, the demand in all this together is going to grow, that's for sure given what's happening in the Indian economy . And so , we ought to be chasing that growth and we are a serious participant in that growth. I hope that helps.

Moderator: Thank you. The next question is from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah : So, with all the transformation journey that you have taken along with the investment in growth areas across all the businesses. So, on a consolidated level FY25, can we expect it to be profitable? So, like directionally what should one expect overall for the company?

Akhila Balachandar: Hi, Rahil. C an you please repeat your question? Because it's not clear. I mean , what exactly is the question that you are asking?

Nagesh Basavanhalli: Actually, let me jump in. I think the question is , consol profitability in the next year. As you know Rahil , we do not get into forward guidance, but the CFO can add to that, if you want to give any additional input .

Akhila Balachandar: Sure. Thanks , Nagesh , for that. So, Rahil , if you were to look at it , even FY24 we have given , at a consolidated level , the EBITDA and the operating PBT are positive. We have had a challenging year with Greaves Electric Mobility, which as I mentioned earlier, we have been very transparent both with the investing community and the government and shared our representations . And therefore, we continue to be committed to that line . As explained by Vijay a, we have a very strong product portfolio road map, and we believe strongly in the prospects of the company. I hope that answers your question.

Moderator: Thank you. The next question is from the line of Bhavesh Patel from Patel Investment. Please go ahead.

Bhavesh Patel : Thank you for the opportunity. It was in the similar line in terms of outcome of the transformation , so I get that answer. And do want to compliment the Board in

terms of increasing the dividend . And hopefully , not a forward -looking but just a confidence from you that with the increased performance , shareholder benefits will continue to accrue to us.

Arup Basu: Thank you for your comments, yeah.

Moderator: Thank you. That was the last question. I now ha nd the conference over to Mr. Nagesh Basavanhalli for closing comments. Please go ahead.

Nagesh Basavanhalli: Thank you , all. I think let me do a quick summary . Starting with the Greaves Engines part, I think what we discussed today was , from a diesel engine company which was catering to 400,000 to 500,000 type of a market , now we are in diesel plus CNG plus electric , on the auto side. Then we started talking about the non -auto side and the non -auto engines . And if you look at the volumes , there has been a volume growth year -on-year , 26% on the auto side, 13% on the non -auto side. Point number one.

Point number two . In addition to that , export business has started to increase , that was covered in Dr. Basu 's part. Point number three, c omponent business where our focus on manufacturing, supply chain , and profitable delivery of that has started to happen in casting, precision machining, coatings, etc. Bottom line is, I think traditionally we have looked at the number of engines, but not auto engines or diesel engines. You should be looking at us as the diesel engines, fuel agnostic engines, non -auto engines , components . That is how our factory utilization is happening and that's where one of the revenue streams is coming.

Point number three , Excel. Excel was an acquisition which has grown year -over -year and that number I think was shared. It's also coming at a 30 %+ PBT. It's got global customers, 40% of its business is exports. It also expands our horizon from last mile mobility to now dealing with

construction majors like JCB and heavy truck and heavy bus majors like Daimler, Caterpillar, JCB, Scania, etc. So, the expansion of the marketplace has h appened , and the product of the component engineering play has happened , leveraging our engineering capability.

Now let me get into GR. Greaves R etail , Narasimha has talked about spares plus service plus retail. And how in the spare s side, in addition to the auto side, they have gone into fuel agnostic play, and they are also getting to certai n other adjacencies, c onstruction, he touched upon it . Leveraging's are tens of thousands of mechanics and retailers in India, they have built a digital infrastructure which connects how we are moving forward . The overall engineering and the retail structure has also transit ioned from a skill level , from a mechanical -only diesel engine -only to mechatronics, electronics, and sensors. That's what Dr. Basu was stretching upon earlier.

Now coming to the last point, Greaves Electric Mobility, the CEO talked about two-wheeler and three -wheeler, t hey are also into B2B and B2C. And they talked about how the market is looking at some of the newer products. All in all, I believe that what the CFO said , at Rs.366 crores it was one of the highest P BT that the company has registered for the last year . And we will continue to keep the team and the management will continue to keep working on all this expanding and multi -pronged and multifaceted revenue stream. Thank you all for your attention and your time today. Have a great day. Thank you so much.

Moderator: Thank you. On behalf of Greaves Cotton Limited , we thank you once again. Stay safe. With this, we conclude this investor call. Thank you for joining us , you may now disconnect your line.

For further information, please contact
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Note: This transcript has been edited to improve readability.

Call: Aug 2024

13th August, 2024

The Manager - Listing
BSE Limited
BSE Code: 501455 The Manager – Listing
National Stock Exchange of India Limited
NSE Code: GREAVESCOT

Dear Sir/Madam,

Sub: Transcript of the quarterly earnings call for the quarter ended 30th June, 2024

In furtherance to our letter dated 29th July, 2024, please find enclosed herewith the Transcript of the quarterly earnings call for the q uarter ended 30th June, 2024. The transcript is also available on the Company's website at www.greavescotton.com

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Greaves Cotton Limited

Atindra Basu
Group General Counsel & Company Secretary

Encl.: a/a

GREAVE

Greaves Cotton Limited

Q1 FY25 Earnings
Conference Call

August 09, 2024

Management Representatives:
Nagesh Basavanhalli – Non-Executive Vice Chairman, GCL
Akhila Balachandar – CFO, GCL
Arup Basu – Managing Director, GCL
K. Vijaya Kumar – ED and CEO, GEMPL
Narasimha Jayakumar – CEO, Greaves Retail
Chandrasekar Thyagarajan – CFO, GEMPL

Atindra Basu – Group General Counsel & Company Secr etary,
GCL

Moderator: Ladies and gentlemen, good day and welcome to the Gr eaves Cotton's Q1 FY25 Earnings Conference Call.

We have with us today Mr. Nagesh Basavanhalli – Non-Execu tive Vice Chairman, GCL, Ms. Akhila Balachandar – CFO, GCL, Dr. Arup Basu – Managing Director, GCL, Mr. K. Vijaya Kumar – ED and CEO, GEMPL, Mr. N arasimha Jayakumar – CEO, Greaves Retail, Mr. Chandrasekar Thyagarajan – CFO, GEMPL, and Mr. Atindra Basu – Group General Counsel and Company Sec retary of the Company.

We would like to begin the call with brief opening remarks from the Management, following which we will have the forum open for an interactive question and answer session.

Before we start, I would like to point out that som e statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

As a reminder, all participant lines will be in the l isten-only mode. And there will be an opportunity for you to ask questions after the pres entation concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nagesh Basavan halli. Thank you, and over to you, sir.

Nagesh Basavanhalli: Thank you. Good morning everybody. Hope everybody stays healthy. Welcome to the Greaves Cotton Q1 call this morning.

At the outset, let me reintroduce Greaves Cotton, th e legacy Company that today caters to multiple businesses, multiple revenue stream , fuel agnostic in nature, spanning products and solutions in industries like autom otive, non-auto, telecom and a lot of B2B customers.

We pride ourselves in terms of our ability to move peo ple and move cargo and also empower lives and livelihood through our engineerin g solutions. A couple of years ago, we made our journey to be a B2B plus a B2C pla yer and get closer to the consumer and extract lifecycle value. As part of that, some of our digital initiatives are well underway and management will talk about it .

In summary, we are an engineering house that enginee rs, designs, manufactures components in several industries, manufactures two-whe eler, three-wheeler and is also into post-purchase solutions like Greaves Retai l (Greaves Care) as well as Greaves Finance.

With that let me hand it over to management Dr. Arup Basu who will talk about Greaves Engineering. Over to you, Arup.

Arup Basu: Thank you Nagesh, and good morning, ladies and gentle men. My commentary will be on the engineering business, which comprises Grea ves Engines and Excel.

We have started FY25 on a positive note wit

h a reven ue growth of 15% over the corresponding period last year. Both Greaves Engines an d Excel performed well with the latter registering its highest ever first quarter r evenue.

In recent years, our efforts have centered on buildin g a comprehensive portfolio that serves a diverse range of sectors and categories. While we maintain our leadership

position in the engine segment, we are actively working to diversify our revenue streams beyond the engine and automotive sectors.

As I have mentioned in our previous calls, our vision is to create a future ready energy flexible portfolio. I am pleased to report tha t we are making steady progress towards this, strengthening our portfolio with prod ucts designed for the industrial, marine, energy and agricultural sectors.

Over the coming years, we are optimistic about seeing greater contributions from our Powertrain and Motion Control businesses. Additionall y, we are developing higher horsepower generation solutions to meet the needs of specific growth segments such as data centers.

Within the internal combustion engine segment, we ar e also working on developing engines that use green fuels for both automotive an d non-automotive applications.

In addition to diversifying our product mix, we are also widening our geographic footprint by expanding the share of exports and by en tering suitable alliances to build a global yet local approach. We anticipate that expo rt share will grow as our lines of business scale up with greater revenue contribution exp ected from the U.S. and EU

regions in the coming years.
Going again to our Q1 FY25 performance, we saw strong results across both automotive and non-automotive segments. We introduced a range of cutting edge, robust and environmentally friendly CPCB-IV+ products during the quarter which received a positive response primarily driven by dema nd from infrastructure, reality and industrial segments. We are optimistic about the p otential in this space in the backdrop of the new CPCB-IV+ regulations that are st eering the industry towards a more sustainable trajectory.
During the quarter under review, another highlight that deserves to be mentioned is the equipping of Assam Inland Waterways with over 300 Greaves engines. During the quarter, our focused approach on improving effi ciencies and better inventory management has also resulted in an improved working cap ital cycle for the business.
Our emphasis will continue to be on innovation-led pro duct portfolio renewal in the alternate fuels, electric components, and motion contr ol areas.
Thank you. For the next commentary, I now hand over to my colleague, Narasimha Jayakumar. Over to you, Narasimha.
N. Jayakumar: Thank you, Arup. Good morning, everyone. This is Nara simha Jayakumar, CEO of Greaves Retail.
We had a good start to the financial year with reve nues of Rs. 148 crores for Q1, up 7% Y-on-Y. I would like to talk a little bit about t he highlights of our first quarter. Our diversification into new business segments leveraging our core competencies is yielding results.
During the Quarter 1, we expanded our part lines, get ting into two-wheeler multi-brand parts, electric vehicle parts, and construction equ ipment parts beyond our traditional three-wheeler parts. Specifically on the electric vehicle parts, we have a full range of motors, controllers, chargers, etc., a nd we have signed several new OEMs in Quarter 1, including one prominent player. Ou r construction equipment parts have now expanded fully to include the Excel por tfolio catering to the domestic market in India.

Our Greaves Care

outlets have expanded to 163. These are on a franchisee-owned, franchisee-operated model. They now service a full ran ge of multiple brand vehicles, small commercial vehicles, which include electric thre e-wheelers and electric two-wheelers, and other small commercial vehicles.
Leveraging digital and digital technologies remain a k ey strategic focus area for us, and we continue to invest here. Our Greaves Upahar ap p, a mechanical loyalty program, which we launched in the previous quarter, has now scaled up substantially to include more than 7,000 scanning mechanics on a year -to-date basis.
We are very optimistic about Greaves Retail. We continu e to be an asset-light cash-generating business and a high-ROCE business.
Now I would like to hand over to my colleague Vijaya K umar – Chief Executive Officer of Greaves Electric Mobility Private Limited. Thank you .
Vijaya Kumar: Thanks Narasimha. Very good morning, ladies and gen tlemen. Thank you for joining us today on our earnings call.
I will briefly talk about the performance of Greaves Electric Mobility to begin with. We are very pleased with the way we have started the ye ar. Our two-wheeler volumes have increased by 10% and our three-wheeler volumes by 19% quarter-on-quarter.
One of the highlights for the quarter under review w as the introduction of Ampere Nexus. It is India's first high performance family sc ooter equipped with the safest LFP chemistry battery and hybrid swing arm with twin suspe nsion starting at a very attractive price of Rs. 1,09,900 ex-showroom.
We are very pleased to say that it is designed, devel oped and manufactured entirely in India. We are also very pleased to report that the product has garnered a very positive response in terms of enquiries, in terms of bo okings and it continues to hold the customer preference.
On the two-wheeler side, we continue to be among the top five players in the e-two-wheeler segment with a market share of 3.4% in Q1 o f FY25. Furthermore, on the three-wheeler side, we have also revised Greaves Eltr a City pricing very aggressively to an on-road price of Rs. 3,70,000 with our enhanced efficiency on our bill of material.
Let me talk a bit about our near-term objectives, s o, we intend to capitalize on the highly fragmented L3E rickshaw business by leveraging on our pan-India network and synergies offered by our well-established value chai n. We are looking to scale up meaningfully over the years within the L5 and our focus remains on Eltra, the

electric three-wheeler which has a 10kWh battery and which delivers the highest mileage of 160 kilometers today in the industry. We are already working towards expanding our dealer network and enhancing our fina ncing partnership in this category.
On the subsidy front, our three-wheelers, Eltra City P assenger and Eltra Cargo are already eligible under the MHI scheme and are receivi ng subsidies. We are very happy to share that MHI has communicated that our t wo-wheeler electric vehicles under Ampere brand are eligible to be tested by the relevant testing agencies for EMPS registration and any other future schemes of MHI a nd secure subsidies. This is happening as we talk and that is one of the good news, which we foresee for our coming quarter.

That concludes my opening remark, and I would like to now call upon our CFO – Akhila Balachandar to discuss the Financial Performanc e in detail. Over to you, Akhila. Thank you so much, ladies and gentlemen.
Akhila Balachandar: Thanks Vijaya. Good morning, everyone. I am delighted to share that we have started the year on a very positive note, delivering s trong financial performance in this quarter.
Our consolidated revenue for Q1 stands at Rs. 640 cro res.
On a standalone basis, Greaves Cotton saw a revenue g r

owth of 12%, reaching Rs.
445 crores. Our recent acquisition of Excel has prov ed to be a value accretive deal, contributing Rs. 63 crores in revenue and achieving a growth of 13% year-on-year, with robust margins of approximately 28%.
Combining the performance of GCL and Excel, we witne ssed exceptional financial results reflecting the success of our strategic efforts to diversify our product portfolio over the past few years. Both our engineering and re tail businesses recorded impressive growth at 15% and 7%, respectively.
Our Electric Mobility segment reported a revenue of R s. 127 crores, driven by a strong focus on new product launches and a clear path t o profitability. In terms of profitability, our consolidated EBITDA reached Rs. 2 7 crores with PBT at Rs. 15 crores.
On a standalone basis, our EBITDA for the quarter was Rs. 50 crores compared to Rs. 45 crores in the same period last year, showing a year-on-year growth of 12% and resulting in healthy EBITDA margins of 11.3%.
As a combined entity, GCL and Excel achieved an EBITDA of Rs. 68 crores, with margins at a healthy 13.3%. Standalone EBITDA stands at Rs. 49 crores. Our commitment to improving margins has been accompanied b y a focus on effective working capital management, ensuring that our ROCE r emains extremely strong over 30%.
On the balance sheet front, we continue to maintain an almost zero-debt position with standalone cash of Rs. 550 crores, which will s upport our future expansion and investment plans.
As we look ahead, we remain steadfast in our commitmen t to growth and transformation. We are confident that our strong found ation and unraveling dedication to excellence will drive our success in the up coming quarters and help us seize the exciting opportunities the future holds. We a re also keeping a close watch on the current geopolitical situation and its potenti al impacts. Despite these external factors, we continue our internal efforts to enhance pr ofitability.
With this, I open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question-a nd-answer session.
The first question is from the line of Kunal Sharma from SP Capital.
Kunal Sharma: So, I have three set of questions. And first, congra tulations on a good set of number.
First, I wanted to know about the negligible loss tha t is there on the consolidated level, right. So, what drives the growth in the bot tom line despite the lack of support from the PLI and government related scheme? So, what strategy has the Company

adopted and what would be the driver ahead to become profitable on a consolidated basis?
Akhila Balachandar: Thanks, Kunal, for the question. Over the last four quarters, we have taken this as a commitment to be on the journey of the path to profit ability. Constantly and consistently our losses in the subsidiary have shrunk. At the same time, at Greaves Cotton, we have worked on our own commitment to impr oving the margins. If you take our journey from the last three to four years, we have now reached our pre-

COVID levels of almost 11% to 13% of EBITDA margins. And this is a journey we keep continuing on. All our efforts at an internal le vel are to ensure that the subsidiary moves on a path to profitability and at a consolidat ed level. Therefore, we ensure that we will have far superior EBITDA results over a p eriod of time.

Kunal Sharma: So, can we expect in the coming quarter, we can be pr ofitable on a consolidated level?

Akhila Balachandar: Honestly, Kunal, as a corporate policy, we do not gi ve future guidance. But let me assure you that this is the directive of our Board, and this is what the management team is fully committed to.

Kunal Sharma: Second question, during the quarter, there was some thi

ng different we saw on a consolidated basis. We did way better on a sequential basis, which I can understand, thanks to e-mobility business, I guess. But on a standa lone basis, we have de-grown sequentially. So, can you please throw some light on w hat goes behind the standalone numbers, which always used to be our good performance or our star performer till now?

Akhila Balachandar: Yes, essentially, there is some amount of cyclicality in our business, where Q3 and Q4 being the season always do much better. And theref ore, it would be much better to see the growth on a year-on-year basis rather than a quarter-on-quarter basis. And if you look at the year-on-year performance, at a standalone level, we have grown 12%. At the same time, we have managed to impro ve our EBITDA also.

Kunal Sharma: And last question on the Excel segment, the margin h as been contracted. And if I am not wrong, we are supposed to maintain the guidanc e of nearly 30% plus margin. So, it’s a two-part question. First, what impacted d uring the quarter, which resulted in the margin contraction? And the second, are we like maintaining the guidance of 30% margin for Excel controlinkage?

Akhila Balachandar: Two parts of your question and let me take it that way. On the revenue, if you remember, we took over this business in May 2023. And wh en we took over the business, the business was at a run rate of around Rs. 187 crores annually. We grew the business last year, and we exited roughly Rs. 264 crores. We have a very long-term plan for this Company, and we are working on those internally. In terms of quarter-on-quarter, if you take compared to Q1 last year, we have done extremely well. We have grown substantially. If you take sequentia l quarters, there has been a flat kind of a performance. And I think that's a blip and we will bounce back in the coming quarters. In terms of margin, there has been a change in the product mix. And this will happen over a period of time as we grow the business. But yes, we are committed to a 30% range in the long term.

Kunal Sharma: Oh, that's great. Okay then, that was it from my side .

Moderator: The next question is from the line of Subahu Sanghvi from Winshine Financial Services.

Subahu Sanghvi: My two questions are on EV only. The first question is about the distribution network. Actually, I am from Mumbai, and I am also a sharehold er of the Company. And I had a very bad experience of reaching out to the dealers. It took me six days to reach the dealers because all the numbers were unresponsive, w hatever be given on site or maybe got from the Company. So, I just want to under stand what management is doing to review the distribution network? Because you can understand that a good distribution system is required to distribute the goo d product to sell the good product.

Vijaya Kumar: So, I regret the experience which you had with our product, and I understand you are from Mumbai. So, in the last, I would say, two ye ars, we had issues with our distribution network, especially the dealer network where we had gone through a revamp. So, as a corrective process, we are re-establishi ng our complete distribution network predominantly in the larger cities and the ce ntralized service backup which we are creating from here, we will be able to take it. All consumer complaints, we are handling it directly from here in terms of reaching o ut to customers, and we have been able in the last one quarter to bring down our consumer complaints by 95%, the way which we track it, whether it is service center- wise or at the customer-wise details which has been done. So, that has been one o f our key strategies in terms of improving our response time to customers as well as to t he dealers and that is showing r

esults in terms of our growth in the first qua rter results, which we have just published.

Subahu Sanghvi: Sir, the question was that when the prospective cus tomer is not able to reach the distributors, how he will test drive the vehicles or anything? So, consumer complaint

is secondary. Once he buys the product then the consumer complaint comes into
the picture.
Vijaya Kumar: So, we have various actions whether it is a direct ca ll center or the website. So, what
I suggest, I will take your number and then I will re ach out to you post this call and
we will take it from there, if that is okay with you .
Moderator: The next question is from Zaki Nasser from Nasser Inve stment.
Zaki Nasser: First of all, let me congratulate the management on a good set of numbers like last
quarter. Madam had said that quarter-on-quarter, we will see improvement. I think
we have started seeing that ultimately. Sir, my first question would be on the Excel
front. Now Excel consists of 10% of our business right now. I would want to know
what is the headroom for growth on this and would t his extend to factory floor
automation and futuristic stuff like that?
Arup Basu: So, I think Excel has focused on certain niche areas i n terms of specialty sub-
assemblies. And I think the headroom for growth is qu ite substantive across the
applications because at the end of the day, Excel's prod ucts are those five, six items
with which one controls a vehicle or construction equ ipment. And they will always be
relevant irrespective of the technology that keeps changin g. That's point number one.
In terms of manufacturing excellence and all the othe r aspects that you mentioned,
they are equally applicable for Excel as in any other manufacturing Company. So the
answer is yes.
Zaki Nasser: No, what I would want to know is, as factories get a utomated and things like robotic
arms and all that come into play, would Excel's product be used there?
Arup Basu: Excel's products are used in vehicles in terms of the controls. So, accelerator, brake,
clutch, steering wheel, gearbox and park brake, these are the items used to control
any vehicle. So, that's their portfolio, and that will be relevant as all of these grows
across all the applications.

Zaki Nasser: And sir, point number two, standalone, Greaves produ cts are doing extremely well.
I mean it's a robust P&L account, but it seems to b e sucked in by the EV business.
Now, is there a broad thought on the terminal value versus sustaining value of this
EV business?
Akhila Balachandar: Look, the EV business is a very long-term business. We are extremely bullish on the
prospects of this business and it's growing. There have been few blips that we have
seen in the last year, and the management has stayed ve ry focused and committed
in working with the government and resolving all thes e issues. Parallelly, at the
internal level, we have been working on R&D, develop ing new products,
strengthening our supply chain systems, improving our syst ems and processes,
distribution network. We will have to refocus on tha t. I heard someone earlier in the
call today. So, macro, we are very bullish on the EV stor y for India. And therefore,
as a product portfolio, we are focused on both e-two -wheelers and e-three-wheelers.
We are not restricting ourselves to one category. Two, at a Company level, we are
focused on adding to our product range, both two-whee lers, three-wheelers. We are
focused on improving our internal efficiencies and there fore on a path to profitability.
Given both these, I think the boards of both Greaves Electric Mobility and Greaves
Cotton, the parent Company, stay committed to this b usiness. And therefore, I am
not really sure about the terminal value point that y ou are r

aising. We, as a Company,
the boards of both the companies, are committed to d oing this business, is what I
would like to share. I hope I answered your question.
Zaki Nasser: Would the EV business have a definitive turnaround in the next few quarters?
Akhila Balachandar: Sir, that is the agenda, and if you take the traject ory of the last four quarters, five
quarters, the management, as I said, has been focused e xternally on resolving the
issues that have been raised by MHI, and internally, on improving the product
portfolio, improving the systems process, working on cos t efficiencies, and the
results are coming to show, right? But in terms of g uidance, I would not be able to
share any guidance.
Moderator: The next question is from Ritu Kumari from LK Investmen t.
Ritu Kumari: I have two questions. So, the first one is, how larg e do you believe the non-auto
segment of the engineering business can become in the next two years. And what
will drive this growth? If you could you just help m e with this?
Akhila Balachandar: First, we will not be able to share any guidance. S econd, let me just throw some light
on the big picture. Essentially, the non-auto segment is fairly large, comprises of
gensets and applications of the engines for other purp oses like industrial engines. It
could be marine and so on and so forth. In terms of th e application of the gensets
itself, the use cases are increasing. We have a lot of infrastructure projects. Railway

has launched with ambitious plans and therefore there is a use case out there. We have the telecom towers. We have malls and commercial c omplexes. So, the use cases are growing and industries of each of the use cases a re also growing parallelly. There is also good potential for exports. Of course, w e must be very careful and selective given the current geopolitical situation. S o, I would like to share this at a macro level and therefore the industry we are playin g in is fairly large. We have our own growth path charted, and we are progressing on th e same.

Moderator: The next question is from Saket Kapoor from Kapoor Co mpany.

Saket Kapoor: Firstly, if you could give some more color on the c ables and the control lever segment. What are we alluding to in terms of the cabl e part and on the utilization level across the verticals of engine, EV and cable?

Arup Basu: So, on cables, essentially the product has three config urations. One is a rod-type cables. The second is push-pull cables. And the third ar e electronic sensor-based applications which does the same job. Like I mentioned a little while ago, the accelerator, brake, clutch, steering wheel, gear shift lever and park brake are the elements used for controlling a commercial vehicle or ex cavator or whatever it is. So, these undergo changes in technologies in terms of how one utilizes them. And that's the portfolio. So, all the sectors where these are used including say marine, for example, the boat throttles are also used to control the engine while you drive a boat. And the applications are across geographies because anyw here where these are used, and these are applied. So, that's really the Ex cel control linkage portfolio that we are talking about.

Saket Kapoor: Just to understand, engines and cables, we are sellin g the same to the same set of clients in the portfolio. The engines are sold along wi th the cables part. The clientele is same as you mentioned about the marine part also.

Arup Basu: So, it's the similar type of ecosystem. We don't ne cessarily have to sell all our items to the same customer, but overall they are complementar y customer sets. So, all the large OEMs and anyone who is buying an engine potenti ally is a customer for this. Not all applications require push-pull cables. Ma

ny of the applications require just one cable which is a pull cable. So, the client, th e customer base, particularly the OEM customer base has a lot of overlaps and complement arity which is where we get our synergy benefits. Globally there are, the aft ermarket ecosystem works with all of them and that's the other area of synergies be cause the global large aftermarket ecosystem buys all the portfolio that we have and that's the other area of synergy we are looking at.

Saket Kapoor: Utilization levels, can you throw some light?

Arup Basu: We are working on a fairly high level of utilization in terms of if you see the kind of growth that we have had in the last couple of years. So, they are in the 70s and 80s percent I would say overall. Since this is a sub-assem bly, there isn't a very clean measurement that can be done. We have also kept the m anufacturing system modular so that we are able to respond quickly to s pikes in demand without creating a huge overhead in terms of capacity.

Moderator: The next question is from Saurabh Arya from Oaklane C apital.

Saurabh Arya: My question is on the non-auto side, and it's relate d to CPCB-IV. Number one is, can you tell me what is the price hike which is happenin g with CPCB-IV? And number two, can you tell me what is the market share the Compa ny has in this business?

Arup Basu: So, we will not want to discuss price hikes and price changes because that is quite dynamic and that is done customer to customer. By and large, because of the changes in regulations, there has been a certain incr ease in the overall cost structures, particularly given that the configuration o f the new gensets have changed. That's one side. And in terms of market share, we h ave a relatively low market share as of now which is why we see significant headroom fo r growth in this area.

Saurabh Arya: But low means how much? Less than 10% or so?

Arup Basu: Yes, it's less than 10%.

Saurabh Arya: So, you are very low. But do you believe, I mean t o say, there is a scope to increase this or it's a very competitive market that increasing would be very tough?

Arup Basu: There is space for growth, and it is a competitive ma rket. And the industry itself is growing because all applications require a backup gen set facility because we don't have that kind of reliability yet. There are technolog ical changes also coming. There are also efforts to have lower carbon footprint optio ns in terms of these. So, all taken together, the demand side is good because it's linked to the overall economic growth of India and any geography and linked to that, any ind ustrial growth that's happening, whether it's in manufacturing, whether it's in reta il, these requirements are there and like our CFO just mentioned, whether it's railways, te lecom, all of them require backup power. So, the pie is growing, and I think wh at's happening is the companies with the good products will be able to garner better market share as we go forward and who are investing in R&D and innovation and techn ology like we are.

Saurabh Arya: But just one thing on CPCB-IV side, you have made changes till 500 only. So, we will not be able to sell 500 to 800 anymore because o ur product portfolio has gone through changes till 500 only, is that right?

Arup Basu: No, we have a continuous review on our portfolio in terms of KV ratings. So, we do have higher ratings, and it depends on what's the app lication and what's the customer ask. As I said, they could tailor it.

Saurabh Arya: CPCB-IV, you have 500 only.

Arup Basu: There is a change in the sizes that customers require an d also the portfolio that we are offering. So, we are also continuously looking to build on our portfolio and look at the application and supplies.

Saurab

h Arya: Maybe if I can just connect a question to this. So, we re you selling between 500 and 750 MV earlier. What proportion of the overall non-a uto business did this represent in gensets?

Arup Basu: We don't maintain this kind of granular breakup and share.

Moderator: The next question is from Rahil Shah from Crown Capit al.

Rahil Shah: Just one question. For any of the businesses that Grea ves Cotton has, let's say retail, finance technologies across all the businesses, do you have any plans for a demerge of any of the businesses in the future, particularly fo r the e-mobility since you are very bullish on the whole market and the growth prosp ects? So, any thoughts on this?

Nagesh Basavanhalli: I can take that question. So, I think as the Board has said in the past, this is a Board-related matter, they are exploring all options for b oth GEM and GFL, right, in terms of options. And as and when there is any other moment , we will explore that. But right now, the commitment is to continue to help bu ild these businesses.

Rahil Shah: Nothing concrete as of now?

Nagesh Basavanhalli: Yes, as, and when it develops, we will answer that. Yes.

Moderator: The next question is from Nilesh Joshi from Prosperity W ealth Advisor.

Nilesh Joshi: Sir, my question is related to electric mobility. G enerally, the engine business, retail business and Excels are making a good amount of profit. And in this quarter, particularly Q1, electric mobility has reduced the EBIT DA loss. But surprisingly, the volume of the two-wheeler has increased by 9%, three-w heelers by 20%. But revenue grew only by 5% and Company succeed to reduce the EBITDA loss by 20%.

It means the cost has been reduced by much more than the 20% then it is possible and is the current costs sustainable for the next quar ter also?

Vijaya Kumar: I will take that question. So, you are right actuall y. What we have done in the last I would say, couple of months, we have worked aggressively on our bill of material in terms of key components, and we have been able to make con siderable inroads in terms of our costing of key components and products on on e side. The other side is broadly we have looked at our cost, sort of a cost r ationalization wherein we are getting closer to building our efficiencies much high er than where we were. Overall to answer your question, the answer is yes, we will be ab le to maintain these cost efficiency levels in the coming quarter and onwards t o the year because these efficiencies will start showing better results as the nu mbers keep improving further from here.

Nilesh Joshi: Sir, but the revenue grew by 5%. It means that some of the cost benefit has been passed to the ultimate customer. Otherwise, because t wo-wheeler grew by 9%, three-wheeler by 20% and the cost of the three-wheele r is higher than the two-wheeler. So, have we passed the part of the cost benef it to the customer?

Vijaya Kumar: It depends. The answer is again yes and no. It depe nds on the product, and the segments and the competitive landscape of each product. Wherever we had our margins secured and competitive intensity high, we have passed on some portion of it. The other portions we have retained it. So, that is the complete and comprehensive work which is happening on all product and product portfolios.

Nilesh Joshi: So, can I say that because of the cost optimization, w e could reduce the EBITDA loss?

Vijaya Kumar: Yes, the answer is yes and that it will continue, th at effort will continue and next quarter you will see the results in the right directio n and hence that is sustainable.

Nilesh Joshi: And my next question is related to the engine busine ss. Sir, this quarter, the EBITDA margin is less than double digit. Earlier in the Qua rter 2

and Quarter 3 of 2024, we have reported the double-digit EBITDA margin. Can we sustainably maintain a double-digit EBITDA margin for the engine business?

Akhila Balachandar: So, on the engine business, we have, again, if you t ake the last 4 years, we have been consistently working on improving our RMC, the co st and also the product mix. As a result, we have been able to improve our EBITDA margins. If I take even last year, the margin was 6.7%, this year, Quarter 1, we are at 9.1%, clearly a 3% plus improvement, correct. Now, this is a journey, there will be, on a quarterly basis, a little amount of ups and downs depending on product mix, cyclicality. Long range, I mean, as I said, if I were to look at the last 6 to 8 quarter journey, whether it is engines, whether it is retail and therefore GCL as a n overall Company, we are now back at 11% to 13% and this is the range that we would target our EBITDA margins to stay at.

Moderator: The next question is from Anubhav Mukherjee from Presci ent Capital.

Anubhav Mukherjee: I have a question on the participation in the subsi dies scheme. What is happening on that front? Did we try to participate in the EMP S scheme? Because there was a news item that Revolt motors, earlier it was barred, but then subsequently paid the subsidy back and it was again allowed under the EMPS sch eme. So, for us, have we paid back the earlier subsidy claims by the Gover nment, and did we try to participate in the EMPS scheme? Some color on that wil l be useful.

Vijaya Kumar: I will take that question. So, as mentioned in my in troductory speech in the beginning of the call, we are already on Eltra L5 three-wheel er, we are eligible for subsidy and on the two-wheeler side, we communicated that we have got the communication from MHI that we are eligible for the subsidy on th e EMPS scheme and they have instructed the relevant testing agency to onboard us wherein we are waiting for the further communication within next week from the gover nment.

Anubhav Mukherjee: So, we will be eligible from?

Vijaya Kumar: Yes, we are eligible. So, we have already got the c onfirmation and now it's in the government process.

Moderator: The next question is from Nishant Shah from Moneybee Investment.

Nishant Shah: So, just wanted to understand, can we assume that th e spreads are higher in the three-wheeler business compared to the two-wheeler bus iness, the spreads, and the margins?

Vijaya Kumar: As of today, yes, the three-wheeler margins are relati vely better than the two-wheeler as we were eligible for the subsidy on the three-wh eeler. But going forward, the outlook is quite, I mean, it will be quite similar and it's all on the positive side.

Nishant Shah: Because my question was, is the business planning to focus more on the three-wheeler side given that the margins are higher compare d to the two-wheeler business? Because I see that your volumes, on a year-on -year basis, your two-wheeler volumes have reduced, but your three-wheeler s have improved and your revenue for the e-mobility business has not reduced by a substantial amount. So, given that the three-wheeler has a higher margin po tential, will the business be focusing more on the three-wheeler business? And what is the outlook of the industry as far as the three-wheeler industry is concerned?

Vijaya Kumar: So, you have multiple questions in the same question , but as an overview, overall, the organization will be focusing on profitable growt h. As you have seen in terms of improvements on our negative EBITDA, that continuous f ocus is on. And so, it's a 360-degree approach. There is a work happening on cost. There is a work happening on bill of material, but ultimate focus will be where we can drive higher revenue and botto

m line towards the organization.

Nishant Shah: And just one more question. Is there any Company gui dance on being eligible for the FAME III subsidy? Anything around that news?

Vijaya Kumar: No, that's what I just answered that we have got wri tten confirmation from MHI that we are eligible for the subsidy. This is happening as we talk. So, we are eligible for subsidy on the two-wheeler. Now we are on the last le g of the process of certification, which should happen next week.

Moderator: Thank you very much. That was the last question. I woul d now like to hand the conference back to the management team for closing com ments.

Nagesh Basavanhalli: Thank you all for joining. Just to summarize, I thin k based on the questions, as you can imagine, there are multiple streams of revenue. Au to, non-auto, the target market has grown. Management is focusing on profitable growth. We also have adopted a fuel agnostic strategy, which means it's no longer a diesel engine Company. It's a diesel plus CNG plus electric. And tha t spans across components and vehicles and post-purchase solutions like retail and financing. That i.e., the entire

ecosystem. We thank you for your time and attention an d your interest. Have a wonderful day. Thank you.

Moderator: Thank you very much. On behalf of Greaves Cotton, tha t concludes the conference. Thank you for joining us, ladies and gentlemen. You m ay now disconnect your lines.

Note: This transcript has been edited to improve re adability.

This transcript contains statements that contain "for ward looking statements" including, but without limit ation, statements relating to the implementation of strate gic initiatives, and other statements relating to Gre aves Cotton ("Greaves" or the Company) future business devel opments and economic performance. While these forward-looking statements indicate our assessment an d future expectations concerning the development of our business, a number of risks, uncertainties and othe r unknown factors could cause actual developments and results to differ materially from our expectations. These factors include, but are not limited to, general market, macro-economic, governmental and regulatory trends, movements in currency exchange and interest rates, competitive pressures, technological developme nts, changes in the financial conditions of third par ties dealing with us, legislative developments, and other key factors that could affect our business and financia l performance. Greaves undertakes no obligation to publ icly revise any forward-looking statements to reflect future / likely events or circumstances.

Call: Nov 2024

18th November, 2024

The Manager - Listing
BSE Limited
BSE Code: 501455 The Manager – Listing
National Stock Exchange of India Limited
NSE Code: GREAVESCOT

Dear Sir/Madam,

Sub: Transcript of the quarterly earnings call for the quarter and half year ended 30th September, 2024

In furtherance to our letter dated 07th November, 2024, please find enclosed herewith the Transcript of the quarterly earnings call for the quarter and half year ended 30th September, 2024. The transcript is also available on the Company's website at www.greavescotton.com

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Greaves Cotton Limited

Atindra Basu
Group General Counsel & Company Secretary
Membership No: A32389

Encl.: a/a

GREAVE

Greaves Cotton Limited

Q2 & H1 FY25 Earnings
Conference Call

November 12, 2024

Management Representatives:
Nagesh Basavanhalli – Non-Executive Vice Chairman, Greaves Cotton Limited (GCL)
Akhila Balachandar – CFO, Greaves Cotton Limited (GCL)
Arup Basu – Managing Director, Greaves Cotton Limited (GCL)
K. Vijaya Kumar – ED and CEO, Greaves Electric Mobility Pvt. Ltd. (GEMPL)

Narasimha Jayakumar – CEO, Greaves Retail
Chandrasekar Thyagarajan – CFO, Greaves Electric Mobility Pvt. Ltd. (GEMPL)
Atindra Basu – Group General Counsel & Company Secretary, Greaves Cotton Limited (GCL)

Moderator: Ladies and gentlemen, good day and welcome to Cotton's Q2 & H1 FY25 Earnings Conference Call.

We have with us today Mr. Nagesh Basavanhalli – Non-Executive Vice Chairman, GCL, Ms. Akhila Balachandar – CFO, GCL, Dr. Arup Basu – Managing Director, GCL, Mr. K. Vijaya Kumar – ED and CEO, GEMPL, Mr. Narasimha Jayakumar – CEO, Greaves Retail, Mr. Chandrasekar Thyagarajan – CFO, GEMPL, and Mr. Atindra Basu – Group General Counsel and Company Secretary of the Company.

We would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive question and answer session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nagesh Basavanhalli. Thank you, and over to you, sir.

N Basavanhalli: Good morning, everyone. Thank you for joining the call today.

Just from an overview, Greaves Cotton's journey over the last 5 plus years continues as we accelerate from a traditional engine company to a fuel-agnostic mobility solutions provider, driven by a strong purpose of empowering lives across India. Our primary strategy of getting closer to the consumer extracting life cycle value while going about in a fuel-agnostic and sustainable manner is beginning to take shape. Multiple revenue streams have been created. Our B2C part of the business continues to grow and in fact it is a significant portion of the quarterly revenue. Also, by integrating technology across the value chain, we're building an agile ecosystem that maximizes the synergies across the various businesses while adding value to the end consumer.

So, without any delay, let me hand over the discussion to the management to take you through the quarterly financials and the quarterly progress.

First up will be Akhila Balachandar – CFO of the Company.

A Balachandar: Thank you, Nagesh, and good morning, everyone. I am pleased to report that the company delivered healthy financial results for the period under review, demonstrating the effectiveness of our strategi

c initiatives.

During the quarter, we recorded consolidated revenue of Rs. 705 crore while on a standalone basis our revenue reached Rs. 468 crore. Excel recorded revenue of Rs. 61 crore to reach Rs. 124 crore in H1 with double digit EBITDA margins.

Our Engineering and Retail businesses each maintain growth quarter-on-quarter basis with 4% and 7% increase, respectively for Q2, with 6% and 7% increase in H1, thus reflecting our strong market positioning.

Our Electric Mobility division also delivered impressive results, generating Rs. 175 crore in Q2 and Rs. 302 crore in H1. This growth was supported by a focused approach on new product launches and a defined path toward profitability.

When we look at the combined performance of GCL and Excel, the exceptional financial results reflect our strategic efforts to diversify the product portfolio over recent years.

Following Excel's acquisition and integration, the consolidated revenue from GCL and Excel reached Rs. 528 crore in Q2 and Rs. 1,036 crore for H1, giving us a firm foundation to provide a solid platform for future growth and innovation.

Profitability metrics showed significant progress. On a standalone basis, EBITDA for the quarter was Rs. 59 crore, up by Rs. 9 crore from last quarter and improved by 130 basis points. Combined GCL and Excel's Q2 EBITDA stood at Rs. 76 crore with margins at a robust 14.4%. Standalone PBT for the quarter amounted to Rs. 56 crore in Q2. In H1, our consolidated revenue reached Rs. 1,345 crore with EBITDA of Rs. 50 crore and PBT at Rs. 21 crore. Standalone revenue for Greaves Cotton was an impressive 7% growth amounting to Rs. 912 crore, while EBITDA amounted to Rs. 109 crore.

Our strategic emphasis on margin improvement has been reinforced by efficient working capital management, helping us to maintain a strong return on capital of approximately 16%-plus. We continue to sustain a nearly zero debt balance sheet with a standalone cash reserve of Rs. 350-plus crore positioning us well for future investments and expansions.

Looking forward, we remain committed to growth and transformation, leveraging our solid foundation and dedication to excellence to seize future opportunities. Despite external uncertainties, our internal focus on profitability and strategic execution continues to drive our success. We are confident that the strategy implemented over the past few years will yield sustained performance. Thank you.

With this, I invite Dr. Arup Basu to share his remarks on the Engineering Business. Over to you, Dr. Arup.

Dr. Arup Basu: Thank you, Akhila, and good morning, ladies and gentlemen. I will talk about the Engineering Business, which comprises Greaves Engines and Excel.

I am pleased to report that Greaves Engineering continues to perform well. In H1 FY25, diesel three-wheelers experienced strong volume growth.

For Gensets, in the second quarter, we experienced a more subdued performance compared to the previous quarters. The CPCB IV+ norms became applicable in Q2 FY25, making diesel gensets more expensive and large-scale purchases had occurred in the quarters prior to that. However, the underlying demand remains robust. As part of our commitment to sustainability, innovation and conspicuous customer value, we have introduced an emission control kit which can be retrofitted to enable even older gensets to comply with the latest emission norms.

Excel with its customer-first approach and efficient operations continues to deliver industry-leading profitability with exports constituting a significant proportion of revenues. In H1 FY25, while Excel's share of wallet with OEMs remained intact, sectoral demand growth especially in Agri, was muted due to a slowdown in infrastructure project execution, reduced mining activity and lower fleet utilization due to heavy rains. With the anticipated increase in infrastructure spending, demand

is expected to gradually recover in H2. The agriculture industry too is showing signs of improvement.

A diversified export product portfolio and geography is part of our strategic plan for sustainable profitable growth while mitigating related risks. Exports accounted for over 10% of Greaves Engineering revenue, with motion control solutions from Excel contributing to about 65% and engines the balance.

Looking ahead, we are well positioned for sustained growth. Our R&D continues to focus on ensuring compliance with the upcoming regulatory standards, which is an ongoing program, application engineering expanding the range of fuel-agnostic IC engines and gensets and building a new line of business in electric powertrain.

For the next commentary, I now hand it over to my colleague Narasimha Jayakumar to share his remarks on the Retail Business. Thank you and over to you, Narasimha.

N Jayakumar: Yes. Good morning, everyone.

A quick overview, Greaves Retail continues to be amongst the leading players in the three-wheeler ICE parts segment. We're also making significant strides in the electric three-wheeler or the E-Rickshaw Powertrain business, and we are capturing greater market share as we continue to expand our presence. In the E-Rickshaw segment, we're already the market leader for parts which are made in India and this business is growing strongly.

We launched several new products targeting the E-Rickshaw segment covering now a full range of motors, controllers, DC/DC converters and other vehicle parts like tyres. Greaves Retail now with a wide-ranging network of over 250 distributors, 10,000 plus retailers and 25,000 mechanics, has built a strong ecosystem which fosters close connections and seamless experience for our customers. Our mechanic loyalty program has now over 8,000 active scanning mechanics on a monthly basis. Our three-wheeler multi brand part now covers both CNG and two-wheeler parts also continue to grow well.

On the services side, Greaves Care franchising operations continues to be the leader in multi-brand servicing for three wheeler dealers and increasingly we are enabling the network to service electric three-wheelers and electric two-wheelers and we have at the end of September more than 210 franchise outlets all over India and today, 70% of the bookings are done via the Greaves Care App, providing unmatched digital convenience to our vehicle owners.

For the second half of the year, there'll be greater focus leveraging Excel manufacturing capabilities and development of new aftermarket part lines for the heavy commercial vehicle, the HCV and the construction equipment segment, both of which are booming given the massive infrastructure push and the construction activities all over India.

Across Greaves Retail, digitalization is playing a key role to drive greater supply chain efficiencies and to improve our overall customer experience.

Thank you and over to K Vijaya Kumar to share his remarks on Greaves Electric Mobility.
K Vijaya Kumar: Thank you, Narasimha. Good morning, ladies and gentlemen, and thank you for joining us today on our earnings call.
I will briefly talk about the performance of Greaves Electric Mobility or as we call it GEM internally, post which we can commence the Q&A session.

Greaves Electric Mobility reported a very healthy performance, reflecting our commitment to growth and innovation last quarter. We continue to be a key player in the e-two-wheeler and three-wheeler segments, focusing on affordable mobility solutions with the goal of making “Har Gully Electric”. Our volume saw a remarkable growth in Q2 FY25, surging by 30% in the three-wheeler segment and by 29% in the e-two-wheeler segment, on a quarter-on-quarter basis. This result can be attributed to our new product introductions and other product enhancements, which have been well received in the market.
I am also happy to inform you that we have been developing our financial retail partnerships and we have signed up with multiple financing partners, including Shriram Finance, to enhance nationwide financing options for our L5 vehicles.
While we are encouraged by our sales growth, our key thrust is to efficiently ramp up our presence and reach to further drive visibility and our volumes across the country. Our robust support network includes over 400 sales and service points for e-two-wheelers and more than 250 for three-wheelers, allowing us to deliver exceptional customer service. We are also conducting various customer care camps and training programs for mechanics to certify them as ‘Ampere Certified Technicians’.
Our strategic focus always has been on optimizing our cost and growing sustainably to enhance our pricing power. We are actively optimizing our Bill-of-Material (BOM) costs across our entire product range and are actively engaging with suppliers across the spectrum on this. This has resulted in a 7% to 12% decrease in our BOM costs across different models in H1 FY25. This is also testimony of our intent and ability to prudently manage our balance sheet while driving growth, built on the economies of scale and knowledge expertise of Greaves.
We are also thrilled to announce that Axar Patel, our favorite cricket World Cup T20 champion, has joined us as our brand advocate to promote greaves electric mobility.
Our electric 3-wheeler, Greaves ‘Eltra City’ is registered in India Book of Records for the longest ride on a single charge by an EV three-wheeler covering 225 kilometers.
Our management team is committed to regaining our Q4 FY23 performance through focus on innovation, dealer expansion and ramp up of our new aftersales initiative called “Ampere Care.”
We continue to grow month-on-month, and our volumes grew nearly or more than 70% over Q2 in the festival month of October, which just concluded last month. This growth has been across two-wheeler and three-wheeler building on the new products and the new models which we have launched in H1.
As we move forward, we are continuing to work on enhancing our existing models, introducing new variants across our entire product range. Our key differentiators include best-in-class LFP batteries, affordable pricing and strategic financing options through Greaves’ ev.fin. Together, these initiatives position GEM for sustained growth and success in the ever-evolving electric mobility space.
Thank you, ladies and gentlemen, that concludes my opening remarks, and I would now request the moderator to commence the Q&A session please.
Moderator: We will now begin the question-and-answer session. The first question is from the line of Kunal Sharma from SP Capital.

Kunal Sharma: So, first question I wanted to ask on the reason that we have been highlighted, which is Rs. 15,000 crore revenue, so what synergies that you are working on the same and from where do you see the major contribution amounts on our five verticals, will it be from the Retail or Excel or EV?
A Balachandar: Thanks, Kunal. Let me take that. This is our board’s vision at a strategic level and the direction that the board has set for the company. If you see the three businesses that we have focused on over the last few years in our transformation journey, we believe all the three are now at an inflection point and set to fire. So, we expect all three to grow and contribute to our overall vision. And the idea is, as part of the transformation strategy, to diversify from a single product, single company dependence to a fuel-agnostic, multi fuel, multi revenue stream, a diversified revenue stream company, which is therefore protected and resilient to any external market forces. Hope that answers the question.
Kunal Sharma: So, will

you be able to give any percentage allocation, if you could just share the ballpark number where you have mentioned the three verticals, that is right, but will the higher chunk from retail or EV and the engineering?

A Balachandar: The focus is on diversifying from our original dependence on auto diesel engines. And how we diversify out of that is the strategic goal and transformation agenda and therefore there will be multiple contributors to this overall journey. And if you see what the board has set out for us, it is also a mix of inorganic and organic growth. So, I am sure that multiple levers will play into this.

Kunal Sharma: My second question is to Mr. Jayakumar. On the retail business, see, if we are growing at a mid-single digit rate and given that the category is so large, shouldn't we expect growth in the double-digit range? Do you see this category potentially growing two to three times over the next few years, or even five years, based on the vision you have in mind? If so, when do you anticipate seeing this level of growth?

N Jayakumar: So, thank you for the question. I think certainly the categories in which Greaves Retail operates, as you know, we span both from service, sales to parts across different commercial vehicle asset types ranging from three-wheelers to electric three-wheelers to small commercial vehicles to all the way to HCVs and the CE segment that I talked about. I think certainly there is a massive headroom for growth. I think the business is set for that kind of growth as well. I can't obviously speak for exact numbers, but the opportunity exists, and we are gearing up, we're making a number of improvements in our supply chain sourcing and there are a variety of areas to be able to set up the business for faster growth.

Kunal Sharma: But I just wanted to ask on that, when do you think we can expect to see this growth? Based on your experience, when do you anticipate we'll reach that point?

N Jayakumar: I think we should be seeing faster growth in the coming quarters is what I can say because as you are aware in the first half of the year, we also had the general elections and also very inclement weather, as one of my colleagues also commented. Certainly, we are looking at higher growth in the coming quarters.

Moderator: The next question is from the line of Zaki Nasser from Nasser Investments.

Zaki Nasser: I would like to congratulate the board on the great outline for 2030. My two questions are, sir, if you set out for Rs. 15,000 crore four years hence or five years hence, we should start seeing the growth immediately from this year onward, at least a small bit of growth. How do you plan this? And my second question is, this requires a pretty large capital. So, what is your thoughts on getting the capital for this?

A Balachandar: So, thank you for the question and I will take both your questions in order. The first one, as I said, this is the vision that the board has set out and yes, over the last few years we have been on this transformation agenda and we have put in place all the levers for the growth in terms of both revenue, cost management, working capital management and also on the capital efficiencies itself. So, I am sure all the levers are in place and with the guidance of the board we will be able to achieve the aspirations that we've set out for ourselves. The second question on the availability of capital, I would like to put two points here. One, we are highly efficient in our working capital management and that is something we are constantly working on. Two, as you can see, we have currently approximately Rs. 350 crore of cash available on the books, which will strengthen our focus to be able to invest in organic and inorganic growth, both internal capex as well as inorganic growth. Do we need more capital? As and when the need requires, the board is very cogniza

nt and will take whatever required measures are to be done to ensure that the growth opportunities of the Company are not starved and we will not starve for capital and the requisite initiatives will be taken on that.

Moderator: The next question is from the line of Sonal Minhas from Prescient Capital Investment Advisors LLP.

Sonal Minhas: My question is with regard to Greaves Retail. I wanted to understand the reason for a dip in the EBITDA margin of Greaves Retail for this quarter when we compare to Q2 last financial year. If you could just give some subjective commentary around that, that will be helpful?

A Balachandar: Sure, Sonal. Thanks for the question. So, if you heard, Mr. Narasimha, our CEO for the business Greaves Retail is a business we are having a lot of opportunities for growth. It's a high margin business and what we have done over this year, we have done investments in technology, people, resources, some amount of brand building at the grassroots level. All these are investments which will help us grow the business over the next few years and that is the reason why there is a dip in the EBITDA margins, otherwise the business continues to be robust and at operating margins that also we focus on internally, we continue to ensure that the margins are in line with what we are building for.

Sonal Minhas: So, over time this would basically go up because there are additional investments in the business?

A Balachandar: That's correct.

Sonal Minhas: My second question is somewhat linked to the vision, ma'am basically and I am sure there are some guidelines on profitability, return on capital that the group and the leadership basically believe we should be aiming and targeting at. So, while 6x in six years looks good, interesting, what is the flip side of this in terms of the minimum guardrails required to reach EBITDA? What kinds of businesses would you want to be in, and which ones would you prefer to avoid in order to achieve this target with meaningful profitability for both you and the shareholders? If you could shed some light on this and provide a 360-degree view, it would be helpful.
A Balachandar: If you see the last 8 to 10 quarters' performance of the Company and I would like to stress on that. We have been extremely sharply focused on cost management, improving EBITDA and coming back to pre-COVID levels of 13%-plus EBITDA margins. This is a journey we embarked on, and I think we have now demonstrated that consistently over the last many numbers of quarters. Now this is a benchmark that we have and that is something we'll continue to work for. In terms of working capital, again, if you take the last seven, eight quarters trend or I would say even more than that 10 quarters trend, we have been again prudent and working on optimizing our working capital which again translates into a very

high return on capital employed. These are all basic hygiene requirements that the board has mandated us, and this will therefore continue in our new initiatives. Definitely, some of the newer initiatives will require investment in resources. Technology, some amount of capex, but all these we have our internal guardrails well in place and everything will be ensured to, these are all accretive to the overall organizational vision.
Sonal Minhas: So, any broader guidance on when do you plan to reach close to 13% or let's say more than double digit EBITDA margins basically going further?
A Balachandar: So, if you see, even my Q2 results or if you take the trend, GCL plus Excel, our EBITDA margins are at 14.4%. Now, therefore, we are continuing to trend in a 13% to 15% range, which is what I would commit to, because there are, cyclicality involved, there will be quarters where we will invest more. But overall, I think what we're working towards is a 13% to 15% EBITDA margin range.
Sonal Minhas: And just a follo

w up on this. At the current EBITDA margins of minus 30% on mobility, if this is to be extrapolated, at what scale do you expect the business to breakeven? It's Rs. 175 crore of top line right now. Do we say let's say 3x size from now the business will breakeven, just asking about ballpark?
A Balachandar: See, Greaves Electric Mobility, it's a very different business. They operate on two segments, the electric two-wheeler and electric three-wheeler. Both of these have their own nuances. The mandate to the organization is to grow the revenues and there is a path to profitability. I would not be able to give a forward guidance exactly with dates and quarters in which we plan, but there is internal well-defined path to profitability. I hope that answers the question.
Moderator: The next question is from the line of Manoj Jethwa from Care Securities.
Manoj Jethwa: So, my first question is pertaining to Madam Akhila. What are those genuine endeavours the company should focus on, rather than incubating more businesses or increasing the top line, that would really help in improving the margins and reducing costs? I see the RMC cost stands at around 69%, which seems to be very high right now. So, what could be the focus endeavour of the company in improving the EBITDA margin and PAT margin vis-à-vis incubating the new businesses, at this juncture?
A Balachandar: Going back if you see our ten quarters journey, we have been consistently improving our EBITDA margins and post-COVID I think we were almost at a negative margin and from then quarter-on-quarter we have worked internally to ensure that the margin improvement journey continues. Around Q2-Q3 of last year onwards, we have been now consistently reaching the 13%-plus EBITDA margin that we used to do pre-COVID levels. This is an endeavor of the organization, and this is what we remain committed to an EBITDA margin in the range of 13% to 15%.
Coming to your question on RMC, if I were to look at the standalone, RMC, again, we have been able to manage and here I must also give credit to the soft commodity cycle currently going on, plus a lot of internal initiatives that we keep working on a very controlled and consistent improvement in our RMC percent; if I were to take H1 last year or RMC percentage was 68.5%, current year at H1 we are at 67.4%. So, that is again a continuous journey that we keep on working and hopefully all that translates into an improved EBITDA margin. I hope that answers your question, sir.
Manoj Jethwa: Yes. Madam. My second question is pertaining to the Greaves Finance, Greaves Retail and EV mobility business and new businesses. As you have onboarded Mr. Ramachandra to look

after the EV business and mobility basis, so are there unlocking for the shareholders which could take place in a two or three years down the line where it could be listed as a separate entity in all the three segments?

A Balachandar: So, the new business head for EV and mobility business essentially is part of our overall retail strategy to grow the business. Any decisions on unlocking of value, capital raise, this is something that the board is cognizant of, and we will come back to you as and when the board gives a different decision.

Moderator: The next question is from the line of Bhavesh Mehta, an individual investor.

Bhavesh Mehta: Ma'am, can you highlight what are we doing on the non-automotive business side like we mentioned in the Q1 presentation that we are doing something on the marine, industrial and aerospace side, can you highlight a little bit on that, what are our aspirations there? And also, what are we exactly doing in the Greaves Technology business and where do we aim to take that?

Dr. Arup Basu: Maybe I can answer a little bit on the non-automotive question that you have. So, as you know, we make prime movers and it's a fuel-agnostic approach that we

have. So, the prime movers go for automotive applications in three-wheelers, etc., and for non-automotive application. So, within that, while gensets is one product which uses engines, there are also other applications for marine in terms of boats, etc., that apply and increasingly seeing an emphasis on river infrastructure and states with rivers and coastal movements. So, that's one area where engines are used for prime moving. There's again a fuel-agnostic approach there and the demand for that is in a way linked to infrastructure growth and overall underlying economic growth. So, that's the work that's going on. We also are an engine provider for fire pumps, which is a very specific specialty application because of the nature of the application of the fire pump. That's another sector that we historically have catered to and that is also linked to the growth of infrastructure, because every high rise that gets created or an office building that gets created requires these measures as part of the basic infrastructure. And those are the ones whose growth is linked to the overall industry growth.

N Basavanhalli: I can just add to the gentleman's other question. So, just to add to the non-auto, keep in mind, in addition to Dr. Basu talking about a lot of the OE applications, there is a non-auto aftermarket application which Mr. Narasimha and the Greaves Retail team leverage, for example, in terms of several different customers, railways, telecom, etc., right, so there are a lot of non-auto spares and service applications that the Greaves Retail team addresses. So, it was part of our diversification strategy when you look at our engine volumes going from auto to non-auto, point #1. Point #2, very briefly, you also touched upon Greaves Technologies. That's a small incubated new business which really does engineering services to some global MNCs based primarily out of India but serving both local and international markets. What it of course gives us is access to high quality engineering talent which does engineering services outside, but also helps in-house companies like electric mobility or our e-powertrain areas assimilate some of that technology and assimilate some of that integration. So, it's a smaller startup right now.

Bhavesh Mehta: Where can we see Greaves Technologies in the next three years maybe?

N Basavanhalli: So, again, while we don't want to get into forward guidance, but the important thing is, from a competency curve, they started out with a mechanical, mechatronics, vehicle engineering type of services. So, they do work for four-wheeler global auto majors, right. And then they're doing vehicle level work from engineering services. They have now got into software and embedded systems. So, you can see some of the competency curve moving up the value

chain, right, and you can also see them evolving more in terms of the electric mobility ecosystem, because they've been working closely with the Ampere team, right and both internal and external, they're not captive, they obviously cater to both global and Indian consumers.

Moderator: The next question is from the line of Kiran Dhanwada from Tabletree Capital.

Kiran Dhanwada: Sir, two long range questions. One, on the EV side, specifically ‘Ampere’, if I look at our market share back in 2021-22, it was about 12%. Now, based on the Vahan data and current run rates, it's about 3% for both two-wheeler and three-wheeler combined. We are losing market share while the overall market is growing exponentially. So, this leads to a two-part question: One, are we continuing to focus on Tamil Nadu, especially with another Tamil Nadu-based player emerging with excellent products in the two-wheeler space? I'm concerned that we may continue to lose market share. Could you please address how we are planning to regain market share? Second, are we considering an IPO or a

demerger of the EV mobility business? Will such a move help us focus better and establish the right

parameters for growth?
N Basavanhalli: So, I will ask Vijaya Kumar to come in and answer the first part. The second part, I think the CFO has addressed earlier on. The board has already said in terms of fund raise that they will be looking at a lot of options. That statement is out there. And as and when the board has an update to that, we will update you, on the second part of the question.
K Vijaya Kumar: Thank you for the question. See, from a market share standpoint, first is that we are registering very robust growth month-on-month, quarter-on-quarter primarily based on our new product. The Nexus, which we launched two quarters before is doing very well. Our reference sales from our customers based on our service and spare parts availability, and after-sales service is also doing very, very well. To address your specific question about Tamil Nadu and the South, our footprint is focused on growing not only in southern India but also in other regions. In fact, our market share in the Eastern region is at least double the number you've mentioned. We are actively building our market share and volume trends in the North and Western parts of India as well. So, we are a Pan India organization, and you will be able to see those results and responses as we go forward.
Kiran Dhanwada: Then from a company strategy perspective, it's very commendable, not just EV, but overall Greaves Cotton company, it's very commendable that we have such an ambitious goal, aiming for a 15% CAGR over six years. What I'm struggling with is reconciling this very ambitious target, which is fantastic, with the actual performance over the past 10 years. If I look at the data, in March 2014, we were at Rs. 1,700 crore in revenue, and by March 2024, we closed at Rs. 2,600 crore. So, in 10 years, we haven't even doubled our revenue. I'm trying to understand: Are acquisitions going to be a very large part of the delta to reach Rs. 10,000 crore, or are there specific business units you're extremely bullish on to achieve that 6x growth? I am just trying to figure out what suddenly exploded in our industry that we can aspire to grow 6x while we have not even doubled in the last 10 years.
N Basavanhalli: So, I think Akhila, the CFO answered that question right up front. I think she did mention that, at the end of the day, it will be a combination of both organic and inorganic means, opening multiple streams of revenue from a single cylinder, single industry diesel engine, which was catering to 300,000 vehicles a year, that was the sector Greaves Cotton was in. Today, you are playing in diesel plus CNG on the auto side, plus, electric, so fuel-agnostic, you're playing in auto plus non-auto on the engines, on the component side, you're playing in multiple geographies, from the Excel you've added construction of highway, marine segments with the predominant version of that being high profitable global exports. So, that's one vertical. The second vertical being in retail, and somebody asked this question in

terms of capital allocation, we are asset light, high ROCE business, own franchisee operated stores, retail chains which offer spares, highly profitable spares. Again, there the diversification was going from a three-wheeler diesel engine spares to three-wheeler fuel-agnostic plus two-wheeler plus now with Excel into other markets, plus moving towards the digital ecosystem. That's the second. The third is of course the electric mobility which has a road map of its own two-wheeler and three-wheeler. So, I think when you just look at it organically, there are multiple forms of revenue, the multiple applications, the multiple geographies plus inorganic options are what the board is talking about.
Moderator: The next question is from the line of Saket Kapoor

from Kapoor & Co.
Saket Kapoor: If you could just explain the line item for other expenses for this quarter, any one-off item that has gone into it?
A Balachandar: Sure. Essentially, all other expenses apart from RMC, this includes even employee cost, this includes consulting cost, travelling, all the rudimentary costs, everything. I understand that your question is essentially it has gone up. As I said earlier, we are also focused on growing new businesses. So, we have made investment in resources, in technology and product development and business development. Now some of these therefore will go into the line, 'other businesses' and therefore there is an increase compared to past years.
Saket Kapoor: Because ma'am for employee benefit expenses, that itself has gone up by Rs. 10 crore quarter-on-quarter and Rs. 12 crore on year-on-year.
A Balachandar: As I said, we have been investing in resources, we've been investing in technology, we've been investing in business development, brand building to some extent and all this is imperative to enable the future growth of the organization.
Saket Kapoor: When can we reap the benefit of the same especially for the category, electric mobility and other vehicle segments wherein we have losses closer to the tune of Rs. 100 crore for the first half, how should we look at in terms of H2 going ahead? And next question is on the cable and the control lever part. Where are we in terms of the ecosystem for the data center?
A Balachandar: So, if you look at Greaves Electric Mobility like Mr. Vijaya Kumar explained, we have had new launches both in e-two-wheelers and three-wheelers and there is a good acceptance

of that in the market. We have grown quarter-on-quarter 29% in two-wheelers and 30% in three-wheelers and we have a very strong path to profitability. So, while I would not be able to give forward guidance, I think some of our past performances can give confidence in our journey ahead. In terms of push pull cables, can you please repeat the question?

Saket Kapoor: It's regarding the data center ecosystem. Are we there as a player supplying the data center ecosystem in terms of cable or any other functionality?

A Balachandar: In terms of push pull cables, I don't think data center is one of the industries we operate in, but maybe the genset business, which is where we operate in the data center business, that's an upcoming business, and yes, we have our plans to enter that business also.

N Jayakumar: Akhila, if I can add. As Mr. Nagesh mentioned, we have a large non-auto business within Greaves Retail and Greaves Retail is already working on solutions on the lines of energy management services which cover the telecom and the data center segment, essentially things like battery packs, the spare parts around that, maintenance services and so on. So, obviously we won't be able to share more details on that, but I just want to let you know that we do play in that segment.

Moderator: Ladies and gentlemen, with that, we conclude our question-and-answer session. On behalf of Greaves Cotton Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited to improve readability.

Call: Jan 2025

28th January , 202 5

The Manager - Listing
BSE Limited
BSE Code: 501455 The Manager – Listing
National Stock Exchange of India Limited
NSE Code: GREAVESCOT

Dear Sir/Madam,

Sub: Transcript of the quarterly earnings call for the quarter and nine months ended 31st December , 2024

In furtherance to our letter dated 14th January, 2025 , please find enclosed herewith the Transcript of the quarterly earnings call for the quarter and nine months ended 31st December, 2024 . The transcript is also available on the Company's website at www.greavescotton.com

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Greaves Cotton Limited

Atindra Basu
Group General Counsel & Company Secretary
Membership No: A32389

Encl.: a/a

GREAVE

 GREAVES

Greaves Cotton Limited

Q3 & 9M FY25 Earnings
Conference Call

January 24 , 2025

Management Representatives:
Nagesh Basavanhalli – Non -Executive Vice Chairman, GCL
Akhila Balachandar – CFO, GCL
Dr. Arup Basu – Managing Director, GCL
K. Vijaya Kumar – ED and CEO, GEML
Narasimha Jayakumar – CEO - Greaves Retail , GCL

Chandrasekar Thyagarajan – CFO, GEML
Atindra Basu – Group General Counsel & Company Secretary , GCL

Moderator: Ladies and Gentlemen, good day and welcome to the Greaves Cotton Limited Q3 & 9M FY25 Earnings Call.
We have with us today Mr. Nagesh Basavanhalli – Non-Executive Vice Chairman, Greaves Cotton Limited, Ms. Akhila Balachandar – CFO, Greaves Cotton Limited, Dr. Arup Basu – Managing Director, Greaves Cotton Limited, Mr. K. Vijaya Kumar – ED and CEO, Greaves Electric Mobility Limited, Mr. Narasimha Jaya kumar – CEO - Greaves Retail, Greaves Cotton Limited, Mr. Chandrasekar Thyagarajan – CFO, Greaves Electric Mobility Limited, and Mr. Atindra Basu – Group General Counsel and Company Secretary , Greaves Cotton Limited .
We will begin the call with brief opening remarks from the Management, following which we will have the forum open for an interactive question and answer session.
Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature and a discla imer to this effect has been included in the results presentation shared with you earlier.
Further, as you are aware, Greaves Electric Mobility Limited has filed a draft red herring prospectus with the capital markets regulator SEBI to raise funds through an IPO. All discussions in this call with regard to this entity may be read in conjunction with and be limited to the said DRHP, which will be updated periodically to reflect current developments.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nagesh Basavanhalli. Thank you, and over to you, sir.
Nagesh Basavanhalli: Thank you. Welcome everyone, to our Q3 & 9M FY25 earnings call. On behalf of t he Management, let me welcome each one of you.
Let me just give you a quick overview of where Greaves Cotton is today , as some of you are aware, prior to 2016, we were pioneers in the diesel engine segment for auto applications. Post 2016, we went on a jo urney of getting closer to the consumer, offering fuel agnostic solutions and democratizing sustainable mobility. Those were our three pillars. As part of that we repurposed the organization. We redefined the businesses and worked towards sustainable and f orward -looking multiple revenue streams.
In summary, from a single -cylinder, single -customer, single -industry company, we are now moving towards a fuel -agnostic, multi -product, multi -business company playing in the sustainable mobil

ity ecosystem with a mu ch bigger focus on
competencies and areas and different businesses. We have five distinct businesses, and I will ask our CFO and our three CEOs to comment on their respective businesses.
With that, let me hand it over to the CFO – Ms. Akhila Balachandar, who will give you details on the financial performance. Thank you.

Akhila Balachandar: Thank you, Nagesh, and good morning, everyone.
I am delighted to share that we have delivered strong financial performance validating our strategic initiatives and posi tioning us for sustained growth. For the quarter, we achieved consolidated revenues of Rs. 751 crore with Greaves Cotton posting standalone growth of 13% at Rs. 502 crore.
Excel reported revenues of Rs. 69 crore and Greaves Electric Mobility reported reve nues of Rs. 184 crore. Both Engineering and Retail businesses continue their upward trajectory with Q3 revenue growing year -on-year by 14% and 13% , respectively.
The Electric Mobility division also gained traction, delivering Rs. 184 crore in Q3 supported by new product launches. Notably, 64% of our business now comes from B2C segments reflecting our strategic pivot towards customer centric growth and market alignm ent.
Our EBITDA margins continue the journey of sustainable improvements, demonstrating operational efficiency and cost management. GCL plus Excel, we have delivered margins at a healthy 15% plus. The diversification strategy is contributing to the resili ence in revenues, ensuring that we are not overly reliant on a single segment.

Our continued focus on margin improvement is yielding excellent results both in terms of EBITDA growth and margin expansion. New strategic investments across the group are bein g effectively utilized for new product development, brand building initiatives, expanding adjacencies in high growth areas.
Our profitability in Q3 stood at Rs. 67 crore at a standalone level and for 9M FY25 at Rs. 176 crore. Our strategic portfolio evolu tion, growing non -auto contributions and disciplined capital management have strengthened our resilience. With near zero debt and strong cash reserves of Rs. 503 crore, we are well positioned for a future growth.
Looking ahead, we remain committed to sust aining this momentum, driving innovation and creating long -term value for all stakeholders.
With this, I hand over to Dr. Arup Basu to share his remarks on the Engineering business. Over to you, Arup.
Dr. Arup Basu: Thank you, Akhila. Good morning, ladie s and gentlemen.
I will speak about the Engineering business, which comprises Greaves Engines and Excel .
I am pleased to report that in Q3 FY25 on a year -on-year basis, Greaves Engineering delivered a double -digit growth in revenue.
In today's commentary, I would like to add some more color in terms of internal factors that have resulted in this profitable growth. The results reflect our progress

on diversification of revenues and profits across automotive and non -automotive applicati ons. As I have consistently communicated, we are working diligently on expanding internal capabilities and competencies to diversify both our products and services and their respective application areas.
As a result, currently less than a third of our rev enue is generated from automotive diesel engines from a nearly 100% share a few years ago. In Q3 FY25, on a year -on-year basis, revenues from non -automotive applications registered an over 30% increase.
On Gensets, we have significantly expanded our deale r network across India and continue to receive positive response to our CPCB IV+ compliant product line. Our market share has inched up from less than 3% to nearly 4% in this quarter.
In keeping with our stated fuel agnostic strategy, we continue to expan d our product portfolio of tailo

red multi -fuel solutions for specific segments and applications to meet the diverse energy needs of our customers.
We are also working towards increasing the share of exports in our revenue mix. Exports constituted around 1 0% of revenues in Q3 FY25. We have established collaboration with Alliance partners across EU, USA, key economies in Africa and the Middle East with team members based in UAE and USA.
While Q3 FY25 revenue in Excel Controlinkage was 7% lower year -on-year, quarter -on-quarter it was 15% higher. Excel is accelerating steps to expand capacity, develop new products, and diversify across geography and customer vectors. New products typically constitute about 20% of Excel's product portfolio.
Looking ahead, we are well positioned for sustained growth. At Greaves Engines manufacturing plant at Shendra, Chhatrapati Sambhajinagar, a new assembly line for motor controllers has been installed for manufacturing e -powertrains for mobility and other ap plications. In addition, the Shendra plant received AS9100D certification required for machining components for the aerospace industry.
Finally, we continue to make good progress on our sustainability roadmap to meet and exceed our sustainability -related ambition.
For the next commentary, I now hand over to my colleague, Narasimha Jayakumar. Over to you, Narasimha.
Narasimha J.: Thank you, Dr. Arup. Good morning, ladies and gentlemen. I will be giving you a little bit of color commentary on our performan ce in Q3.
Greaves Retail delivered Rs. 159 crore of revenue in Q3. This represents a 13% y-on-y growth. We continue to be amongst the top two players for the three -wheeler parts segment and we are making significant strides in electric three -wheeler after market parts and the powertrain business as we capture greater market share and strategically expand our presence in this area.

We are seeing an overall demand recovery for our diesel, CNG and EV parts with the retreat of monsoon and the pickup of the las t mile economic activity driven by quick commerce. We are rapidly upskilling our mechanics on the new product range for electric vehicles. With now a wide -ranging network of 250 distributors, more than 10,000 retailers and 25,000 mechanics, we have built a strong ecosystem that offers a seamless experience for our customers.

Our multi -brand parts, particularly CNG and two -wheeler, are growing well. Exports is growing strongly. We have opened several new markets, including Philippines and East Africa.

Grea ves Care Services franchising operations continues to be the leader in multi - brand servicing for three -wheelers. And increasingly, this network is getting enabled for servicing electric three -wheelers and electric two -wheelers. We have now 225 plus franchi sed outlets at the end of quarter 3.

Leveraging Excel's manufacturing capabilities, we have also expanded into construction equipment and HCV parts, which are growing strongly given the overall infrastructure push and construction activities all over Indi a.

Looking ahead, we plan to grow our contribution from the EV component business, the HCV business, and the small commercial vehicle part lines. This is in line with our fuel agnostic strategy to diversify away from three -wheeler diesel spares. We are leveraging digital significantly across the business, which will result in better operational efficiencies and improved customer experience.

I would now like to hand over to my colleague Mr. K. Vijaya Kumar – the CEO of Greaves Electric Mobility.

K. Vijaya Kumar: Thanks, Narasimha. Good morning, ladies and gentlemen. Thank you for joining us today on our earnings call. I will talk about the performance and the exciting developments at Greaves Electric Mobility, post which we can commence the Q&A session.

Electric vehicles have gained significant traction as an in

dustry and emerged as a promising solution for reducing emissions. As part of our strategy, Greaves Electric Mobility, well known for the Ampere brand, has filed a DRHP with SEBI on December 23, 2024, for a proposed IPO. We propose to utilize the proceeds for investments in technology development, enhancing capabilities at our technology center, development of in -house battery assembly, funding expansion of manufacturing capacities of our subsidiarie s, increasing the stake in one of the subsidiaries, increasing digitization and deployment of information technology infrastructure, funding inorganic growth opportunities and general corporate purposes.

Regarding our business performance, in the E -two-wheeler segments, we have achieved a market share of 3.4% in Q3 FY25, allowing us to reclaim the fifth position in the Vahan ranking for the month of December 2024. This notable growth can be attributed to several factors, one of them being our improved prod uct and price competitiveness, which has helped us increase our market shares and specifically in

states like Tamil Nadu and Bihar where we are currently at 10% plus market share as per the Vahan data.

We have also diligently enhanced our distribution network to connect with broader consumers' base. In the 3rd Quarter, we added 24 new dealerships for Ampere, 16 for our ELE brand and 17 for our Greaves three -wheeler brand. This facilitates greater accessibility of our products nationwid e enabling customers to more readily experience the offerings of Greaves Electric Mobility.

Our achievements extend beyond these statistics. They reflect our commitment to providing innovative products. A prime illustration of this is our Ampere Nexus, which can be charged only in 3.3 hours. This feature aims to enhance the experience for customers who prioritize convenience and prefer to minimize their time connected to a charging station.

And as you are aware, we are also addressing one of the primary concern for EV which is the range anxiety. Ampere Nexus, notably the Kashmir to Kanyakumari campaign, which the Ampere Nexus traveled over 10,000 kilometers and established four national recor ds exemplifies the remarkable range and dependability of our electric vehicles.

I am also happy to announce that we have also recently launched an enhanced variant of Magnus EX named as 'Magnus Neo' at an attractive price of 79,999. We undertook another r ecord journey on our new Magnus Neo and achieved the record of the longest journey by a city speed family electric scooter riding 2,300 plus kilometers from Bangalore to Auto Expo, Delhi. We recognize that for customers to wholeheartedly adopt EV, it is es sential for them to have confidence in their ability to reach their destination without concern.

In the e -three -wheeler sector, we are dedicated to enhancing our footprint through our network and product enhancement. Our Greaves 'Eltra City' currently boa sts the national record for the longest distance travelled on a single charge, an impressive 225 kilometers. This achievement underscores our dedication to advancing the possibility within the EV domain.

Additionally, we continue to grow our presence in a lternate fuels for three -wheeler. We have successfully increased our market share in the L5 diesel segment from 1.2% in FY24 to 3.7% in Q3 FY25, driven by the growing demand from the southern market, propelling us to fourth ranking as per the Vahan for the L5 diesel segment.

Our commitment to innovation remains at the forefront. During the Auto Expo, we unveiled a range of advanced e -two-wheelers and three -wheelers including products designed for both B2B and B2C use cases. This includes a multifunctional two-wheeler and three -wheeler designed specifically for last mile delivery as well as higher powered variants of our premium Nexus line as well as the new Magnus Neo

.

We also showcased our vision of the Ampere Electric Motorcycle, which received widespread coverage.

That concludes my opening remarks. I would now request the moderator to commence the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Zaki Nasir, an individual investor.

Zaki Nasir: Good morning and congratulations to the management on a very healthy set of numbers. I am very happy to note that the board has again reiterated its target of Rs. 15,000 crore for 2030, sir. As what I roughly calculated , that would require a high 20s or even a 30% growth rate from here. So broadly, how do you expect to go forward on this path, whether with organic or a combination of organic and inorganic? That is my question number one.

Secondly , in the current expo, I see some very interesting products launched by Greaves Electric Mobility, notably the construction equipment. So, would you throw some light on this, the size of the market and, if possible, then path forward for Excel?

Narasimha J.: I can take your second question first. Overall, this is part of our fuel agnostic diversification strategy into some of the newer areas. So, we have looked at, as you know, the entire construction equipment space is growing very rapidly. I mean, we are ta lking about CAGR growth in excess of 7% to 8% year -on-year on the back of increased urbanization and infrastructure investments. So, we have also looked at selected lines which have electrification possibilities on the light construction equipment space li ke mini excavators, scissor lifts, boom lifts. So, this is part of our showcasing that we have done at the recent bauma and the recent exhibition.

Zaki Nasir: And what about the first question, sir, about the growth? And a small addendum for Ms. Akhila, w hat is the cash balance on the balance sheet now and how do you see this going forward after the issue and stuff like that?

Akhila Balachandar: Thanks for this question, Mr. Zaki . Let me take your last question first. As on the end of December quarter, the cash on our books at a consolidated level is around Rs. 500 plus crore, just shade marginally above Rs. 500 crore.

In response to your question about how we believe we will achieve this ambitious target that we have set out for ourselves, so let me take a step back and also run you through our transformation journey which has been going on for quite some time now. We have now moved from a single product diesel engine company to a multi - stream, multi -product company. And I think what we have done this time is to share the impact of this, we also put out the current revenue mix starting from 2016 and the journey till date, and you will see that this has been a really diversified revenue pool that we are now building out. YTD December financial year 2025, our revenues are a shade above Rs. 2,000 crore and this really reflects the mix of the diversified revenue.

We have also put out in our presentation that if you see from FY22 to FY25, the CA GR of growth because in between we were hit by COVID and it took a couple of years to come back, so 9M FY22 to 9M FY25 , that is the last few years, we have had a healthy CAGR of 18%. And this kind of helps us believe that we will be good to achieve the amb itious target that the Board has set out for us as management .

Will it include organic, inorganic? Surely as you know that we have invested in adjacency which are very, very core to us and we have done investment in Excel in May 2023. As and when we get s ome interesting investment opportunities, we will have a look at it. I hope this answers your question.

Zaki Nasir : Thank you, ma'am, and best wishes to you and the entire Board for the journey ahead, ma'am.

Moderator: The next question is from the line of Krisha Kansara from Molecule Ventures.

Krisha Kansara: My question is on the engine side first. So, our auto engine division is now shifting from, let's say, diesel engines to CNG or petrol or more of fuel agnostic engines. So, what is ou r strategy of increasing our presence or market share in, let's say, a market like CNG engine where Bajaj Auto dominates the market . What is our strategy to stand against our competition because our market share currently is very minuscule? So, I just want ed to get an idea of our plans in place with respect to this.

Dr. Arup Basu : So, perhaps I can quickly respond to that. As you rightly said, we are fuel agnostic, and we make the prime movers for the OEMs who then compete in the market. So, in terms of our whole fuel agnostic approach, all the work that's going on in terms of engines or powertrains are to mirror the fuel mix that's being viewed for the future. At t he end of the day, how the OEMs battle with each other is really part of their domain expertise etc., but we see a growing three -wheeler market at that level, and we see this fuel mixtures playing out based on a lot of factors such as availability, total c ost of ownership, sustainability and so on. And as long as our portfolio has everything that the industry needs, that's our way of risk mitigation as well as preparing for a growing future.

Krisha Kansara: First of all , congratulations on launching three new types of engines in the recent Bharat Mobility Expo. So, I have two questions with regards to this. One is how different are these newly launched engines as compared to, let's say, our current product offering in te rms of, let's say, technology or value proposition? And do we plan to cater to the existing clientele through this newly launched product or are we planning to target some newer industries with respect to this? Also are these engines ready to go in the mar ket right now or is there some time for them to be commercially viable?

K. Vijaya Kumar: So, I can take this question , in the Bharat Mobility Exhibition, we have launched three section of products. One is, as I mentioned in my commentary before, this is 'Magnus Neo ', which we have launched, and it is ready for production and sales with immediate effect. The second one is on the 'Nexus ', we have launched two variants. One is the 'Executive ' variant, where a younger generation gets much better power and pick up. And then there is another variant, which we call 'Tourismo ' on which they can go around for longer drives. So, both of these products, so 'Magnus Neo ' is immediately available and 'Nexus will ' also be available around the corner.

Then there are a couple of concepts which we have presented there. One is on the motorcycles where we intend to study the market and study the potential and work on it. And on the three -wheeler, we have presented a ne w concept which we believe can create a large market potential in a country like India, especially in the B, C class

cities for B2B purposes, which we have demonstrated. These are under study, and it will be developed as per our NPD plan going forward.

Krisha Kansara: Thank you for your answer, but my question was more of the newly launched production or engineering side of business. So , the Biofuel engine or let's say, the 'hydrogen -powered ' engine or the 'Euro 5 Plus ' diesel engine. These are the three products that we launched in the expo. My question was regarding those products.

Dr. Arup Basu : Right. The hydrogen engine was a concept engine. The others are further developed in terms of availability. The hydrogen engine can also be made. There are some customization s that we do by specific OEM. So, that will depend on demand. The 'Euro 5 Plus ' compliant engine is actually up and running because the norms were applicable from 1st January of 2025. So, they are probably the world's first single cylinder 'Euro 5 Plus ' compliant engines for that category.

Krisha Kansara: Sir, quickly two questions on Excel Controlinkage. So, in y our opening remarks, you mentioned that we are expanding our capacity in Excel segment. Can you throw more light on that statement?

Dr. Arup Basu : Expanding capacity, I thought, is quite an easy -to-understand statement. We are seeing opportunities for growth, and we are expanding capacity so that whatever is the demand from our customer base, we are able to fulfill it satisfactorily. So, we are just preparing ahead of time so that as and when the demands grow and they are not always uniform, we are ready t o meet the requirements of the customers.

Krisha Kansara: Right. M y next question is more on the non -auto business. So, can you just throw some light on each of our subsegments in non -auto in terms of how they are performing or let’s say , scale or market leadership . Also, what is the existing breakup of, let's say, auto and non -auto and how do we plan to move forward with the ratio, let's say, two to three years down the line, how do you see auto versus non -auto in our engineering side of business? And also, which segment will majorly drive this shift is my question.

Dr. Arup Basu : We see all segments growing. I think our key approach was we were over -dependent on one specific application and the work that has been done over the last few years is to create a portfolio of prime mover applications across multiple segments. We see gense ts growing. We see auto demand also growing. We see non -auto applications also growing. An economy of our size and globally, that's growing at the kind of GDP rates that we have. Pretty much all the engineering applications that we serve are going to grow. At what rates , that may change from one to the other . And we have therefore a fully diversified portfolio to meet all this demand. And that's the way we view it.

Moderator: The next question is from the line of Tushar Bohra from MK Ventures.

Tushar Bohr a: Congratulations to the management for putting a healthy set of numbers. First of all, I would just like to understand there was a reference made to aerospace segment or industry in the opening remarks. If you can just expand upon that a little bit quali tatively or some more inputs that can be given.

Dr. Arup Basu: Yes, sure, maybe I'll just elaborate on that. We do a lot of machining and engineering fundamentally, and one of the areas which require a long lead time to prepare ourselves is the area of ae rospace, which is growing in India quite a bit. So, from precision manufacturing and a precision engineering capability, this is one of the wave three horizon opportunities that we see. And we thought it's better to prepare for it early on. And one of the first steps in that is to qualify your plant for these kinds of products because there is a very long lead time to qualify yourselves because it's a very structured and high -quality and high -entry barrier industry. So, we see this as a wave three potential opportunity and the early -stage work towards that has started.

Tushar Bohra: Are we also looking at any other adjacencies from a precision engineering standpoint? Maybe railways, defense. I think we are supplying few products into marine but not on the engineering side. Any other adjacencies like aerospace that you are working on, you may want to share a bit.

Dr. Arup Basu: Sure, so in a way Excel, the acquisition of Excel was strategic because that opens up the whole adjacency from an engine ecosystem perspective around the controls, the five or six controls that are used to control any vehicle whether off highway or on high way etc. And that represents one adjacency that itself is growing in terms of t

he

technologies etc., available. So, you have a core and then you start building the adjacencies like this. So, that's one. The application of powertrain is this second one. The electric powertrain capability building is another. In a way, the application is moving from one type of prime mover. First level was fuel agnostic IC engines, and the next level now is electric powertrain as well. So, all of these you will find are kind of expanding the canvas in which we play and adding to our diversification approach.

Tushar Bohra: With internal industr ies, do we also have potential players in , maybe , railways, defense, marine, other industries? Are we looking at anything over the next two quarters?

Dr. Arup Basu: As you know, we already work with railways. So, the ecosystems where we are already present represent another way to expand —because you have a customer, one set of products, and you go with them, which leads to further expans ion. So, the whole railways expansion fits in with our sort of expanded engineering capability. So that is one thing that will be fed. Similarly, in defense, as they expand their portfolio, we are a qualified company with them in terms of registration etc. So, al l of them are entities we worked with in the past, we continue to work with and represent natural extensions in terms of the portfolio that can serve them.

Narasimha J.: From a Greaves Retail aftermarket perspective as well, we are looking at new areas like, I think my colleague touched on railways, where we have already looked at energy management services and offering, where we are working with some of our institutional customers, notably railways and telecom tower companies for basically assisting them in their transition away from diesel gensets to lithium -ion based battery packs and really providing energy as a service. So, this is sort of as part of our own diversification and new business strategy from a Greaves Retail perspective. I hope that answer s your question.

Tushar Bohra: My next question is on the hydrogen engine that we have developed as a concept. Are we looking at this as an independent engine or are we also looking at retrofitting possibilities to existing engines where they can be sort of made compliant to run on hydrogen as well? Also, are we looking at this only from a three -wheeler perspective? Because unlike diesel, where obviously a lot of firms globally have been at the technology front, in hydrogen, it's still an evolving concept. We could be one of the few companies that are in the first wave of working on it. So, are we looking at only three -wheelers, or are we looking at this maybe for even four -wheelers, even commercial vehicles for that matter? What are the possible applicatio ns for the hydrogen engine?

Dr. Arup Basu: So, perhaps I can respond to that. The idea of showcasing a hydrogen engine at the expo was to demonstrate that we have the engineering know -how and know why on this fuel for an IC platform because this is also i n consonance with our sustainability approach that we work. It covers our fuel agnostic approach as well as our environmentally green approach. Now once an engine capability is there for a hydrogen -based engine, sizing is less of an issue. We are working with a larger engine on the retro fitment because of the economics. So, at the end of the day, there will be many other factors. For example, availability of hydrogen, the total cost of ownership, etc., which will determine which ones take off or which one s take what time. And what are the triggers which will allow a repurposing of the portfolio fuels that are fuels of choice. The purpose of this was to show that we have the capability, we are working with a small engine as well as large engines and working on the hydrogen platform, and it will allow us to, therefore, probably be one of the

early
movers as this fuel plays out going forward.

Moderator: The next question is from the line of Abhishek Salunke from VEC Investments.

Abhishek Salunke: My first question relates to the Excel Controlinkage. So, what I want to understand is, what are the growth constraints that we are facing since last two quarters in this business? Because the revenue growth seems to be declining over a year. Is this a conscious decision or it's because the industry is going down?

Dr. Arup Basu: Right. So, over the first couple of quarters, Excel Controlinkage products go largely to the OEM industry and a little portion goes to the aftermarket. So, the OEM industry in Indi a as you are aware in the first couple of quarters had been reasonably flat or a bit tepid, typically particularly the commercial vehicles as well as the agri - vehicles like tractors etc. So, those were some of the industries that were kind of flattish and the commercial vehicles industry even had a small contraction. We see that being a temporary phenomenon because of elections, floods, etc., all those reasons. But overall, we see it growing. So, we don't really see that sector going down. The other piece i s in exports, there was a little bit of a reduction in terms of the export volumes that too because there was some inventory de -stocking taking place in some of our customers supply chains. Over a period , we are rebuilding the export portfolio, like I ment ioned in my talk that we are expanding our set of export customers and also, we see industry growing in India. So, in the medium term, you are seeing that change already happening between Q3, Q4 etc. And overall, we are positive about the demand side acros s all the sectors that we serve.

Abhishek Salunke: And it's a commendable job considering that even in the weak demand scenario, you have managed to grow your EBITDA margins. And I think the enterprise value for Excel Controlinkage is around Rs. 620 crore and then we own 70% of the business. So, when we look at future, for example, the inorganic opportunities, is this a guideline that we would look for EV to EBITDA of around 8 to 10x and we would be consciously not overpaying? And then the second part of this question relates to Excel Controlinkage , what is the c urrent capacity utilization level at present?

Dr. Arup Basu: So, maybe I will just comment on the second one and the CFO is the best place to comment on your first query. This is an assembly type business , so, we don't have very clear -cut capacity calcula tions, but by and large, we do have capacity in terms of the setup that we have to be able to cater to a larger demand. So, as of now, there isn't really any bottlenecks. We are proactively expanding certain parts, certain upstream components which feed in to the end -product as well as have a market of their own such as rubber. So, there will be piecemeal kind of expansions going on, but as of now there really isn't any constraint to fulfill any orders that we get. Over to you, Akhila.

Akhila Balachandar: Just want to share that each inorganic opportunity will be different. And as and when

we look at opportunities, we will evaluate them accordingly and come back when something is final. So, I don't think we have anything fixed or set. We have our internal met rics in terms of ROI, ROCE, and so on. But we will treat each opportunity as it comes.
Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited.
Jyoti Singh: Congratulations Greaves team on doing such a good job. My question is firstly on the spare s and services side, which is 75% of revenue. So, how do you plan to sustain growth in this segment? And are there any new plans of a partnership or a product category in the pipeline?
Also , we hav e a vision of Rs. 15,000 crore revenue by 2030. So, could you give

us a
little bit in depth on the key drivers and timelines for achieving this target?
Narasimha J.: Yes, I can take the first question. As I was mentioning in my update that we have already sort of, as part of our fuel agnostic strategy, diversified quite a bit away from our traditional diesel spares, three -wheeler spares. We have now, as I said, expanded into CNG category. We have gone a very big way into electric three - wheelers spar es, particularly for E -rickshaws. I think I touched upon that. These are very large markets if you look at the way the electric three -wheeler growth is happening in the country. Also, looking at adjacencies, leveraging our Excel manufacturing capability in to the HCV and construction equipment aftermarket spare parts. So, these are sort of the growth trajectories on the automotive side. And on the non -automotive side, I have touched on both for Excel as well as for in newer sectors like railways, energy mana gement service, telecom and so on. So, these are all large markets, and we believe these have sufficient growth opportunities for us for Grease Retail.

Akhila Balachandar: Jyoti, I will take the second one, how do we plan to achieve this ambitious target. Mr. Zaki had raised this earlier on and I have fairly elaborated. So, maybe we will move to the next question if that is okay.
Jyoti Singh: Okay, fine, ma'am. So, just another on the Excel side that we recently increased its stake on that. So, are we pla nning further to acquire 100% or will be keeping in this level only?
Akhila Balachandar: So, as far as Excel goes, there is a path to 100% ownership and this is as per the share purchase agreement (SPA) , shareholders' agreement (SHA) signed with the promo ters, and we will be working along the same lines.
Moderator: The next question is from the line of Shruti Shukla from Star Union Dai -ichi (SUD) Life Insurance Company Limited .
Shruti Shukla: Part of my questions have been answered previously. Just a follow -up on one of the previously asked questions on capex in Excel Controlinkage. Is it going to be in Greenfield or Brownfield? And what sort of cash outflow can we expect there? And are there a ny timelines which you are currently working on that?
Akhila Balachandar: Sure, let me take that. We have a very strong robust capex program both across Greaves Cotton and Excel. The number of initiatives which we keep doing, which we call internally sustenance, like Dr. Arup mentioned earlier, any assembly line or manufacturing line, while there may not be an overall capacity constrain t, there are also ongoing projects on de -bottlenecking, which ensure that we are able to run our capacity and our capex far more efficiently. So, these are multiple projects which we have evaluated and are currently in place across all our organizations. T hen there are some larger initiatives which we are undertaking to ensure that we are able to move along the visions that we have set forward. Overall, in this year, between GCL and Excel, we will have roughly Rs. 100 crore approximately of capex being spen t out. Trust that answers your question.
Moderator: The next question is from the line of Amit Kumar from Determin ed Investments.
Amit Kumar: I just had one question with respect to your two -wheeler electric business. I think in September, we got back onto the government subsidy program. We were anticipating then, I mean, obviously it takes a little bit of time for the subsidy to get into retail . We were anticipating a little bit better improvement in your month -on- month two -wheeler sales numbers. In fact, we have seen on a quarterly basis, we have seen a little bit of an improvement, but things are still sort of fairly subdued on that count. Is there any sort of constraint there in terms of ramping up the two - wheeler sales, given that now that pricing

differential versus competition would not
be there, I presume? And how should we, I mean, I don't, I am not sort of looking for

forward guidance, b ut just in terms of a constraint, if you can sort of highlight anything on that count?

K. Vijaya Kumar : Thank you so much for the question. So, from a constraint point of view, I don't think there is any specific constraint. So, what has happened was Octo ber was a bumper month. And as you all know, post November end and December, the industry itself was close to 30% down. The industry in the month of December had gone down to

73,323 from 1,18,000 in the month of November. So, that is the sort of steep fall it had taken. So. that's point number one. Point number two was we were transitioning into the new Magnus Neo, which means we have inventory in the dealerships and in the market. We want to transition to get ready for the launch which we did in Auto Expo in the first week of January. These are the two things, and that's behind us and you will see the traction what we foresee.

Moderator: The next question is from the line of Atul Panpatil from Sunidhi Securities.

Atul Panpatil : Congratulations on the great set of numbers. My question is on the generator side, how was the performance in Q3 FY25 from this business? And I understand that there has been a slowdown in the genset side but I would like to know the status of this business for this quarter.

Dr. Arup Basu : So, Atul, maybe I will respond to your question. There has been a significant change in the regulatory norms that happened in this financial year which was the CPCB IV. This is for the India geography, and a significant range of gensets had t o be upgraded by all players towards that. And what has happened is overall the genset demand is in a way linked to your underlying GDP growth because infrastructure, everything needs backup gensets as you are aware. The sizes differ depending on the size of the project or depending on the application where it's going to be used, but it goes from a large scale and range of products that are in demand. So, overall, in India, the demand is expected to mirror GDP growth and infrastructure growth, both of which have a positive prognosis for the future . The other part is that we are also building an export business in gensets and engines, which is quite large. There are certain geographies we are focusing on, and overall, if you combine both, I think all the players in the industry have room to grow . We particularly have headroom to grow because we are relatively small at the moment, and for these reasons, we see a runway for significant growth .

Atul Panpatil : My second question is, on the overall business, our EV segment is doing well, as we reported nearly 40% volume growth in that segment. We are also anticipating that the genset business will start reporting strong numbers starting Q1 FY26. So, on a consolidated basis, can you say that t he performance starting FY26 will be much better than what we are seeing currently ?

Akhila Balachandar: Yes, I will take that. So, if you see this quarter, we have done a consolidated revenue of Rs. 751 crore and a standalone of Rs. 502 crore and a growth of 13%. We will continue our journey of ensuring that we are growing on all cylinders. A lot of effort has gone into this, which has led to the consistent improvement in our margins over the last 8 -10 quarters. And again , that's a journey we will continue being on. So, I think this is something as a management team we are all focused on, and we are working towards. I hope that answers your question.

Moderator: Ladies and gentlemen, due to time constraints, that was the last ques tion. I would now like to hand the conference over to the management for closing comments.

Nagesh Basavanhalli: Thank you. In the interest of time, I will keep it brief. Again, ma

nagement has summarized how we are moving from a single -cylinder diesel engine company to a diversified multi -business B2B plus B2C organization. Hope you had answers to most

of your questi ons, our teams are always available should you have more. Thank you for your time and attention today. Have a wonderful day.

Moderator: Thank you. Ladies and gentlemen, that concludes this conference. Thank you for joining us and you may now disconnect yo ur lines.

Note: This transcript has been edited to improve readability.

other unknown factors could cause actual developments and results to differ materially from our expectations. These factors include, but are not limited to, general market, macro -economic, governmental and regulatory trends, movements in currency exchange and interest rates, competitive pressures, technological developments, changes in the financial conditions of third parties dealing with us, legislative developments, and other key factors that could affect our business and financial performance. Greaves undertakes no obligation to publicly revise any forward -looking statements to reflect future / likely events or circumstances.

Disclaimer: -

GREAVES ELECTRIC MOBILITY LIMITED is proposing, subject to receipt of requisite approvals, market conditions and other considerations, to make an initial public offering of its equity shares and has filed a draft red herring prospectu s dated December 23, 2024 (“DRHP”) with SEBI and the Stock Exchanges. The DRHP is available on the website of SEBI at www.sebi.gov.in , on the websites of the Stock Exchanges, i.e., BSE and NSE at www.bseindia.com and www.nseindia.com , respectively, on the website of the Company at www.greave selectricmobility.com and on the websites of the BRLMs, i.e. Motilal Oswal Investment Advisors Limited at www.motilaloswalgroup.com, IIFL Capital Services Limited (formerly known as IIFL Securities Limited) at www.iiflcap.com and JM Financial Limited at www.jmfl.com , respectively. Any potential investors should note that investment in equity shares involves a high degree of risk. For details, potential investors should refer to the red herring prospectus which may be filed with the Registrar of Companies , Tamil Nadu at Chennai in the future. Potential Bidders should not rely on the DRHP filed with SEBI and the Stock Exchanges in making any investment decision.

This announcement does not constitute an invitation or offer of securities for sale in any juris diction. The Equity Shares have not been and will not be registered under the U.S. Securities Act of 1933, as amended ("U.S. Securities Act"), and may not be offered or sold within the United States except pursuant to an exemption from, or in a transaction not subject to, the registration requirements of the U.S. Securities Act and applicable U.S. state securities laws. Accordingly, the Equity Shares are only being offered and sold (i) within the United States to "qualified institutional buyers" (as defined in Rule 144A under the U.S. Securities Act) in private transactions exempt from the registration requirements of the U.S. Securities Act, and (ii) outside the United States in offshore transactions in reliance on Regulation S and the applicable laws of th e jurisdiction where those offers and sales occur. There will be no public offering of the Equity Shares in

the United States.

Call: May 2025

07th May, 2025

The Manager - Listing
BSE Limited
BSE Code: 501455 The Manager – Listing
National Stock Exchange of India Limited
NSE Code: GREAVESCOT

Dear Sir/Madam,

Subject: Transcript of the quarterly earnings call for the quarter and year ended 31st March, 2025

In furtherance to our letter dated 22nd April, 2025, please find enclosed herewith the Transcript of the quarterly earnings call for the quarter and year ended 31st March, 2025. The transcript is also available on the Company's website at www.greavescotton.com

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Greaves Cotton Limited

Atindra Basu
Group General Counsel & Company Secretary
Membership No: A32389

Encl.: a/a

GREAVE

Greaves Cotton Limited

Q4 & FY25 Earnings Conference Call

April 30 , 2025

Management Representatives:
Karan Thapar – Chairman of the Board , GCL
Parag Satpute – Managing Director & Group CEO , GCL
Akhila Balachandar – CFO, GCL
Narasimha Jayakumar – CEO, Greaves Retail
K. Vijaya Kumar – ED and CEO, GEML

Alwan Deivanayagam – Deputy CFO, GEML

Moderator Ladies and gentlemen, good day and welcome to Greaves Cotton Limited 's Q4 & FY25 Earnings Conference Call.
We have with us today Mr. Karan Thapar – Chairman of the Board, Greaves Cotton Limited ; Mr. Parag Satpute – Managing Director & Group CEO, Greaves Cotton Limited ; Ms. Akhila Balachand ar – CFO, Greaves Cotton Limited ; Mr. Narsim ha Jayakumar – CEO, Greaves Retail; Mr. K . Vijaya Kumar – ED & CEO, Greaves Electric Mobility Limited (GEML) and Mr. Alwan Deivanayagam – Deputy CFO , GEML.
We would like to begin the call with brief opening remarks from the management following which we will have the forum open for an interactive question -and-answer session.
Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier. Further, as you are aware, Greaves Electric Mobility Limited has filed a draft red herring prospectus with the capital markets regulator SEBI , to raise funds through an IPO. All discussions in this call with regard to this entity may be read in conjunction with a nd be limited to the said DRHP.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded .
I now hand the conference over to the management. Thank you, and over to you.
Akhila Balachandar Good afternoon, everyone. It is a pleasure to have you all with us today. I am joined by our Chairman, Mr. Karan Thapar, and I would like to invite him to share a few words.
Karan Thapar Thank you, Akhila. Hello, everyone, and thanks for joining the call. Akhila is going to present the financial performance but before she does that, I wanted to take a moment to welcome Mr. Parag Satpute sitting here with me on the table as our new Managing Director and Group CEO for Greaves Cotton. Parag will be responsible for overseeing the strategic direction and operations for Greaves Engineering , Greaves Retail , Greaves Technologies, and Excel Control inkage with a clear focus on driving growth and delivering on our core purpose of empowering lives. Parag brings an impressive 29 years of leadership experience within the mobility and manufacturing sectors, and we value that expertise in Greaves . We are confident that his leadership will not only accelerate our growth trajectory but also propel us towards achieving our strategic ambitions with a greater impact and speed. I am delighted to officially welcome Parag

to lead us to our next phase of growth.
I might just add that the Greaves Board had set itself a vision to achieve Rs. 15,000 crore topline on a group basis by 2030 through a blend of organic growth and strategic acquisitions and the management of Greaves Cotton and Greaves Electric Mobility remain committed to the same. Over to you, Parag .
Parag Satpute Thank you very much for the welcome, Mr. Thapar, a nd good afternoon to everyone on the call. I am truly honored to join Greaves Cotton at this very pivotal juncture in its journey. I have long admired this organization due to its commitment in driving positive impact through sustainable engineering technologies and fuel agnostic solutions. All of these initiatives deeply resonate with me.

Let me give you a brief introduction of my professional background . Like Mr. Thapar said, I have more than 29 years ’ experience across the mobility and manufacturing sector s, and I have worked in India and in global markets. My most recent assignment was with Bridgestone Mobility Solutions, where I served as the President of the fleet business, running business across North America and Europe. I have now relocated to India, and I am really excited by this opportunity. Prior to this assignment, the one in Eu rope that I mentioned, I was Managing Director for Bridgestone in India, and I led a comprehensive business transformation for the whole organization. And before Bridgestone, for over 2 decades, I work ed with Sandvik. I started out in India as a sales engineer and over these two decades, I worked in multiple assignments in India and abroad and was eventually the Managing Director for Sandvik in India.
Now, as I step into this role, I look forward to working with the leadership of Greaves

Cotton, all the teams and the stakeholders, like Mr. Thapar said, to accelerate the growth, to drive innovation and to deliver on our customer -centric, future -ready solutions. The Company's legacy in empowering lives through sustainable and accessible solutions really resonates strongly with me. I look forward to advancing the Company's vision and to drive a strategic business outcome.

Over to you, Akhila , to take us through the results.

Akhila Balachandar Thank you, Chairman sir, and once again welcome to Mr. Parag. Good afternoon once again and a warm welcome to all of you on this call.

I am pleased to share that Greaves Cotton has delivered a very strong financial and operational performance in Q4 and also across the full Financial Year 2025. This performance reflects the successful execution of our transformation strategy , diversification of our portfolio and a disciplined approach to financial management. It also validates our continued focus on sustainable growth, operational excellence and capital efficiency.

Let me now take you through the key highlights , for Q4 FY25, we reported consolidated revenues of Rs. 823 crore with Grea ves Cotton's standalone revenue rising by 19% on a year-on-year basis to Rs. 573 crore. Excel Controlinkage, our strategic acquisition, continued to perform exceptionally well, recording Q4 revenues of Rs. 75 crore, reflecting a 15% year -on-year growth.

Our profitability profile improved. Standalone EBITDA for Greaves Cotton was Rs. 84 crore with margin at 14.7%. The combined Q4 EBITDA for Greaves Cotton and Excel is at Rs. 107 crore with margins at 16.4%, highlighting our improved cost structure and operating leverage.

Moving to the full Financial Year 2025, consolidated revenues reach ed Rs. 2,918 crore , backed by strong contributions across all our business verticals. Standalone revenues for Greaves Cotton grew by 12 % year-on-year to Rs. 1,988 crore, while EBITDA increased to Rs. 260 crore. Excel contributed Rs. 268 crore to the full year revenues. The combined EBITDA of GCL and Excel stood at Rs. 338

crore with a
margin at a healthy 15 %.

Each of our core businesses make strong progress :

• Engineering and Retail divisions continue their growth trajectory with revenues growing annually by 14% and 7%, respectively.

• The integration of Excel Controlinkage has strengthened our capabilities in motion control systems and components, enabling deeper penetration into key high growth sectors.

Our Electric Mobility division posted revenues of Rs. 659 crore for Financial Year 2025, driven by the launch of new models, improved channel efficiencies and growing consumer demand.

As you are aware, our mobility division has filed the DRHP and we await the regulatory approvals. FY25 marks strong growth for Greaves Engineering and Excel, reinforcing our position as a diversified Engineering group. At Greaves Engineering , the non -automotive applications continue to dominate the growth. The Company achieved strong growth in gensets and industrial engines while expanding into sustainable mobility with CNG and showcasing hydrogen technology concept at the Bharat Mobility Global Expo in Jan 2025. In gensets, we improved our market share to around 4%. Excel, o ur strategic investment in line with our diversification strategy, continues to deliver strong performance, ensuring that our investment is both revenue and margin accretive.

Moving to Greaves Retail , we ended F Y25 on a positive note with significant growth in the second half. We are building a scalable tech -enabled business across three core verticals, auto, non -auto, and EV components, with a focus on three -wheeler CNG, energy solutions, and EV aftermarket. A nationwide network of 10,000 plus Retail ers and 21,500 plus mechanics ensures strong service delivery while digital tools enhance the operational efficiency. Looking ahead, we aim to expand in high potential categories an d pursue strategic acquisitions, maintaining our asset light tech-driven growth model.

From a financial health perspective, we are in a very strong position. We continue to operate with a near zero debt balance sheet supported by standalone cash reserves of Rs. 379 crore . Our return on capital employed for FY25 stands at a healthy 19 % each, underscoring our capital efficient growth approach. We remain optimistic about the future while acknowledging external uncertainties. Our strong balance sheet cash flows and focus ed strategy equip us to seize opportunities and create long -term value for st akeholders.

With this, I would now like to hand it over to my colleague, Mr. Vijay a Kumar – ED & CEO of Greaves Electric Mobility .

Vijaya Kumar Thanks, Akhila. Very good afternoon, ladies and gentlemen, and thank you for joining us today.

Let me begin with a brief update on Greaves Electric Mobility 's performance and some key developments from this past quarter and financial year before we open the floor for further questions.

GEML has delivered a resilient and forward -moving performance in this quarter. The overall electric two-wheeler industry saw a decline of 8 % from Q3 FY25 to Q4 FY25. As per the V ahan data, which is the government portal data, Greaves Electric Mobility delivered a strong performance.

Our Vahan registration grew by 15% quarter -on-quarter, resulting in an increase in our electric two -wheeler market share from 3.4 % to 4.3 % in this quarter. This growth was led by the successful launch of the new Magnus Neo this quarter , a generational upgrade of the popular Magnus EX. With enhanced styling, improved performance and a safer LFP battery platform, Magnus Neo has resonated strongly with customers seeking value, safety, and reliability. In the L5 three -wheelers, we continue to gain traction acro ss fuel -agnostic L5 solutions reflecting the strength of our diversified product portfolio. We are building this future by leveraging ou

r

Engineering DNA and rapidly evolving product portfolio.

In terms of annual update , our revenues in F Y25 grew by 7.4 % year-on-year, driven by volume growth in the e2-wheeler at 10 % and L5 segment at 61 % year-on-year. This is driven by a strong growth in fuel agnostic segments. Also note our market share increased from 1.2 % in FY24 to 3.7 % in FY25 in the L5 diesel segment. This year, we introduced three electric two -wheelers, new two -wheelers, Ampere Nexus, Magnus Neo, and Ampere R eo, each engineered to be safe, smart, stylish, and affordable catering to the diverse need s of India's evolving EV consumers. In addition, I am also happy to announce that Ampe re Nexus has been awarded as the Electric Scooter of the Year by Bike India, a leading automotive publication.

This quarter also saw a strategic milestone, our partnership with Indofast Energy to enable battery swapping for fleet operators and shared Mobility platforms. The newly launched Ampere Magnus SW.S, the way we call it, which is swap enabled, integrated with Indo fast s wap infrastructure will help reduce downtime and enable faster turnaround for the last mile delivery vehicles. Continuing our commitment to affordability and access, this quarter we launched the Ampere R eo 80 at Rs. 59,900, an electric scooter designed for mass market in India - students and senior citizens. This is a key step forward in realizing our vision of Har Gully Electric. We are among the very few players who are offering EV solutions across both two -wheeler and three -wheeler segments, alongside our diesel and CNG offerings in three -wheeler, which helps us cater to a diverse customer base. We have also made meanin gful strides in customer service support with 600 plus touchpoints, our own EV financing platform, evfin, and a growing digital infrastructure that supports both consumers and channel partners.

As you are aware, we have filed a draft red herring prospectus dated December 23rd, 2024, for a proposed initial public offering, which is subjected to receipt of regulatory approvals from the SEBI, market conditions and other commercial considerations. We remain grateful to our two investors, Greaves Cotton Limited and Abdul Latif Jameel , whose continued support strengthens our foundation and future investments. We remain committed to investments in product innovations and in - house battery capabilities.

With that, I now hand it back to the moderator to open the Q&A session. Happy to take your questions, please.

Moderator Thank you very much, we will now begin with the question -and-answer session. The first question is from the line of Tushar Bohra from MK Ventures.

Tushar Bohra Yes, congratulations to the management for a good set of members. My first question is to Mr. Parag. Sir, given your own longstanding track record and also given Greaves' overall pedigree and lineage, as an outside r coming into the firm, where do you think the firm is in terms of the overall journey and how comfortable you are taking on this target which I think was hit maybe a couple of quarters by the Board of a 6x increase in revenues over the next 6 years. So , I just want to understand the qualitative aspect and how do you look at the firm as preparation and as to what further needs to be done to really achieve these outcomes ?

Parag Satpute Thank you, Tushar, for your question. Yes, like I said, I am really excited to join this

Company. I started my assignment just two weeks ago. But like you pointed out, the recent track record of the Company has been really strong. And when I was considering this opportunity, I was really excited by the vision set out by the Company and what I could see in the track record. As I have come in, I have started interacting with the management. I started looking into the business plans. And while it is too early

to give you a view now, I can confirm that I continue to be excited by this decision I have taken and the opportunity to work with the Greaves team.

Tushar Bohra Sure. My question is from a business standpoint. So, first and foremost, the Engineering business, the fourth quarter growth is significantly higher Y-o-Y compared to the full year growth Y-o-Y for us. So , should we take it that the fourth quarter is a more sustainable benchmark going forward? Should we be able to deliver with this as a new base? Do you see that substantial traction in the Engineering side of the business , also given that we have a lot of new initiatives that we have launched there ?

Akhila Balachandar Thanks, Tushar, for that question. As you know, Q4 is generally our best quarter. We always put our best foot forward in the last quarter of the entire financial year. And we have really done that in this year also. Point number two, over the past 6-8 quarters, we have been undertaking various initiatives which have been in progress for some time and some of those initiatives have materialized and therefore and these are building blocks for our growth journey and also to the vision that w e have set out and which was your earlier question of going 6x by 2030. So yes, some of the building blocks are beginning to show the green shoots and the results and hopefully the endeavor of the management is to continue on this journey going forward also.

Tushar Bohra Thank you , ma'am. Also , on the EV side of business, just to bunch up couple of questions. First, the volume growth looks substantially higher than the revenue growth for the past quarter and year, for EVs. If you can just set that in context. And also, if you can comment on the profitability of the EV business, are we already profitable ex of subsidies on a gross margin basis? And when do we aim to be breaking even in this business at an EBITDA level?

Vijaya Kumar Yes, Tushar. Thank you for your question. So , one is from a revenue and the realization standpoint, because where we started, we had a non -subsidy scenario in the first two quarters. Later on, we got approval on the subsidy, and then it got passed on. From that standpoint, if you see our revenue numbers, that benefit has got passed on to customer and hence it has an impact on the overall revenue realization. Going forward on the profitability part, as you are aware, we are waiting regulatory cl earances from SEBI on our DRHP. So , I think I would constrain myself from giving any forward -looking statements as we have already mentioned it in our DRHP in detail.

Tushar Bohra Sure sir, if I may quickly check one last question on the Retail side, last 2-3 quarters and also in the auto expo, there's been a lot of initiatives, lots of new product launches and lot of announcements related to the Retail part of the business. But somehow, and given that it's a low or a negative working capital business, what is constraining us to let us say grow this business at 25 %-30% kind of CAGR given that the base is still relatively small ? Can we expect that kind of momentum in the next few quar ters?

Akhila Balachandar So like we have said over the past few quarters, we have been investing in this space, and this space has lot of opportunities, and we are excited with it. And we continue to remain so. Yes, some amount of growth has not kicked in. If you see H1 last year was particularly impacted because of the heavy rains, the long -drawn elections, but we have bounced back in the second half of the year. We are continuing in our journey there. There are new product launches. There is work happening and we expect to gain momentum in the coming quarters. I hope that answers your question.

Tushar Bohra Sure, thank you so much. I will join back in the queue .

Moderator

The next question is from the line of Krisha Kansara from Molecule Ventures.

Krisha Kansara My first question is slightly related to what the previous participant had asked. So , we saw very impressive growth of 30 % in our Greaves Engine segment. So , could you help us understand the drivers which drove this growth? Was it gensets or was it other complementary segments that we cater to? And if the growth came from gensets , can you please pinpoint what sectors, what end user industries are we seeing the major demand coming from? This is my first question.

Akhila Balachandar Thanks, Krisha. Essentially, Greaves Engines, if you recollect, we have been on a transformation journey for the last 3 to 4 years. We have tried to diversify our portfolio from a single engine , single application Company to multi product, multi -application Company and we continue on this journey. As we are growing, the contribution of our non -auto applications, especially gensets, has been a dominant piece of our growth. And this is what we will be driving going forward also. In gensets, our market share had been in the region of approximately 2.7 % some time back. And we currently are below 4 % or around 4%. While we are not a very big player now, and therefore, we are not very, very specific as to which segment we are targeting. We are trying to be very customer friendly, develop solutions which the customer is demanding and therefore building a niche for ourselves. I think going forward for some more time, this is the strategy we will be adopting. Secondly, what we are working on is trying to also see if we can build a solution as a service around the gensets where our RFIDs are embedded in the gensets that we sell were able to monitor the performance of these gensets and do preventi ve maintenance and do post maintenance. So , this is something we have been working on, and some progress is made, and the rest is work in progress.

Krisha Kansara So ma'am, would you be able to tell us at what growth stage our genset segment was during this quarter or in the year?

Akhila Balachandar Yes, a dominant growth has come from the gensets. We have not really been sharing what is the specific growth in gensets. As I said, our market share has improved from approximately 2.7 % last year or a year before that to around 4 % in this year. And that is the journey that we have covered over the last 6 to 8 quarters.

Krisha Kansara Right. Ma'am, m y second question is regarding Excel Controlinkage. So , in the previous concall, you had hinted that we are undertaking some kind of de-bottle necking initiative in order to expand our capacity there. So , it would be very helpful if you could give us some details on this – such as what kind of amount we have spent to expand that capacity , when will this expanded capacity come online and what is our current utilization level? Something on this, ma'am?

Akhila Balachandar Sure, so Krisha, basically we have outlaid almost Rs. 100 crore capex plan when we invested in this Company and this was something that we were planning to undertake over a 3 to 4-year period. Over the last two years that we have invested in this Company, we have undertaken multiple initiatives in de -bottlenecking our processes. So, it is not just about one specific part or area, it is over the entire manufacturing processes, the assembling and the process improvements. We also continue in this journey, and we have some capex plans outlaid even for the forthcoming year.

Krisha Kansara Okay, can you tell us the current utilization level at our Excel plant?

Akhila Balachandar So, again, as I said, there are multiple parts to the entire plant. There are pieces which would be 60 % or 70 % utilized. There are pieces where our utilization would be 90 % plus. And this is where we would focus on the de -bot

tlenecking initiatives.

So, this is an ongoing journey, but we would be approximately at an overall level more than 80 % of plant utilization.

Krisha Kansara Right . And if you can tell us in percentage terms as to how much capacity are we adding? Let's say you mentioned we are planning a capex over the next one year. So, what kind of capacity addition can we see in this segment?

Akhila Balachandar Okay, so when we invested in this Company, the turnover of the Company was approximately Rs. 187 crore . And we had set out an ambitious target of investing around Rs. 100 crore . The idea was we should be able to do 3x turnover with this kind of an investment. And obviously, that is what is currently work in progress.

Moderator The next question is from the line of Darsh an Jhaveri from Crown Capital.

Darsh an Jhaveri We have had an excellent Q4. So , moving on, we said that Q4 is usually the best quarter. So , what kind of seasonality we should see going forward? And we have had some launches last year . What kind of launches are you planning for next year ?

Akhila Balachandar So Darsh an. Yes, as I said earlier, we have the best quarter in Q4, but otherwise we are not really seeing that level of seasonality or cyclicality, but the nature of the business and we see the best quarter in Q4. Going forward and again I continue from what I said earlier, we have been undertaking multiple initiatives both on the revenue side, on the optimization side and the cost controls. So , all these are work in progress and will therefore play out in the coming years. I hope that a nswers your question.

Darsh an Jhaveri Fair enough ma'am. And so just like we have a very really great vision of reaching

Rs. 15,000 crore by 2030. But just wanted to know in the near term, how do we see the next two years planning? Is it that this is the investment phase, where we're focusing on cost control and getting all our ducks in a row, followed by a phase of strong growth? Or will the growth be more linear? I just wanted to understand that . And how would that impact our margins?

Akhila Balachandar Sure . Darshan , again I will go back wh en we started this journey around 3 to 4 years ago where we are trying to diversify our dependence on diesel products , on our auto applications. And today, we are fairly well diversified in terms of auto and non -auto applications, in terms of being fuel agnostic in our product offerings. It is in line with this philosophy that we did a strategic investment in Excel, which is definitely fuel agnostic, but in the same industry. This has added Rs. 268 crore to our topline in the current year and will grow further. Going forward, we will definitely grow both organically and we are also looking for opportunistic investments in the adjacencies that we are strategically looking forward to. And the ambition that the board has or the vision that the board has of Rs. 15,000 crore by 2030 is an all -encompassing vision which includes both organic growth as well as the strategic investments that we will definitely make. And as you are very well aware, we are a completely debt - free Company. We are sitting on Rs. 379 crore of cash. And therefore, we are well funded if we want to undertake inorganic and strategic investments.

Darsh an Jhaveri Very fair , ma'am . And just one bookkeeping question from my end. We have some accumulated losses, so going forward, will we have a nil tax rate for some time, or how will that play out ?

Akhila Balachandar So Darshan , we have losses in the subsidiary Company , Greaves Electric Mobility, and they will be able to take any tax benefits that will be available. At the Greaves Cotton entity level let me clarify , we do not have any losses in the standalone books .

Darsh an Jhaveri Oh okay . Fair, that is in the subsidiary . Okay. Yes, that is it

from my side ma'am . All
the best . Thank you so much.

Moderator The next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor Firstly, please c orrect me, in your presentation for the Electric Mobility part, have we not provided the P &L separately in the division part or where have we subsumed that number sir?

Akhila Balachandar If you go to the presentation, we have shared the E-Mobility financials in the business division disclosure s. Sorry, I do not know the exact page number because these do get changed out. In the financial disclosures, we have put it under the business division financials .

Saket Kapoor Okay, I will just go through it. Because separately, when I was going through the division disclosure, I could find Greaves Engine, Greaves Retail , GCL, Excel , and GCL plus Excel . But for the e -Mobility , GEM, that part of the slide, I could not make out where you have provided the disclosure for the same in the same pattern. Secondly, considering the current subsidy framework, what have we factored in regarding the growth trajectory and quarterly burn rate for the Electric Mobility division? Al so, following the proposed IPO, who will hold the majority stake in the existing company? And from a consolidation perspective, will this line item continue to appear going forward? It would be helpful if you could shed some light on that .

Akhila Balachandar Yes, I will request Vijay to take the first question and maybe I will then add to the second one.

Vijaya Kumar Yes, Akhila , thanks. So, Mr. Saket, the way we are looking at it is the electric two - wheeler industry last year has grown by close to 20 %, reaching 1.3 million units , and we expect that growth trajectory to continue. Greaves Electric Mobility is one of the founding members of Electric Mobility , with over a decade of experience, and we have been among the lead ing players in providing electric mobility solutions . We are excited to continue participating in this growing sector . We have a strong br and presence in terms of two-wheelers, particularly with Magnus and R eo, and we have recently launched the Nexus. On the electric L5 segment, we have Eltra, which we had launched this year has been received well, and it holds the largest kilometer on a single charge certificate across all the competitors we have. Additionally, in the two-wheeler segment, we are seeing strong market share in certain states, surpassing 10%, with key markets like Tamil Nadu where we hold a 15% share. While I can't provide all the details due to our current status with the DRHP and awaiting approvals from the government, we do have our own plans in place. We are focused on improving our product quality, advancing our technology, and expanding our reach across the country through our distribution and service network .

Saket Kapoor My question was more particular to the subsidy part of the story, the type of uncertainty that is there in the subsidy. I think some recent changes were also made a couple of days ago. So, what are you factoring in going ahead in terms of the subsidy part of the story? And when will this burn ratio start falling? I mean to say , we have posted higher turnover for the year but so have the losses.

Vijaya Kumar So, let me answer one by one. So , the subsidy presently is at Rs. 2,500 per kWh on two-wheeler which is capped at Rs. 5,000 per vehicle. And on the L5 three -wheeler it is at Rs. 5,000 per kWh capped at Rs. 25,000 per vehicle . So as far as the government policies and the documents which has been released by the government, this is extended for the full financial year this year, given the budget and the utilization resultant to the sales. Going forward, there are no indications from the governmen t. So, we are working towards a subsidy -free environment where it is the

value proposition of the product and the consumer connect which you build through your quality, reliability and after sales service, where we will be able to compete. So, we are looking forward to a non -subsid y scenario next year , this year as I explained to you presently.

Coming to the burn part of it , again, I do not want to make a futuristic statement given our DRHP, but as an organization belonging to Greaves , we are very highly cost conscious and I would say our path to profitability is something which is relatively much better. I don't want to give exact numbers on it , and the new products we have launched – Nexus, Magnus, Neo, and R eo have been received very well. And they are all profitable at a standalone basis. We are building our volumes to meet our fixed and variable expenses.

Akhila Balachandar On our shareholding post the IPO, I think we will need to wait for the final RHP, and other such structures and the approvals concern ed. So, at this point in time, I would not like to comment on that any further.

Moderator The next question is from the line of Vineet Bansal from Pinnacle Securities.

Vineet Bansal I have one question , you are sitting on a considerable amount of cash. So how do you plan to use that cash in the next couple of years? Do you plan to do any capex in the standalone business?

Akhila Balachandar Yes, thanks, Vineet . So, over the last 2-3 years, we have been consistently deploying around Rs. 80 crore to Rs. 100 crore of capex into the business. All these have gone in adding new production lines, working on automation, improving our efficiencies, de-bottlenecking and we will continue on this journey. We will outlay approximately Rs. 100 crore capex even in the coming year for our internal growth purpose .

Moderator The next question is from the line of Sushant Agarwal, an individual investor.

Sushant Agarwal I wanted to know what components of the electric powertrain are manufactured by the Company. And what are the gross margins that can be expected going forward in our electric business considering the battery assembly line that is going to be set up?

Narasimha Jayakumar Thank you for your question. I think we are very excited about the electric powertrain business. As Akhila, my colleague mentioned, we are actually looking at this vertical for significant growth . By electric powertrain , we specifically refer to both the motor and the motor controller. The motor, as you know, is a very critical prime mover, critical component for the entire e -powertrain. And we do these for both the L3 segment as well as for the L5 segment. These are being manufactured a t Aurangabad. And we have also secured a number of OE clients .

Moderator The next question is a follow up from the line of Tushar Bohra from MK Ventures.

Tushar Bohra So the EV market share, we see substantial market share in two states, Tamil Nadu and Bihar. So, what is constraining us to have a higher market share, let's say in other states or on a pan India basis, versus the 15 %-16% in these two states, we are at about 4 % pan India ?

Vijaya Kumar You are right. Our market share in South India and Eastern India are relatively higher than in the North and West. So, that's part of our action plan in terms of developing these markets. This is also one of the object ives of our DRHP , where we intend to spend a substantial amount of money on building our brand and visibility in larger cities outside Southern India. So, there is an action plan we are working on to build our brand and visibility in those states where we currently have less than 10 % market share.

Tushar Bohra Got it. Sir, can you also highlight some of the qualitative initiatives in the areas of maybe defence, aerospace? I think in one of the slides, we mentioned Electric

Mobility , Excel rather, we are doing some work for defence as well. Just if you can highlight any initiatives around these areas and also on the hydrogen powertrain or hydrogen retrofitting engine that we are developing ? If you can highlight more details around that .

Akhila Balachandar Yes, sure Tushar. On the hydrogen, that was more a concept which we had launched in the Bharat Mobility and that we will be looking at an incubating project and also will work with other players in the market. So that is something work in progress, and I think we will have some more journey to cover before we can really come back and see commercial revenue in that space. Aerospace and defen ce, this is something that we have initiated. Excel does some work in both these areas and that is a focus area for us in the next year to continue.

Tushar Bohra But that would be for just the Excel offerings or are we looking at developing new offerings on the Engineering business for these verticals' ma'am?

Akhila Balachandar On the Engineering side, if you remember some time back, we had got the approvals that are required and we are now certified to start supplying as a tier two supplier to the aerospace components , and therefore, some work has been done. But these are long gestation projects and long gestation contracts as and when we get. So , this is something that we are going ahead with. But as of now, it's not something substantial for me to report back.

Moderator The next question is a follow up from the line of Krisha Kansara from Molecule Ventures.

Krisha Kansara I had one follow -up question. So given our target of, let's say, 5x revenue in the next 5 or 6 years, that I understand that it is organic growth as well as some strategic acquisition, inclusive of all this, my question is more on our existing business. Organically speaking, how can we look at the next two years let's say for our main three businesses, which is the Engine business, the Retail business, and the Excel Controlinkage ? What kind of growth can we expect organically from these three main divisions of our business?

Akhila Balachandar So Krisha, first and foremost, I would not be able to share a forward guidance, say for a 1-year or 2 -year period. What we have shared is the Board's ambition and vision of achieving Rs. 15,000 crore by 2030. If you take our last 4-5 years journey, where we have really moved on from being a single product Company to now having multiple applications, auto, non -auto, being fuel agnostic , we now have products catering to diesel engine, CNG, and we are doing work in hydrogen space also. We also have products catering to the e -powertrain for the three wheelers in L3 and L5 segments. So , the idea has been to diversify the product portfolio, the application portfolio, and also focus on the export markets. And this is really what has been propelling our growth over the last 6-8 quarters. So, a lot of the building blocks are in place, and I think we should start seeing better results over the next few quarters .

Moderator Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Thank you, and over to you.

Akhila Balachandar Thank you all for attending this meeting and wish you all a very good afternoon and a good evening. Thank you very much.

Moderator Ladies and gentlemen, on behalf of Greaves Cotton Limited , that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Note: This transcript has been edited to improve readability.

and NSE at www.bseindia.com and www.nseindia.com , respectively, on the website of the Company at www.greaveselectricmobility.com and on the websites of the BRLMs, i.e. Motilal Oswal Investment Advisors Limited at www.motilaloswalgroup.com, IIFL Capital Services Limited (formerly known as IIFL Securities Limited) at www.iiflcap.com and JM Financial Limited at www.jmfl.com , respectively. Any potential investors should note that investment in equity shares involves a high degree of risk. For details, potential investors should refer to the red herring prospectus which may be filed with the Registrar of Companies, Tamil Nadu at Chennai in the future. Potential Bidders should not rely on the DRHP filed with SEBI and the Stock Exchanges in making any investment decision.

This announcement does not constitute an invitation or offer of securities for sale in any jurisdiction. The Equity Shares have not been and will not be registered under the U.S. Securities Act of 1933, as amended ("U.S. Securities Act "), and may not be offered or sold within the United States except pursuant to an exemption from, or in a transaction not subject to, the registration requirements of the U.S. Securities Act and applicable U.S. state securities laws. Accordingly, the Equity Shares are only being offered and sold (i) within the United States to "qualified institutional buyers" (as defined in Rule 144A under the U.S. Securities Act) in private transactions exempt from the registration requirements of the U.S. Securities Act, and (ii) outside the United States in offs hore transactions in reliance on Regulation S and the applicable laws of the jurisdiction where those offers and sales occur. There will be no public offering of the Equity Shares in the United States .

Call: Aug 2025

05th August , 202 5

The Manager - Listing
BSE Limited
BSE Code: 501455 The Manager – Listing
National Stock Exchange of India Limited
NSE Code: GREAVESCOT

Dear Sir/Madam,

Subject: Transcript of the quarterly earnings call for the quarter ended 3 0th June , 202 5

In furtherance to our letter dated 23rd July, 2025 , please find enclosed herewith the Transcript of the quarterly earnings call for the quarter ended 30th June , 202 5. The transcript is also available on the Company's website at www.greavescotton.com .

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Greaves Cotton Limited

Atindra Basu
Group General Counsel & Company Secretary
Membership No: A32389

Encl.: a/a

GREAVE

Greaves Cotton Limited

Q1 FY26 Earnings Conference Call

July 31 , 2025

Management Representatives:
Karan Thapar – Chairman of the Board , GCL
Parag Satpute – Managing Director & Group CEO , GCL
Akhila Balachandar – CFO, GCL
Vikas Singh – Managing Director, GEML

Moderator : Good evening , everyone and thank you for joining us on Greaves Cotton Q1 FY 26 Earnings Conference Call.

We have with us today Mr. Karan Thapar – Chairman of the Board, Greaves Cotton Limited ; Mr. Parag Satpute – Managing Director & Group CEO ; Ms. Akhila Balachandar – CFO, GCL and Mr. Vikas Singh – Managing Director, GEML.

We would like to begin the call with brief opening remarks from the management, following which we will have the forum o pen for an interactive question -and-answer session.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone.

Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the result presentation shared with you earlier.

Further, as you are aware, Greaves Electric Mobility Limited has filed a draft red herring prospectus with the capital markets regulator, SEBI, to raise funds through an IPO. All discussions in this call with regard to this entity may be read in conjunctio n with and be limited to the said DRHP .

I would now hand the conferen ce over to Ms. Akhila Balachandar . Thank you and over to you , ma'am.

Akhila Balachandar : Good evening , everyone. It's a pleasure to have you all with us today. We will walk you through our financial performance, strategic priorities, and key developments for the quarter. Before we delve into the details of our performance, I would like to take a moment to welcome Mr. Karan Thapar , our Chairman to this conference call . I now invite our Chairman, Mr. Thapar to take over.

Karan Thapar : Thank you , Akhila. Before we commence discussion on our financial and operating performance, I would like to introduce and extend a very warm welcome to Mr. Vikas Singh, who joins us as the new Managing Director of Greaves Electric Mobility Limited. Vikas will lead the Company 's next phase of growth with the current management team reporting to him.

With over three decades of leadership across diverse , consumer -driven sectors , Vikas brings a wealth of experience in driving large -scale transformation, digital innovation, and business growth in complex and regulated environments. He has held key leadership positions and roles in both Indian and international organizations and has c onsistently delivered results with resilience and agility.

His appointment reaffirms Greaves' commitment to doing the best for GEML as well as its strong belief in the electric mobility space. Unde

r Vikas's leadership, I am confident that GEML and its subsidiaries will get back on the fast -growth track once again. Over to you, Vikas.

Vikas Singh : Thank you, Mr. Thapar, for the warm welcome. I am honored to take on this role at such an exciting time for Greaves Electric Mobility. I look forward to working with the team to build on the strong foundation you helped create and to drive our vision of accessible and sustainable mobility for all. Thank you again. Over to you, Parag.

Parag Satpute : Thank you, Vikas. So, I am going to start off by giving you a business update on Greaves Cotton Limited. Good evening to all of you, ladies and gentlemen. I will cover the key developments and performance of our core businesses, which include Greaves Engineering, Greaves Retail, and Excel for the first quarter of FY26.

During this quarter, we saw solid momentum across our core businesses. Each of these businesses play a very important role in advancing our mission, which is to provide sustainable, efficient, and inclusive engineering and energy solutions across India. We are very happy with the performance of our largest business, Greaves Engineering, which has delivered another quarter of strong growth. This has been driven by very healthy domestic as well as strong international sales. In Q1 FY26, exports made up 14% of our revenue. This was on the back of very strong demand for our Euro -V+ auto engines and our CPCB IV+ gen sets. We believe this underscores our reputation for reliability and for quality. The automotive segment saw a solid 46% year -on-year growth, largely driven by this international business. Also very encouraging is the growing traction for our engines in the non -auto applications, like firefighting, marine, construction, and agriculture. The non -auto segments grew by 19% year -on-year, and within that, th e gen sets saw a very strong

30% growth. Within the gensets area, we have held our market share at 4%. We remain sharply focused on deliv ering customer -first solutions.
Moving on to Greaves Retail , this business delivered a 5% year -on-year growth. Within this, the non -auto aftermarket segment saw a good growth of 40%, while the auto segment remained flat, mainly due to subdued demand in the markets. Within the non -auto segments, we see a healthy momentum. The railway business is of particular interest, and it is progressing well, gaining strong traction. We have also started to get deeper into the electric three -wheeler ecosystem in the L3 space, and we have now onboarded more than 10 e -rickshaw manufa cturers for our products. And our efforts in connecting mechanics is also growing strong, with participation from over 21,000 mechanics, who have scanned more than 170 million reward points through our unique Mechanic Loyalty Program. To further strengthen this connect throughout t he value chain, we have started to pilot also a Retailer Loyalty Program. That was on Greaves Retail.
Now moving on to Excel . Excel continues to focus on increasing business with OEMs, which is their core customer group. This has resulted in new wins for both the mechanical and electronic control systems in the automotive and construction industry. With the technological advancement in motion control systems, Excel has also launched a hydraulic marine steering system for outboard boats and has received global orders from Europe and the Middle East. Further, leveraging its in - house development capabilities, Excel has won orders in the ru bber business with OEMs in the agriculture and the c onstruction equipment industry.
Overall, aside from these operational initiatives across the businesses, we also continue our efforts to broad base our presence in more markets globally. We are also driving operational excellence across the businesses, through digitized inventory, through integrating our

supply chains, and training our partners and
dealers to become more customer focused.
On the ESG front , we made good progress on waste reduction and expanded our upskilling initiatives within the mechanic communities. That was on the Business Update.
I am also aware many of you are keen to understand our roadmap to our Financial Year 2030 vision. Let me tell you that we are in the midst of finalizing our strategy and recalibrating our approach where it is necessary. I would request your patience.

Our plan is to share with you more color on our growth plans over our next call post the H1 FY26 results.
To conclude , let me reconfirm , our core businesses remain solid and growing profitably and are very well aligned with Greaves' broader transformation journey. While we continue to invest in future -ready areas like electric mobility, our core is strong and building on the trust and scale of a wide distribution network. This gives us the stability and resources to drive sustainable growth acro ss the group.
With this, I would like to hand over to Akhila to take us through the financial performance. Over to you.
Akhila Balachandar : Thank you, Parag, and once again, good evening to everyone. I am happy to share that we have commenced Financial Year FY26 on a very positive note with strong operational and financial performance, delivering steady performance across all our key segments of business. This reflects the successful execution of our t ransformation strategy, diversification of our portfolio and a disciplined approach to financial management. It also validates our continued focus on sustainable growth, operational excellence, and capital efficiency.
For Q1 FY26, we reported a consolidated revenue of Rs. 745 crore with standalone revenues growing 22% year -on-year to Rs.541 crore . Standalone EBITDA came in at Rs. 76 crore , making a 51% increase year -on-year and EBITDA margins expanded by 270 basis points, driven by improved product mix, operating leverage, and disciplined cost management. Our engineering businesses recorded revenue of Rs. 385 crore in Q1 supported by a continued demand from infrastructure, institutional and industrial customers. Despite raw material cost fluctuations, we maintained margin stability through operational efficiencies and smart procurement. The business continues to focus on reliability, delivery, and technology -led process optimization.
Excel Controlinkage, our strategic acquisition, delivered another quarter of growth with revenues of Rs.60 crore . Both the core and acquired businesses contributed meani ngfully to our consolidated top line. Greaves Retail business grew to Rs. 155 crore in Q1, backed by expansion into Tier-2 and Tier-3 markets and improved store -

level economics. Customers experience initiatives, analytics -led merchandising and integration of the supply chain have driven stronger conversions and better customer lifetime value. We are seeing increased traction from both B2C and B2B customers, validating our efforts to build a resilient spares network. Greaves Electric Mobility continues to scale with Q1 revenues of Rs. 137 crore . We continu e to invest in new platforms, digital -first experience, and ecosystem partnership to strengthen our leadership in EV space.

Our finance arm, Greaves Finance, which focuses on EV financing, has grown its AUM to Rs. 300 crore , including co -lending, reflecting a year -on-year scale -up. We have achieved this underpinned by strong portfolio quality, prudent risk controls and tech-enabled origination and underwriting. We are focused on deepening our partnerships with OEM and dealers to broaden financial access, especially for EV customers in underserved markets.

We continue to operate with a strong balance sheet. Our consolidated cash reserves stand at Rs. 400 crore plus, net of debt and wit

h tight control on working capital. Our
return on capital employed continues to be healthy, reflecting our disciplined approach to capital deployment.

Looking ahead, we remain cautiously optimistic, while being mindful of external macro and regulatory headwinds. Our diversified portfolio and customer -centric approach position us well to navigate the environment and capture emerging opportunities.

With this, I invite Vikas to share his opening remarks. Over to you, Vikas .

Vikas Singh : Thanks Akhila. Good evening, ladies and gentlemen, thank you for joining us today .

Let me begin with a quick look at the electric two -wheeler industry , we recorded approximately 300,000 units in Q1 FY26, reflecting a 34% year -on-year growth. While slightly down in terms of 2% quarter -on-quarter, the industry is steady and maintaining high concentration in the top 5 states, Maharashtra, Karnataka, Tamil Nadu, Uttar Pradesh, and Madhya Pradesh, contributing to over 56% of the volumes.

At Greaves Electric Mobility, our E2W business, electric two -wheeler business, continues to strengthen its p osition.

I am happy to state we have an 84% year -on-year retail sales growth. Ou r flagship product, Magnus Neo remains a preferred choice in the mid -speed segment, backed by comfort, practicality, and strong after -sales support. The refreshed R eo, which brings in the entry segment, saw a 30% quarter -on-quarter growth, reaffirming relevance in rural and emerging markets.

Our market share last year, same time, was 3.4%, and this year it stands at 4.2%, with leadership in Bihar at 15.3% and Tamil Nadu at 13.9%. I am happy to state we offer an inclusive portfolio, spanning products in the price range from Rs 50,000 to almost about Rs 1.5 lakhs, and this covers the slow speed, the mid -speed, and high -speed segments, thereby caterin g to a wide range of customers.

With this I move to the three -wheeler segment , the L5 category clocked approximately 167,000 units which is a 12% year -on-year growth. I am happy to state that the EV penetration in L5 has surged to 31%, up from 17% last year, d riven by better availability and, to a certain extent, pricing. The L3 market also grew 11% year-on-year l ed by UP, Bihar, Assam, and Delhi. Overall, our three -wheeler business is steadily gaining ground. Our OBD 2B compliant L5 diesel variant is gaining traction with a 4% market shar e. We have expanded into CNG options, thereby creating a fuel agnostic portfolio, which meets varied commercial uses. Notably, June saw much better retail sales, driven by a refreshed portfolio, better dealer alignment an d focused market interventions.

We are also proud to share that our newly launched Eltra City Xtra, which is the EV three -wheeler in the L5 space, achieved a national record, traveling 300 plus kilometers on a single charge from Bangalore to Ranipet. This feat reinforces our engineering excellence and our endurance credentials. We are also investing in long-term customer satisfaction. We have expanded our service network to 400 plus touchpoints. We have ensured a 98% plus service part availability, and we are driving digital transformatio n via Salesforce, aiming to elevate customer service and engagement.

On the operations side, we made meaningful progress with margin improvement through cost optimization, improved channel efficiency and tighter execution discipline. While we continue to monitor industry headwinds, including the rare earth metal availabilit y, our proactive supply chain planning and localized sourcing gives us confidence in ensuring product availability and very importantly, festive preparedness.

Finally, we are backed by two very strong and committed investors, Greaves Cotton, and the ALJ Group, who believe in our vision and our long -term potent

ial. We are truly gratef ul for their continued support.
With that, we would like to open the floor for any questions you may have. Thank you.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Raman KV from Sequen t Investments.
Raman KV : My first question is with respect to the engine segment. There has been a good margin expansion year-on-year as well as quarter -on-quarter as well as 30% sales growth. So, I just want to understand what led for this margin expansion and is this margin sustainable?
Parag Satpute : So, let me take that. If I just make sure I understood your question. You said in the engine business; you were happy with the year-on-year and quarter -on-quarter margin expansion and what was the reason for it? So, within the engine business, like I mentioned in my opening remarks, the auto segment has done well for us this year. And especially if you look within the auto segment, we have started a good export business for our Euro -V+ engines. And that obviously has helped us improve our margins.
Raman KV : And sir, the second part of the question was whe ther this margin is sustainable?
Akhila Balachandar : So, let me take that. If you go back our results over the last 8 -12 quarters, we have been consistently improving our margins, and we are working towards maintaining it in the range of 13 %-14%. That has been our constant endeavor and that is what we aim for and will keep on working towards.
Raman KV : My last question is with respect to the volumes. Can you give me the volume figure for engines with respect to auto and non -auto segment as well as electric mobility?
Akhila Balachandar : So, we have not given a disclosure on the volumes in this quarter. But they are significantly higher than the Quarter 1 of last year. And on electric mobility, I will have Vikas to respond to the question.
Vikas Singh : I did cover this in my opening remarks. In Quarter 1, we maintained an 84% year -on-year retail sales growth, which is a very healthy delivery. And we are making all efforts to ensure that we maintain this rate of growth in the quarters ahead.
Raman KV : The 84% growth is with respect to the volumes, right?
Vikas Singh : Retail volumes, yes. This is not the invoic ed volumes, the retail volumes.
Moderator : The next question is from the line of Krisha Kansara from Molecule Ventures.
Krisha Kansara : Congratulations on a very good set of results. I have two -three set of questions. First, being on the engineering side, as we are aware that the Greaves engines division has grown by 30% in this quarter, which is a very impressive growth. And you have mentioned in your presentation that this was led by predominantly by two things, one being the genset division and the other is the auto engine. So, could you help us understand that exactly which end -user industry contributed to let's say auto engine division, and then which sectors drove the genset division growth? The growth has been very good, but if you can just pinpoint on the end -users which drove the growth.

Parag Satpute : Indeed. I will be happy to answer that question. You have rightly picked out the two industries where we have seen our growth. In the auto engine, as you know, we are a very strong player in the three -wheeler market. So, obviously, we have seen good traction there. And along with that, we have also seen our export business grow. Within the genset business, we have seen our distribution expansion across the country. And to name specific sectors, then the residential and the infra construction sectors have given us good growth in this quarter.
Krisha Kansara : Right . But sir, will it not be possible for you to give a volume picture on the auto engine segment?
Parag Satpute : I think Akhila already mentioned the volume g

rowth that we are ready to disclose. So, we don't have any more information on that.
Krisha Kansara : Okay. Sure. And so, my second question is on our EV-business. So, while I am aware that we have filed the DRHP, and you might not be able to disclose some very sensitive information . I would request the management to throw some light on the timeline of the IPO. I wanted to understand if there is a demand in the market for us to successfully launch this IPO because as investors of Greaves Cotton, it is also

very crucial for us that the market starts seeing and valuing both our businesses sepa rately. And more so now, because I feel that our engineering business seems to have begun a good growth trajectory given what numbers we have clocked in Q1, which are very much comparable to Q4. So, that has grown very well. So, if you can throw some light on the timel ine of the IPO and some details?

Vikas Singh : Thank you for your question regarding the IPO of G EML. As you are aware, the Company has filed its DRHP with SEBI and SEBI has issued its final observations. This marks a key milestone in the regulatory process for us. While the IPO process is underway, we remain focused on delivering strong business performance. The actual IPO launch, however, will be subject to prevailing market conditions, internal preparedness, and other strategic considerations. We would like to rei terate that we remain committed to creating long -term value for everyone and will keep t he markets informed in compliance with all regulatory requirements. I hope that addresses your question.

Krisha Kansara : Okay. Just one related question to this, sir. In yesterday's AGM, the chairman mentioned that Abdul Jameel wants to reduce the stake down to 20%, which is currently 36%. So, I wanted to understand our perspective as well on the IPO. So, how are we looking at our investment in the EV business? I am aware that we will still be the promoters of the EV Company , but what is your take on the ownership aspect post the fresh issue and the OFS?

Karan Thapar : Let me take that question. It is a com mon factor in both, but I don't understand the implications of the question, I am afraid. The DRHP was very clear on both Greaves Cotton's position regarding its shareholding as well as ALJ. And I think I said in my speech that ALJ did not want to be a promoter post a public listing. So, not being a promoter, they are forced to dilute to a certain level, which is what is represented in the DRHP. I don't know if that answers your question.

Moderator : The next question is from the line of Shubham Jain from NV Alpha Fund.

Shubham Jain : I have a couple of questions regarding the engine business. Following up on the previous participant's question, I think this is the first time where our exports contribution has gone up to 14% as a percentage of the engine business. Just wanted to understand what is working for us in the exports business. And is t his now an inflection points for us to start growing? Because over the last few years, we have gone from a Rs. 50 crore -Rs. 70 crore run rate to almost Rs. 200 crore run rate in

exports in the last couple of years. Just wanted to understand a little more what sectors or what units are doing well for us ?

Parag Satpute : Thank you for your question. So, within the exports, especially for this quarter, we have seen two areas which have done well for us. And I mentioned those already in my opening statement. One is the automotive sector, where our Euro -V+ engines which were under development with a partner, which has now been commercialized. So, that's why we saw some good invoicing numbers this quarter. An d secondly, also our CPCB IV+ gens ets, which we have been exporting, saw some good numbers in this quarter .

Shubham Jain : So, just a follow -up on this. Because of the change in emissio

n norms, the transition from Euro -IV to Euro -V or VI, is that why we are seeing a surge? Or this is more structural in terms of us gaining market share in exports? How should one look at it from an export perspective?

Parag Satpute : Most of the auto businesses that we are in, as I am sure you are aware, are some partnerships that we have with our customers. We work together to develop the technology, to make sure our engines fit their vehicles. So, obviously these are strategic busine sses that we start. My point was that you mentioned the upgrade of the emission norm and in this case, Gre aves was proactive, and we were able to work with our customers to develop Euro -V+ engines, which is where we are seeing the success.

Shubham Jain : Got it. So, is it fair to assume that given this transition, we will be able to gain more market share in the next generation of norms? And this starts to become the base for us to grow from going forward?

Parag Satpute : What I can say on this is, we will continue to make the efforts to work closely with our customers as we have done in the recent past.

Shubham Jain : Understood. My second question was on the genset piece of the business. In the last couple of years, we've seen our market share go up from 2.7% to 4%. And we seem to be growing in this space even though the industry doesn't grow at the same pace. What's helping us gain this market share and grow at this base? And how big can this business become for us? Is it more distribution -led? Is our product more

differentiated? What's helping us gain this market share? If you could help us understand th at a little bit, it would be great.
Parag Satpute : Sure. I can comment on what has helped us achieve the market share that you have seen. So, it's not any one thing. We have been working on multiple fronts. First and foremost, we have been working to ensure our product quality is upgraded and continues to develop. Secondly, we have also worked hard to improve our customer service. As you know, this is a product which depends on after -sales service. So, we have been making concerted efforts to improve our response to our customers. And thirdly , we have also broadened our distribution network and coverage. So, all these three things have been very important to help us steadily improve our market share in this segment.
Shubham Jain : Got it. And if you could help us understand how big, given our current distribution, this business can be for us?
Parag Satpute : It remains a focus for us as it has been in the last few quarters. So, we will continue to put this emphasis that you have seen so far.
Moderator : The next question is from the line of Jyoti Singh from Arihant Capital Markets.

Jyoti Singh : Congratulations on the good execution size. So, basically, I wanted to understand on the inventory side , how much we are maintaining currently and follow up on the earlier response on the increasing market share, the product quality and increasing distribution. So, just wanted you to highlight more deeper , like how many dealerships we have increased for the EV side ? And an another question on the EV side , is that how the market share is evolving in the key state like Tamil Nadu and Bihar area a nd also in the West & North India ?
Vikas Singh : Yes. Thank you for the question. I would just like to state that the team is completely focused on building fundamentals both in terms of network expansion and also in terms of product portfolio and our general efficiencies as a business. The results are coming in well. We will continue to build on them in line in a manner which is productive and impactful without spreading ourselves too thin. With regards to the market share , I did mention this in my opening comments. We have had an improvement in market share at the same time last year. This is across

most of our
markets and our attempts will remain to build up th is success of ours in the quarters ahead. I hope this addresses your questions. Than k you.
Jyoti Singh : Yes. Also, can you quantify the contribution from export and the EBITDA differential versus domestic business ? And last question on the restructuring and change s on the management side. Just wanted your comment .
Parag Satpute : On this export , I presume you are talking about our engineering business.
Jyoti Singh : Yes, sir.
Parag Satpute : So, obviously we have seen our export business grow and it has helped our margins. The actual difference in EBITDA is not an information that we would like to discuss in this forum.
Moderator : The next question is from the line of Sonal Mi nhas from Pres cient Capital.
Sonal Minhas : So, my first question was with regard to what the previous participant was alluding to. There have been frequent changes in the leadership as an investor, shareholder who has been there for a while in the Company . Just wanted to understand, going forward are there more leadership changes that we can expect, or the team is set in. Just wanted kind of a selective guidance around this .
Parag Satpute : Let me take this question . So, I have joined this Company three months ago and this is my second call. What I can confirm to you, I find the business very exciting, and I have had a very good interaction with our customers and our teams who you can see have executed a very strong quarter. So, I think this is a good start and I would like to leave it at that for the moment .
Vikas Singh : I will just add -on to what Parag said. Every organization would like a stable leadership team and Greaves is no exception to that. However, there are times when for reasons beyond your control you do have an element of churn. I think what is important is for the organization to staff with profiles who are strong, bring in diverse experience and are able to build the team for the next phase of the journey and we would like to believe that the organization and the group per se is well positioned in that direction and there should be no concerns for our inve stors going forward.
Sonal Minhas : I understand that. So, my second question was more of a clarification question. In your deck on slide 12 , I see the e -mobility business has grown by 7% year-on-year in sales and when I move to slide number , the first slide on the electric mobility where

it says that ret ail sales increased by 84% year -on-year. So, should we assume that the volume sales for electric mobility combined is also around 7 %-8%?

Vikas Singh : So, let me clarify that again and I did mention that to one of the previous questions which came in the past that the number that we mentioned on 84% growth is retail sales. However, the invoiced volume, which is the Vahan number is what you are referring to and that number is correct, which basically means that the extent of pipelining which was there in the market has been reduced significantly. This is part of the strategy to try and build a more efficient business not only for our investors and ourselve s but very importantly for our dealer and network partners and our vendors. We would be further optimizing our business as we go along and move into a more demand driven model which will ensure much better margins also as we move forward.

Sonal Minhas : Sir, I am just inquiring whether retail sales precede the Vahan sales numbers by 2 or 3 months. Is that correct ?

Vikas Singh : It's not a question o f preceding Vahan sales number. T here is a registration number and there is a retail placement , there is a lag between the two and it is not always in sync. I t's difficult to give you an exact number on that account but by and large it catches up at a point in time.

Moderator : The next question is f rom the line

of Kush Shah from B& K Securities.

Kush Shah : Congratulations on a good set of numbers. I just had a couple of questions . On the financial side, o n a consolidated level, I am seeing that the margins have increased to 7.6% and that's also driven by the RM basket dropping by around 250 bps year -on-year. So, what has driven this drop in the RM basket? So, if you could just clarify that.

Akhila Balachandar : So, this is on the consol or on the standalone?

Kush Shah : On the consol and on the standalone also , I see some around 230 bps drop.

Akhila Balachandar : So, if you see we have and I go back again , in the last 7 -8 quarters , we have been consistently improving our RM cost, and it has been consistently coming down and that has been flowing into our EBITDA margins. At the standalone it has been very visible, and we are currently EBITDA in the range of 13 %-15%. This has been a consistent effort going on in the electric mobility division to improve . If go through our results this quarter , at a PAT level we are actually profitable even at a consolidated level with a PAT of approximately Rs. 20 crore. So, this has been an overall dr ive as Vikas mentioned improving their own performance , improving their supply chain , improving their cost mix and same thing being done in GCL standalone side. I think all this has translated into a consolidated very strong performance.

Kush Shah : Thanks for the clarification. With regards to this you all have done some partnership with Chara Technologies Has that also contributed to the significant improvement in cost?

Parag Satpute : The Chara Technologies announcement which we announced a few weeks ago is a very important technological partnership for us , but the technology and the work we are doing with them is still at a development and incubation stage. So, for this quarter we have not seen the commerc ial impact of that partnership.

Kush Shah : Understood. Alright. And just one last question on the export front , the one which contributed around 14% for this quarter – To which geograph ies are we mainly

exposed to? I believe in the presentation it's US, Africa, and Middle East. So, what would be the number if you could give something on that?

Parag Satpute : Our exports and that's one of the strong points are good spread across multiple geographies our focus area continues to be Middle East, Europe and also North America. So, we have no over dependence on any one area.

Moderator : The next question is from the line of Suvaan Mittal from Mercantile Freight Carriers .

Suvaan Mittal : I have mainly two questions lined up. The first being for our engine business. I was wanting to understand does the genset sales occupies a sizable portion of the non -automotive business? So, as per the last quarter we followed, it was 65 to 35 compared to the auto to the non -auto. With the non-auto business, does the gen set business occupy upwards of 50% of the business or less than 50% , if you would give me some color?

Akhila Balachandar : So, the non -auto bus iness primarily consists of gen sets. It also includes other industrial engines, firefighting concepts, marine engines. But predominantly you're right it is comprising of the gensets.

Suvaan Mittal : Okay. And now my second question being for the Excel business of control levers like in the past 4 quarters the EBITDA margin has been dropping down from 35 % to 26%. Is it because we are scaling up very rapidly in that hence upwards of 30% in

Q4 FY25 EBITDA margin is not sustainable, or can we expect in the coming quarters of 1-2 years for the EBITDA margin to catch up in the control system business?

Akhila Balachandar : So, essentially, you're right if I go back to Q1 of 2024 we had a performance of 36.6% EBITDA margin and this quarter we are at 26%. What I would like to say there is that we are diversifying that business and strengthening a lot of our internal processes. We are investin g some money into the business and therefore this is currently a catch -up phase I would say and going forward maybe in the next 3 -4 quarters we should see traction of those that we are currently doing.

Suvaan Mittal : Just with this we should see an upward trajectory post 3 -4 quarters .

Akhila Balachandar : Yes, both in terms of revenue and in terms of the margins.

Moderator : The next question is from the line of Dharwi Sharma from Mudita Growth Partners.

Dhar wi Sharma : Congratulations on a good set of numbers. My first question is on the retail segment. So, sir, could you help us understand the factors that might be restraining our growth here? What has the market response been to our multi -brand sales ? And additionally, any new initiatives that we are launching to achieve the previously communicated target of this segment being 5x?

Parag Satpute : So, I mentioned in my opening remarks that within the retail segment, the largest piece being our auto aftermarket continues to see some headwinds. As we all know, the main sector that we service with that, which is the diesel three -wheelers, the parts of diesel three -wheelers continues to remain flat or decline. So, as a consequence of that, there are some headwinds and that, of course, has played out in the numbers. I am glad to see that despite that, we have seen a 5% overall increase in t he retail business. I would also like to point out that, a few quarters ago, we started putting effort s on diversifying that business and we are starting to see the early results of that. During this quarter, we have seen the non -auto spares , and the after-market business improve. And this is in the sector of, of cour se, the after -market of our gen set, as well as I pointed out the railway sector where we have seen good

traction. And we will continue with these efforts to try and diversify the impact of reducing diesel costs.

Dharwi Sharma : My next question is that the management earlier mentioned about their plans to leverage existing machining capabilities. And we also understand that one of your Shendra plants had received certification to supply aerospace components. If you could throw some light on what specific aerospace components you are targeting and what has the progress been in that segment since the certification?

Parag Satpute : I believe you are referring to one of the comments we made in the past earnings calls. And yes, we have identified in the past aerospace and defense segments as focus areas. And we are building our internal capabilities. And the Shendra plant certification was an important step in that. Also, our Excel business unit is the tier 2 supplier into the aerospace segment. So, these are still early days. At this current moment, we are focusing on building the capabilities and quality levels and the technology that is needed to be successful in those segments. So, there is no significant commercial development to report at this point.

Dharwi Sharma : Okay, sir. So, lastly, could you throw some light on the status of the Rs. 100 crore capex that we were doing in Excel?

Parag Satpute : So, we continue to watch our growth across business sectors very closely and strategy and policy to scale up our capacity and our investment in capacity in a modular way. And we are well prepared. We keep a close watch also on the Excel situation. And, as and when we see the need for that, we have the plans ready, and we have the resources available. Like Akhila said, we have a strong balance sheet. So, the management remains committed to continuing to increase our capacity in a modular fashi on.

Moderator : The next question is from the line of Harmanpreet Singh , an Individual Investor.

Harmanpreet Singh : Actually, I want to know the status of diesel engines like we are moving to electric and CNG. So, what is the current share of diesel engines and how we look at that?

Parag Satpute : Thank you for your question , Harmanji. As we have said in the last few quarters, we have a fuel agnostic strategy, which means that we will continue to work with our customers for the diesel engines because it's still a large portion of our life day -to-day as well. But we have also, over the last few years, worked to develop different prime movers. So, we have a full program of CNG engines. We have also invested in electric powertrains. And as we have been speaking, we have a division which does electric scooters and electric three -wheelers. So, as a Company , we feel that we have taken the right steps in fuel agnostic and being able to support our customers through their transition period.

Harmanpreet Singh : Sir, could you tell me what will be the prime mover of our Company in the coming years if we have to choose one?

Parag Satpute : That's the point. I think we don't believe that we have to choose one. We believe it's advantageous to be fuel agnostic . And overall, we believe that there will be multiple pure and multiple prime movers going forward in this industry.

Moderator : The next question is a follow up from the line of Shubham Jain from NV Alpha Fund.

Shubham Jain : I had a question on Excel. While we looked at the numbers and it's a fantastic acquisition, it's been fairly steady till now. And you mentioned about certain order wins. How should one look at this part of the business? How are we looking at scaling

it? Are we looking to add more products? You mentioned a sort of steering column product that we've added. But just want to understand more about this business and how we are looking at growth over here.

Parag Satpute : Okay, thank you for your question and also for coming back. I appreciate your engagement with our business. Like I said in my opening statement, I know many of you are keen to understand the forward -looking strategies. And I would request for your patience just for a little while more. We are in the final stage of deciding our strategy and we will be able to come to you with these kind of details during our next call.

Shubham Jain : Understood. I had another question about Greaves Retail as well. How should one assess its growth? Is it primarily driven by product enhancements? I suppose we'll need to wait another quarter to understand this better .

Parag Satpute: Yes.

Moderator : The next question is a follow up from the line of Krisha Kansa ra from Molecule Ventures.

Krisha Kansara : So, my question is on Excel somewhat similar to what previous participant also asked . So, we have seen a slight slow down in growth in Excel Control inkage. So, is it because our capacity utilization has now already reached above 80% and we will need new capacities to grow further and if that is the case, when are we targeting to commission our new capacity in case of Excel, if you can just throw some light on the capex part of it.

Parag Satpute : So, I can make a comment and throw some more light on this quarte r's performance which the growth has not been as strong as we would have liked and there's actually a reason for that is one of our large customers in one of the export markets is recalibrating their inventory levels. So, we have had a temporary hit of that in this quarter. As regards to the capacity, I think I already answered to one of the previous analysts that we watched the capacity utilization very closely. At this point, it is not acting as a hindrance to our growth at all in Excel or in any other part of the business. But we remain committed to growing and investing in the business in a modular fashion and in a financially prudent way.

Krisha Kansara : Right, s ure. And sir just one last question. We are seeing a

long -term debt of Rs. 60 crore in our consolidated balance sheet. So, in which subsidiary have we taken this debt and what has been the reason for that?

Akhila Balachandar : So, we have taken an external debt in Greaves Electric Mobility. This is to partly fund their expansion plan till the IPO.

Moderator : The next question is from the line of Amit Kumar from Determined Investments .

Amit Kumar : Just one question again on your e-mobility business. At this point of time from a macro perspective when you look at it just about 1.5 million two -wheelers sold across India out of a total of 20 million. So, just about 7 %-8% penetration. I mean we were hoping that the kind of 50 %-100% growth rates that we have seen in the past would sort of continue given the very low level of penetration. But growth has really sort of slowed down at an industry level just like teens basically. So, any reason yo u would sort of attribute to this?

Vikas Singh : We a s an industry starts increasing in penetration you would see a corresponding impact in growth rates. However, the compounded growth rate that the industry is

bringing in is ranging from 20 %-25% which is a very healthy growth number actually in today's context. We don't see any reason for concern over here.

Amit Kumar : So, 20%-25% growth at the industry level is okay for you?

Vikas Singh : I think that's what I said yes.

Moderator : Thank you. Ladies and gentlemen, as that was the last question for the day, I now hand the conference over to the management for closing comments. Over to you , sir.

Parag Satpute : Thank you very much. I appreciate all of you for joining us today. We appreciate your trust and your ongoing confidence in our journey. We remain committed to delivering a strong performance and are excited about the opportunities ahead. On behalf of the management team, I would like to thank everyone once again for the time and your continued engagement.

Moderator : Thank you. On behalf of Greaves Cotton Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Note: This transcript has been edited to improve readability.

This transcript contains statements that contain "forward looking statements" including, but without limitation, statements relating to the implementation of strategic initiatives, and other statements relating to Greaves Cotton ("Greaves" or the Company) future business developments and economic performance. While these forward -looking statements indicate our assessment and future expectations concerning the development of our business, a number of risks, uncertainties and other unknown factors could cause actual developments and results to differ materially from our expectations. These factors include, but are not limited to, general market, macro -economic, governmental and regulatory trends, movements in currency exchange and interest rates, competitive pressures, technological developments, changes in the financial cond itions of third parties dealing with us, legislative developments, and other key factors that could affect our business and financial performance. Greaves undertakes no obligation to publicly revise any forward -looking statements to reflect future / likely events or circumstances.

GREAVES ELECTRIC MOBILITY LIMITED is proposing, subject to receipt of requisite approvals, market conditions and other considerations, to make an initial public offering of its equity shares and has filed a draft red herring prospectu s dated December 23, 2 024 (“DRHP”) with SEBI and the Stock Exchanges. The DRHP is available on the website of SEBI at www.sebi.gov.in , on the websites of the Stock Exchanges, i.e., BSE and NSE at www.bseindia.com and www.nsein

dia.com , respectively, on the website of the Company at www.greaveselectricmobility.com and on the websites of the BRLMs, i.e. Motilal Oswal Investment Advisors Limited at www.motilaloswalgroup.com, IIFL Capital Services Limited (formerly known as IIFL Securities Limited) at www.iiflcap.com and JM Financial Limited at www.jmfl.com , respectively. Any potential investors should note that investment in equity shares involves a high degree of risk. For details, potential investors should refer to the red herring prospectus which may be filed with the Registrar of Companies, Tamil Nadu at Chennai in the future. Potential Bidders should not rely on the DRHP filed with SEBI and the Stock Exchanges in making any investment decision.

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Call: Nov 2025

12th November, 2025

The Manager - Listing
BSE Limited
BSE Code: 501455 The Manager – Listing
National Stock Exchange of India Limited
NSE Code: GREAVESCOT

Dear Sir/Madam,

Subject: Transcript of the quarterly earnings call for the quarter and half year ended 3 0th September , 202 5

In furtherance to our intimation dated 30th October , 2025 , please find enclosed the Transcript of the quarterly earnings call for the quarter and half year ended 30th September , 202 5. The transcript is also available on the Company's website at www.greavescotton.com .

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Greaves Cotton Limited

Atindra Basu
Group General Counsel & Company Secretary
Membership No: F13799

Encl.: a/a

GREAVE

Greaves Cotton Limited

Q2 & H1 FY26 Earnings
Conference Call

November 06, 2025

Management Representatives:
Parag Satpute – Managing Director & Group CEO , GCL
Akhila Balachandar – CFO, GCL
Vikas Singh – Managing Director, GEML

Moderator: Ladies and gentlemen, good day, and welcome to Greaves Cotton Limited Q2 and H1 FY26 Earnings Conference Call.
We have with us today Mr. Parag Satpute as Managing Director and Group CEO; Ms. Akhila Balachandar, CFO, GCL; and Mr. Vikas Singh, Managing Director, GEML.
We would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive question -and-answer session.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded .
Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the results presentation shared with you earlier.
Further, as you are aware, Greaves Electric Mobility Limited has filed a Draft Red Herring Prospectus with the capital markets regulator, SEBI, to raise funds to an IPO. All discussions in this call with regards to this entity may be read in conjunction wi th and be limited to the said DRHP.
I now hand the conference over to Mr. Parag Satpute. Thank you, and over to you, Mr. Satpute.
Parag Satpute: Thank you. Good morning, ladies and gentlemen. Thanks for joining us today. Let me tell you how we are going to conduct this session. I will start off giving you an update on our business for the last quarter for the Greaves Cotton Limited's core businesse s. I will then hand over to Mr. Vikas Singh, who will take you through the performance of Greaves Electric. Akhila will follow that with a financial roundup of the business and then I am going to come on again to talk about our new strategy, something which we had promised to tell you during our last investor calls.
Let me start with this quarter. The quarter marked another phase of steady progress for us. We executed well, strengthened our portfolio and continue to invest in future - ready technologies. Even in a dynamic environment, our businesses sustained momentum ba cked by operational excellence and disciplined capital management.
Now as we move into the second half, the outlook stays positive across most of our lines of business. For the automotive and genset, demand remains healthy, helped by infrastructure spending, rising urban activity and industrial recovery. Also, agricultur e and construction are improving with a good monsoon, while mining and urban infrastructure stayed strong. Of course, in the management, we are keeping an eye on the pace of projects on rural sentiment and the interest rate trends. But our diversified port folio gives us resilience

to manage this shift confidently.
Let me talk about the segments one by one now. In the Automotive Engine segment, the demand for the 3 -wheelers and small commercial vehicles continued to revive, which is supported by stable fuel prices and better fleet utilization. The move towards clean er fuels, which is CNG, LPG and electric, is gradual, and it is fully aligned with our strategy of building a fuel -agnostic powertrain portfolio, which serves not just today's mobility but also tomorrow's.

Our genset business is also strengthening, and our market share is now around 4%, thanks to very reliable products and a widening customer reach. Our industrial engines, both the single and multi -cylinder platforms continue to power diverse applications s uch as construction, agriculture, firefighting, marine and industrial.
Moving to Excel. We had a stable quarter there. Within that portfolio, the domestic business built on strong partnerships with OEMs grew quite well. New orders came in from automotive, construction equipment and marine OEMs. Also, the key capex projects, which we have started were completed on schedule and are now ready to generate new business. Excel is also increasing efforts to expand globally, especially to balance the dependence we have had on a concentrated geography. What is heartening is margins re main healthy at roughly 27%.
Overall, for GCL, exports continues the strong run. It is led by the Euro V+ plus automotive engines. Our collaboration with a company called Ligier, which is a leading European microcar OEM has developed very well, and it showcases Greaves' engineering a bility and quality of our products. I'm happy to say that exports now forms a double -digit share of our revenues across GCL and Excel and the new

discussions we have ongoing with global OEMs are expected to translate into more long-term high -margin program s.

Coming to technology. We are also investing in advanced technologies such as multi -fuel gensets and rare -earth -free motors. Our partnership with Chara Technologies to enhance sustainability and cost efficiency is developing quite well.

Within the retail and aftermarket, while the diesel 3 -wheeler spares saw some short - term softness, our focus stayed on expanding the network and strengthening our channels to deepen our customer engagement. Within retail, the institutional sales, particul arly to railways, grew strongly year -on-year.

Financially, Greaves Cotton remains net cash positive. We continue to invest in capacity expansion, in modernization and new product development, which ensures readiness for the next cycle of growth. Our R&D engine is also running strong. It is focused on fuel-agnostic products, EV powertrain components and hybrid systems.

Demand for our Euro V+ single cylinder engine for micro cars remains robust. Our CPCB IV+ genset range is fully rolled out and is seeing a very encouraging response.

And finally, the integration of Excel's precision engineering is helping us to speed up validation and improve time to market and this is an advantage for us as we scale.

I'm now going to hand over to Vikas to talk about the Greaves Electric business. Over to you, Vikas.

Vikas Singh: Thank you, Parag. Good morning, ladies and gentlemen. Thank you for joining us today on our earnings call. I will provide a brief overview of Greaves Electric Mobility performance and recent exciting developments before we open the floor for your questions . I'm pleased to share an update on our performance for the second quarter and H1 FY 26.

The last 6 months have been a period of steady progress for Greaves Electric Mobility, reflecting our continued focus on execution, efficiency and further strengthening and enhancing our customer trust. In the electric 2 -wheeler segment, VAHAN volumes gre w by 54% year -on-year in H1 FY26 led by product

enhancement
and network expansion.

Our market share continued to improve from 3.2% last year to 4.2% this year with the following regional positions, 12% share in Tamil Nadu, which is a very big market, 14% share in Bihar and 6% share in Orissa during Q2.

The Ampere Nexus and Magnus Grand have played a key role in driving this growth. The Magnus Grand launched this quarter at a price point of about Rs. 90,000 with our next -generation electric family scooter, featuring a durable LFP battery, 5 - year/75,000 warranty included and advanced new brake technology, new digital cluster and premium dual tone colors with gold badging. This has been a clear success for us and has helped us build our share and our position in this very sensitive and large segment .

Meanwhile, the Ampere Nexus, which has been recognized by the India Book of Records for being the first electric scooter to reach 13,200 feet at the Shipki La Pass now comes with smart connectivity features such as map mirroring, music/call alerts and per formance insights, thereby enhancing the overall rider experience.

On the 3 -wheeler L5 front, the business has maintained steady momentum with L5 VAHAN volumes up 9% year -on-year. Our ELTRA City Xtra, the EV solution in L5 has been recognized by the India Book of Records for a 324 -kilometer journey on a single charge ran ge and offering IoT features. These achievements highlight our commitment to innovation, sustainability and inclusive electric mobility, driving India's shift towards a cleaner future.

Technologically speaking, Greaves Electric Mobility is now amongst the first OEMs in India to fully transition to the 100% LFP battery technology across its EV portfolio, thereby enhancing safety, thermal stability and life cycle value. We continue to inv est in IoT -enabled scooters and battery swapping solutions with over 850 -plus vehicles deployed in Delhi NCR under our fleet partnership programs.

A key highlight of the quarter was our All India Supplier Vision Summit 2025, which brought together key partners across the value chain to further align on quality, innovation and supply chain excellence, which is so critical to our future and thereby ensuring our ecosystem is future -ready for the next phase of EV adoption.

Looking ahead, our focus will remain on profitable and sustainable growth. We are expanding our retail presence in North and West India while continuing to strengthen our presence in South and East regions. Internationally, we have already established a footprint in Nepal and are evaluating opportunities for exporting our products to countries such as Sri Lanka for EV 2 -wheelers and regions in Africa for 3 -wheelers.

In summary, H1 FY26 reflects steady progress for Greaves Electric Mobility, combining execution, innovation and customer focus. With our brand portfolio globalized and technology -driven approach, we are confident of continuing to be one of the players in India's transition t o clean, connected and affordable electric mobility. That concludes my remarks. I would now hand over to Akhila for the next part of this call. Thank you.

Akhila Balachandar: Thank you, Vikas. Good morning, everyone, and a very warm welcome to all the participants on this call. I'm very pleased to share that Greaves Cotton has delivered a healthy and resilient performance during the second quarter and first half of FY26 . This reflects the continued success of our transformation journey and the disciplined execution of our strategic initiatives.

During the quarter, our consolidated revenues stood at Rs. 815 crore, increased 16% year-on-year. For the first half of FY26 , consolidated revenue reached Rs. 1,561 crore, reflecting a 16% year -on-year growth, driven by broad -based growth across businesses and consistent ex

ecution across markets. Our profitability metrics improved significantly during this period.

Q2 FY26 standalone revenue of Rs. 552 crore with EBITDA of Rs. 78 crore and PBT of Rs. 75 crore . The standalone revenue grew 18% year -on-year, while EBITDA increased 32% year -on-year, resulting in a 160 bps improvement in margins. For H1 FY26 , our standalone revenue stood at Rs. 1,092 crore with an EBITDA of Rs. 152 crore and PBT of Rs. 151 crore, reflecting a 44% year -on-year growth in PBT and 210 bps expansion in EBITDA margins, supported by strong export demand, deeper market reach, robust aftersales network and ongoing cost optimization initiatives.

Our Engineering businesses continued its steady momentum, registering a year -on-year growth of 31% with revenue of Rs. 406 crore and H1 growth of 30%. This performance underscores the strength of our diversified portfolio, operational agility and strong market positioning.

The Automotive business recorded broad -based momentum, led by a 48% year -on-year increase. This was driven by increase in demand for our Euro V+ engines from our European automotive OEM partnerships. The genset business witnessed 24% growth, and there was a continued momentum in non -automotive application of our engines.

Greaves Retail reported a revenue of Rs. 146 crore, expanding across Tier 2 and 3 markets and strengthening its omnichannel model for better customer reach and profitability. Following the acquisition of an additional 10% stake in Excel Controlinkage, our shareholding in Excel has now increased t o 80%. Excel reported revenues of Rs. 57 crore in Q2 and Rs. 117 crore in H1, while maintaining double -digit EBITDA margins. The combined GCL and Excel revenue stood at Rs. 608 crore and EBITDA for Q2 stood at Rs. 91 crore with a robust margin of 15% plus.

The Electric Mobility division delivered strong results, resulting in Rs. 199 crore of revenue in Q2 and Rs. 336 crore in H1, driven by new product launches, portfolio mix and cost efficiency. Greaves Finance grew its AUM, including co -lending to Rs. 380 crore. Together, these businesses continue to drive sustainable, profitable growth and strengthen our position in the evolving mobility ecosystem. Our ongoing focus on margin enhancement, cost discipline and working capital efficiency continues to yiel d results.

ROCE remains healthy at 30% plus, reflecting prudent capital management and strong returns from operations. Our financial position remains robust with the company continuing to be net debt positive. Our capital allocation priorities remain consistent by i nvesting in growth businesses, maintaining a strong balance sheet and delivering shareholder value. Looking ahead, we remain cautiously optimistic and focused on profitable growth, innovation and execution excellence.

With this, I invite Parag back to talk about the new business strategy for Greaves Cotton.

Parag Satpute: Thank you very much, Akhila, and hello, everyone, again. As you know, I had joined this company 6 months ago and during the last investor call, many of you were curious about any refresh to our strategy, and we have promised to share more details with you this time. I've been very energized and excited working with the team over the past few months in putting toge ther the next phase of transformation and growth for Greaves Cotton Limited.

See, over the past few years, we have been reshaping Greaves Cotton thoughtfully

and deliberately and with a long -term view of where our industry and our customers are headed. This transformation has been both disciplined and purposeful, and it is built o n strengthening our capabilities and deepening our customer orientation.
Today, I'm excited to introduce GREAVES.NEXT. This is the name of a new strategy that builds on our strengths, focuses our efforts and positions us to deliver long -term

value to our customers, partners and shareholders.
We are on a path to become a trusted future -ready engineering company, which is built on sustainable technologies and on reliable products and customer -centric solutions. If we look back before FY16, Greaves was largely a single product -led company with m uch of the success coming from our 3 -wheeler auto engines business. We recognize that to stay relevant, we needed to diversify.
Since then, we have broadened our portfolio, a transformation which has been achieved through a combination of organic growth and selective inorganic expansion. This today has given us a strong foundation with new capabilities, new markets and a far more resilient business portfolio. Now we stand ready to embark on the next phase of the transformation journey.
As we move forward, our focus is very clear. While our investee companies of Greaves Electric and Greaves Finance will continue to pursue their growth ambitions, the core of Greaves Cotton Limited will remain centered on building a trusted future -ready en gineering company.
At the heart of this foundation lie 3 enduring cornerstones, you could say the DNA of Greaves Cotton, which is reliable products, sustainable technologies and customer - centric innovation. These principles guide where we will focus and what we will build and also how we will build it through GREAVES.NEXT.
For the GCL core businesses, we are focusing our efforts towards a few areas of interest, which will drive our growth for the coming years. First, Energy Solutions. This represents one of the most exciting opportunities for the group. For this segment, we will deliver dependable, high -efficiency power solutions and drive meaningful growth across our end markets.
Secondly, Mobility area. Building on decades of expertise in powering vehicles across segments, the businesses focused in this area now represent a diversified fuel-agnostic mobility portfolio that delivers reliable and efficient transportation choices.
Third, Industrial Solutions. For this area, we focus on specialized industrial applications that demand consistent performance, durability and precision engineering. This combines our domain expertise with innovation and allows us to deliver enduring valu e to our customers. We believe these focus segments will form the foundation of Greaves Cotton's next phase of growth, providing balance and resilience across our portfolio.
So how is the road map to FY30 build? We have 3 strategic dimensions, each reinforcing the other and defining how we will grow. The first dimension is accelerating our core. As you have seen over the last few quarters, we have a very solid core business. T his dimension is about deepening and growing our existing businesses, where we already have a strong market presence, and we enjoy customer trust and have proven products.

For example, in energy, we are strengthening our aftermarket business, expanding our service network and building a stronger service capability, which will help improve uptime for customers. Similarly, in the mobility area, we are working very closely wit h OEMs to enhance quality, reliability and delivery performance. So that's what we call accelerating our core.
The second dimension is building new muscle onto this core. This is about developing the next layer of capabilities. These are new products, new technologies and opening new market opportunities, which will add differentiated strengths and unlock fresh re venue streams for Greaves Corp. Citing another example from the mobility area, we aim to develop a contract manufacturing business that leverages our manufacturing excellence and which helps us serve OEMs in a better way.
In the Industrial Solutions area, another example, we are expanding into adjacent categories where our design and production strengths can be appli

ed to new
customer needs. Together, these first 2 dimensions of accelerating the core and building new muscl e will form the engine of the organic growth for Greaves Cotton.
We expect these 2 dimensions to deliver a sustained revenue growth of around 16%

to 20% CAGR over the next 4 to 5 years.
Let me now come to the third dimension, which is expanding into new horizons. This dimension complements the first 2 through selective and strategic M&A and partnerships. This will allow us to acquire completely new revenue streams, new skills and technol ogies or expand our geographic reach to enhance our core and to accelerate our overall transformation. These opportunities will be pursued selectively where our engineering DNA and manufacturing strength give us the right to win and where there is a clear long-term value potential.
By FY30, we expect this 3 -dimensional strategy to make Greaves Cotton a company with: one, a larger, more balanced portfolio led by energy solutions as the key growth engine; create sharper focus on technology, quality and sustainability across every product line; and have a broader global footprint, which is driven by exports and also by partnerships.
This growth will be anchored in disciplined capital allocation as we have demonstrated. We will continue investments in innovation and a strong customer orientation. Across all of these dimensions, our manufacturing capability, supply chain and engineerin g depth will be our competitive advantage.
Let me talk about execution now because the success of any strategy depends on the execution. To deliver this strategy, we are implementing a very clear operating system for execution with each business having defined objectives, clear milestones and shar p accountability. We are ensuring a robust governance mechanism aided by digital tools and a review cadence to make sure that every initiative translates into measurable outcomes.
For this, we have identified key metrics to track our progress against the strategic plan. Once these are fully embedded in our internal systems, we intend to share updates on these metrics periodically also with this forum as we move forward.
In summary, Greaves Cotton today stands at an important point in its evolution. We have diversified our base. We have sharpened our focus and built strong platforms for future growth. GREAVES.NEXT represents this next leap in this transformation journey. Fo r us, the direction is clear , the priorities are very well defined and the whole organization has been aligned to execute. Through GREAVES.NEXT, we will not just evolve our portfolio, we will reshape how we think, operate and create value for our custome rs.

We are very excited to embark on this next phase and look forward to delivering on the promise of GREAVES.NEXT. This concludes my narration of the new business strategy, and we have also completed the business update. So now I'd like to hand over to the m oderator to begin the Q&A session.
Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Krisha Kansara from Molecule Ventures.
Krisha Kansara: Congratulations on a very good set of numbers. My first question is on Excel Controlinkage. What we are observing from the last few quarters is that the growth has slowed down a bit and margins have also been impacted, especially in this quarter, if we see. And you just mentioned that we are also doing the capex in the segment. My question is, what is the reason behind the degrowth in the margin compression? Is it that the capacity was operating at full utilization and we were not able to cater to the orders ? Or was there a genuine slowdown in the order book and demand from the M&HCV segment? This is my first question.
Parag Satpute: Okay. Thanks for your question, Krisha. Well spotted. And

like I explained in my last
call, the core business of Excel, which is with the heavy commercial vehicles OEMs in India is actually going quite well. It is strong and has grown year -on-year compared to las t year. Where we have seen headwinds is with our export business. We had a very heavy dependence on one particular geography in the past years and when that geography slowed down, it has had an overall impact on the export. And that a lso explains the margin erosion slightly because the export business was at a higher margin. What I would say is the core business remains healthy, strong and continues to grow. And we have started now efforts to diversify the export business. But as you know, it takes a few quarters for new, especially global business to come on stream.
Krisha Kansara: Right. Let's say, what was the export contribution a year back v/s where does it stand as of now?
Parag Satpute: If you look 1.5 years back, our export contribution was anywhere between 35% to 40%. And now it has reduced down to just under 20%.
Krisha Kansara: Right. But we are focusing on increasing this contribution going forward, right?
Parag Satpute: Indeed, we are focusing on not just increasing but also diversifying it into different

geographies, and we have already started those discussions, which some are at an advanced stage.

Krisha Kansara: Sure. Okay. That is helpful. Sir, my second question is on the Engineering division. Our Genset segment grew by close to 25% in this quarter and even if we look at the last quarter, it grew by 30%. H1 FY26 has been a very good period for our Engines division. 2 questions with respect to this. One, what is the breakup between volume and price growth with respect to Genset division? And two, what exactly is driving this growth? I understand that we supply majority to residential, commercial an d industrial sectors. But even within those sectors, what is driving this kind of growth? Or is it the case that the entire growth is coming from exports?

Parag Satpute: No, it's not just exports. We have had some interesting export orders, but our main growth in the genset business has come from our domestic markets. And a good question about where it is coming from. So we have expanded our reach when it comes to our gens et business. And we have done that to selectively and very in a robust way, increasing our distribution network.

It's also that we are focused very clearly on a few segments where we see a strong fit between our product and the needs of the customers. And finally, we are starting to improve our aftermarket activities and service. So that overall first drives revenue , but secondly, also builds customer confidence. And that is why we are also excited about how the genset business will continue to develop in the future.

Krisha Kansara: Right. But what was the volume growth if we look at H1 for genset?

Parag Satpute: Our volumes and revenues have been growing steadily, and we are selling across a number of sectors. So actually, it would not make sense to talk about them separately in this case.

Krisha Kansara: Okay . Sure. Sir, one question on the retail segment. The quarterly run rate has not grown very substantially in the last few quarters. What is the reason for that? And if you could give us a breakup of the aftermarket sales as to how much comes from auto engine spares, how much comes from the Genset and the EV auto spares? Because my question is coming from the viewpoint that the original product segment is growing very well, but then it is not getting reflected in the subsequent aftermarket sales. Of course, you mentioned that the diesel 3 -wheeler has seen some kind of slowdown, but if you can throw some more light on this retail segment slowdown.

Parag Satpute: Yes. I will answer that question and there are 2 dimensions to that answer, partly also related to our new strategy. But let me just give you an explanation of what has been happening in the business for the last few quarters. Our main business within the retail segment is to do with the auto aftermarket spares and service and that is a very solid, healthy business, high margin, which all of you have recognized. But that business overall volume has been in a steady decline because as we know, the par c of the 3 -wheeler vehicles straight after COVID declined sharply. Good news is that it is now stabilized and actually, we are tracking that the pa rc is slowly increasing . The impact on the aftermarket business comes a couple of years after when we sell the engines. We expect to see that the strong engine sales we have had in the last few quarters will start to translate into aftermarket business in subsequent quarters. The core business of retail will remain steady and strong and will continue to g row. Over the last years, and this is also related partly to our new strategy, we had tried to diversify into a number of new revenue streams. And those were, you could say, strategic initiatives that we had started and those have not performed as well and been as strong for us as expected. Within this new strategy and very much in line with the dimension of accelerating the core and building new muscle on to the core, we have looked very sharply at some of those new initiatives, the ones which connect very wel l with our customer segment and our dealer channel and related to our current strength, we have kept and we will continue to do, while some others where we did not have a very strong right to win, we have decided to discontinue. And in the short -term, of c ourse, it will have some revenue headwinds, but we believe it is the right decision because it allows us to focus on the core business.

Krisha Kansara: Sure. With all these initiatives in place, can we assume that the aftermarket segment will grow at a CAGR of 10 % - 15% in the next few years?

Parag Satpute: It will . The aftermarket segment depends largely on how the overall diesel engine part is growing. We expect it to be just under double digits. It will not be beyond 8% - 9%.

Krisha Kansara: Sure. Understood. Just one last question, and then I can join back the queue. So we are seeing a long -term debt of Rs. 140 crore in this quarter's balance sheet. And last quarter on the con call, you mentioned that for the EV business, we took Rs. 60 crore of debt. So from Rs. 60 crore to Rs. 142 crore in this quarter, in which segment have we taken this debt one? And what is the rationale behind this debt?

Parag Satpute: Akhila will answer this.

Akhila Balachandar: Thanks, Krisha. I'll take this one. We have, as you see, done a good growth in our Greaves Finance business. As end of September, we manage approximately Rs. 380 crore of book. Of this, approximately Rs. 120 crore - Rs. 130 crore is our own book. So we have taken additional loans on our EV finance side, and this has come from fairly reputed institutions. We have also done the listing of one of our NCDs and therefore, some compliance related to that has also been disclosed in the public domain. And therefore, while we are a manufacturing entity, that is a financing arm. They take debt, but there is also a corresponding asset sitting on the balance sheet with a fairly well -managed asset liability mix going on that.

Moderator: The next question comes from the line of Jyoti Singh from Arihant Capital Markets Limited.

Jyoti Singh: Basically, I wanted to understand a few parameters. One is on the rare earth battery side, which we are doing with the Chara. Could you give us more clarity on that and when we will going to see the revenue and margin synergy? And on the EBITDA margin front, are we planning to maintain at the current level? Or is there a target to enhance it

further, though you have guided on the strategy side. But if you can guide on the number side, it will give us a little bit better picture. And on the expo rt front, what kind of diversification are we targeting? And is there a time line to reach the 30% contribution level again? Then I will ask more question.

Parag Satpute: Okay. Let me just recap the question. The first one was about Chara , the second was about some EBITDA projections in the new strategic plan. And the third one was around exports and I assume you mean Excel exports.

Jyoti Singh: Yes.

Parag Satpute: But let me start by answering the first one. Chara Technologies, we are very excited by that partnership. We have been working closely with them. And we have a technological tie -up with them, wherein for one of their products, which is the most important o ne, L5, we have an exclusive partnership with them. The product has been developing very positively. We have started advanced trials with some key customers, and we expect that in the coming days and months, we will start to commercialize th at. So that is really positive news and helps us to diversify into this very new exciting space.

As regards the EBITDA projections in the new strategy, I already shared that while we will grow our top -line from organic activities between 16% and 20% CAGR, we are also seeing a very stable portfolio mix development, which allows us to maintain our EBITD A levels at where we are today, which is a quite healthy level. And then finally, on the export piece, Excel is not just the only place where we are focusing on exports. We have multiple opportunities for getting international business across our product segments. In fact, within our new organization, we have created a dedicated group, which is focused on developing international business. That has just started with this new strategy. We expect to see a steady growth slow at first, but then picking up very strongly in the subsequent quarters.

Jyoti Singh: Okay. And sir, only like we were also talking about on the auto parts business, India aftermarket segment. Like we used to do 30% and now it is below that level. When we are targeting to go again , expect to return to pre -COVID levels?

Parag Satpute: The industry itself has changed significantly, and COVID was a big shakeup , well, overall the world and industry, but specifically to the micro shared mobility area. And since then, we have seen the part of diesel vehicles decline significantly. I don't think we are going to be in exactly the same situation as before COVID as the industry. What we see is something as the aftermarket demand was slowly declining. That has stabilized now and it will start to increase and we have a very strong ri ght to win. We have a very strong network and brand recognition there. So we will be able to capitalize on this resurgence of demand that we see.

Jyoti Singh: Okay. And also, sir, any update on the Greaves Electric IPO side?

Parag Satpute: Vikas, would you like to chip in for that?

Vikas Singh: Yes, sure, I could do that. As you are aware, we have filed our DRHP, and we are in active conversations. The DRHP does prohibit us in terms of making any forward - looking statements. However, we are in active conversations to try and get the IPO underway fairly soon. I'm afraid that's the best I can share at this point in time.

Moderator: The next question comes from the line of Sonal Minhas from Prescient Capital

Investment Advisors LLP.
Sonal Minhas: I wanted to just understand the GREAVES.NEXT strategy that I think you indicated. As a part of this, so should we assume that the electric business and the finance business are not core business, and there will be more focus on profitability of these busin esses and there will be more financial prudence in terms of whether this business actually is a viab

le business to hold retained in the entity?
Parag Satpute: No. I don't think that is the right conclusion. What we have , and I hope you have had a chance to download the strategy deck that we have uploaded before the meeting. It clearly shows we have a core business and we have investee businesses. And the difference is the core business is mainly a B2B business based on en gineering. The investee business are important for us. They are more consumer -focused businesses , so they will be managed with a slightly different way. That I think I want to clar ify.
Sonal Minhas: Okay. A follow -up question on this one, sir. What is the path to profitability of that particular business, if I may ask directionally because there are now listed peers and their numbers are fairly known to public. They have not hit profitability even at, let's say, 2x to 3x of the current scale that you are operating at. Are there some ballparks we have or you want to share about that particular business?
Parag Satpute: Well, I'm going to ask Vikas to jump in because it is his area of responsibility, but I think he already in his previous answer, give you some indication. But Vikas, over to you.
Vikas Singh: Sure, Parag. Thanks for that. Once again, I'm afraid I'm constrained by the DRHP to share any forward -looking forecast. However, what I would like to say is that this is an ultra -high-growth future -facing industry. And such industries call for a fairly heavy level of investment in the i nitial years, which pay back in the subsequent years. I think telecom is a case in point as it was 20 years ago. There are a lot of initiatives that are underway, which would ensure that there is a clear path to profitability. Once again, I'm not in a position to state how much and when. However, we are extremely confident and buoyant about this category and which is the reason why we continue to invest behind it. I hope that addresses your question.

Sonal Minhas: Regarding the IPO, I don't want to understand the time lines, but I think from broadly understanding the past IPO process from a time line and input perspective was kind of shell. Is my understanding correct that the new process for IPO has begun or restarted? Is that something which you can give us some broader guidance on?
Vikas Singh: Parag, I'll take that. All we can say is that the DRHP was approved on 8th of May. You have a 1 -year window to affect the IPO, which is till 7th of May. I am not commenting at all in terms of what's been done in the past and what we've shared and what is underway. All I can say i s that there are active conversations underway, and we should be on course for something in a reasonable amount of time. That's the best I can share at this point in time.
Moderator: The next question comes from the line of Shasank Agarwal from Cisco.
Shasank Agarwal: Hello sir, I had 2 questions. Sir, first, can you please elaborate on the new sensors facility that you are planning in Excel?
Parag Satpute: We have invested in a manufacturing location and facility, which allows us to make the components that we need within our own products. We are seeing that the whole space is about mechanical push pull cables, which is developing towards the mechatronics and electronic space. The first step we have taken is to develop in -house capability to supply the child parts for ourselves and that will open up new areas. One very exciting space within that is the marine segment where we see there will be opportunities for such mechatronics components.
Shasank Agarwal: Sir, you are not selling it to other customers. It is only for in -house use?
Parag Satpute: As we start, we first use it for captive consumption. We are not ruling out, but our first priority is to make sure our products for the marine industry have the high level of components that we need.
Shasank

Agarwal: Okay. And the second question, sir, can you please highlight the Nexus and Magnus sales individually over the past 2 -3 months?
Parag Satpute: Vikas, would you like to take that?
Vikas Singh: Once again, I'm not in a position to share details. However, I can tell you that both the products are performing extremely well. Magnus is the mainstay of the portfolio. However, Nexus is the flagship and is coming through extremely well. I did mention in my opening address that we won t he product which is scaled Shipki La Pass, that's

Nexus at 13,200 feet, which is the highest pass in the country, scaled as yet by an EV 2 -wheeler and that itself shows you the capability and therefore possibilities with this particular product. We are extremely confident in terms of building a nice, diverse and impactful portfolio for our customers going forward on the strength of both these products .

Shasank Agarwal: The motor controller units that you are planning in the Greaves Engineering segment, sir, have you commercialized those products.

Parag Satpute: Okay. Right, right. So you were talking about the e -powertrain components, including the MCUs that we have been developing. The motor controller units are connected to the motors. So for different applications, we have for L2 applications where Greaves Electric is our main anchor customer going forward. For the L5 and L3, we have other technological partnerships. I already mentioned Chara, and we are commercializing the motor plus the controller jointly over the next few years with our

existing customers. But over the last few months, we have been actually selling L3 motors, which includes motors and controllers.

Moderator: The n ext question comes from the line of Sahil Jain from Seven Islands PMS.

Sahil Jain: Just wanted to ask one question. The electric mobility subsidiary that the company has, they have been making losses. Any update on that?

Vikas Singh: I'll take that, Parag. I think this question was asked by one of the previous participants a short while ago. I did mention that it's a high -growth segment. I did mention that in a high -growth segment, we need heavy investments in the initial part of the years, which pays back well in the future for later years. We have enough initiatives underway, which will ensure that there's a clear path to profitability, and we are extremely confident about the future of this portfolio. Unfortunately, the DRHP prohibits us from sharing any specific details. I hope that addresses your question. Thank you.

Moderator: The n ext question comes from the line of Deepanshu Aggarwal from AG Investments.

Deepanshu Aggarwal : I just had one question with management. In the last couple of investor presentation, management had outlined a plan of achieving around Rs. 15,000 crore to Rs. 16,000 crore revenue by 2030. Now if I look at H1 FY26 , you are at around Rs. 1,500 crore . If annualized, it will be around Rs. 3,100 crore, Rs. 3,122 crore. That implies management will have to achieve a CAGR of around 50% year -on-year to achieve that goal of 2030. Can you give some colors on how do you plan to achieve this ambitious target given that your historical growth has not been that great?

Parag Satpute: Yes. Thank you for that question. We had shared that our vision for FY30 was to have the number that you said, Rs. 15,000 crore. Today, what I did during the GREAVES.NEXT strategy, I clearly outlined for our core businesses, which is a large part of our portfolio that we have activities and initiatives in place to grow the top -line by 16% - 20% CAGR year -on-year for the next few years. Also, you must have noticed that we have a healthy balance sheet, in fact, a strong balance sheet. And over the last few years, we have done selective strategic M&As. We will remain open now in this next phase of our strategy to

do the strategic M&As within the dimension of expanding new horizons of our new strategy.

Of course, it is difficult to put an exact number on this M&A and what revenue it will bring because it all depends upon the sector and the opportunity that will arise. But we believe that the balance sheet that we have, the ability that we have demonstra ted of integrating acquisitions in the last few years will stand us in a good stead. The CAGR of the core businesses added to the M&A strategically that we will do, plus the growth of the investee companies should take us towards our stated ambition.

Deepanshu Aggarwal : Okay. We are saying we'll be on the same target, and we are not changing the target. We'll achieve that 48% CAGR.

Parag Satpute: We have stated a CAGR of 16% - 20% for our organic growth of the core businesses. And that, like I also said during my narration, we are very, very specific about the initiatives and the metrics that we will help us to keep track. And periodically, we will share it with this group, so y ou can see how we are developing towards that.

Moderator: The n ext question comes from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Sir, when we look at the employee cost as a percentage of sales, along with the strategy which you have outlined, how should this number behave going ahead? And also the buoyancy in the core business, which we have observed for H1, the factors

that have a ttributed to the same, is there a likelihood that the same buoyancy in terms of the increase in revenue and profitability is expected for H2 going ahead?
Parag Satpute: Like I said during my first talk that the macro conditions for the core businesses remain quite healthy and we remain excited about not just the coming quarters, but the coming year as well. And that has formed the basis of our strategy, and that's why we are aiming for this ambitious growth momentum. Now as regards to the employee cost. For me, employee cost is one of the investments that we have to do. Alongside, we have to make investments in new products, alongside we have to make investm ents in upgrading our systems, both in manufacturing and across the company. We are planning to invest because we believe that will help us to drive this growth and initially, we'll see the investments front -loaded, but they will start to deliver revenue pretty soon.
Saket Kapoor: Right, sir. And if I may just chip in a small part, sir, once we are through with the issuance and all the best to the team, post the process, if you could give some color whether this will remain a wholly owned subsidiary or the numbers would be reported below the line? Because currently the incremental whatever profitability we have generated is getting diluted when we are consolidating our business with Electric Mobility segment. Is this understanding correct that once we go through the pro cess, the reporting also changes considerably or we will remain to report the numbers in a similar manner?
Akhila Balachandar: Yes. Thanks for that question. If you have gone through the DRHP filing, we are planning to do a primary raise of Rs. 1,000 crore and also a small portion of OFS. Depending on the final outcome of the IPO and how the process moves, we will have a far more definitive answer. But yes, that is the strategic thinking that post the IPO, we will be below 51% but we will continu e to remain significant large shareholders in the company.
Moderator: The n ext question comes from the line of Dhruv Shah with Ambika Fincap Consultants Private Limited.
Dhruv Shah : Congratulations on a good set of numbers. I just have one question on your Vision 2030. Parag, you mentioned on the revenue, but can you give us some idea on the margins like and on ROCEs, like how is the direction going to be?
Parag Satpute: Thank you, and I'm g

lad that you are excited by our new GREAVES.NEXT strategy.
I think I answered this question or mentioned this that we will grow the top -line 16% to 20% CAGR, but we have a mix of businesses in segments which are very buoyant and attracti ve, which allows us to believe that our margins will remain broadly in the same level. The healthy levels that we have seen in the last few quarters.
Moderator: The n ext question comes from the line of Arham Gandhi from Gandhi Family Office.
Arham Gandhi: My question is with respect to the IPO of our electric vehicle division. It has been 6 months since we received the SEBI approval for our IPO. What is the management's thought on this? Are we seeing any substantial demand for this fundraising? I'm asking this question because if we look at the segmental data, our Engineering business is doing extremely well in terms of growth as well as margins. Our consolidated EBIT margin at 17%. If we exclude the EV business, this is a very good margin prof ile for a capital goods company, especially when we are seeing growth in each and every subsegment, including auto engines, gensets and Excel. This quarter also, EV reported Rs. 50 crore loss, while the other segments reported more

than Rs. 100 crore of EBIT? I wanted to ask the management that what exactly are we thinking with respect to the EV division? As investors, we are nothing but hopeful of the revival of the EV business. But given our current market share of 4%, practically, it seems tough for us to co mpete with players like Ola, Bajaj, Ather. Are we planning to shut down this division anytime soon? I would like the management to comment on this, please.
Vikas Singh: Sure. I'll take that, Parag. Look, you've got a lot of data points in there. I would just like to say we've kind of covered this out previously. The path to the IPO was under active conversation and we are hopeful of a decision being taken sometime reasonably soon. Unfortunately, I'm unable to share any more details on this at this point in time.
As regards to the future of the EV business and the viability of the EV business, like I mentioned before, clean mobility solutions is the future. This is very clearly a high - growth industry. And our presence over here, while it may seem small on a nation al basis and while there has been a reasonable growth in market share v/s last year, I would like to just repeat that we have a very high market share in states like Tamil Nadu , I did cover that out in the beginning with a 12% share, which is a very big EV

market. We have 14% share in Bihar, and we have a 6% share in Orissa. So these are not small numbers. As we speak, there are also a lot of new technological interventions underway, which will continue to ensure that our products receive excellent reviews and experience from our customers and should be very well accepted in the path going forward. Therefore, there is absolutely no plan to shut down the EV business for any reason whatsoever. I'm afraid that's the best I can share at this point in time. I hop e this addresses your questions.
Moderator: The n ext question is a follow -up from the line of Krisha Kansara from Molecule Ventures.
Krisha Kansara: I just have one follow -up question on Excel. You mentioned that the capex will now come online. So what is the commissioning time line for that capex? And when can we expect it to reach a good 70 % - 80% utilization level?
Parag Satpute: The capex I talked about was and I think answered it in one of the questions. One of the capex that we did was for that manufacturing facility and testing facility for electronic components, which helped to enhance our products going into the marine segment . So that is online, on stream and as we speak, we start to supply to our internal manufacturing unit, which then increases the business in the marine segment.

So that is already happening. The other area we invested in was enhancing our capability in the rubber components. Again, these rubber components are needed for us within our core products of push -pull cables, and that has also gone on stream and there, the volumes are already up and running. We have modernized, I would say, the rubber facility to en sure we maintain the high quality of our products.
Krisha Kansara: The 2 capex plans that you mentioned for Excel, how much have we spent there?
Akhila Balachandar: Over the last 12 - 18 months, our capex would be in the region of around Rs. 50-plus crore across various projects, including automation, some of these improvement projects and stuff that Parag was talking about.
Moderator: The n ext question comes from the line of Kapil Aggarwal from Daksh & Associates.
Kapil Aggarwal: My question is regarding with what kind of market share this quarter we are having in our business? And in GREAVES.NEXT, what is our ultimate target, we can say by 2030, where we see this figure?

Parag Satpute: Can you please repeat the second part of your question? I got the first part about market share, and I'll answer that.
Kapil Aggarwal: Second part is like as per GREAVES.NEXT, what is our target by 2030, where we see this, we can say, market share from this business?
Parag Satpute: Our market share today, which has grown steadily over the last few quarters is around 4%, and we keep tracking it very closely. I already said that energy solutions will be a dominant part of our overall product portfolio in this GREAVES.NEXT strategy, and that's why we are focused and invested in that. But I don't want to state clear market share target because it's competition -sensitive information, you will appreciate.
Kapil Aggarwal: Okay. And second question is for electric 2 -wheeler segment. Our quarter -on-quarter top-line growth is approximately 50%. And in result also, we can see our loss is also increased by 25%. What is the reason when we are growing with 50% top -line, so why these losses are being increased as well?
Vikas Singh: I think what you would need to see over here are the ratios and not the absolute amounts. From a ratio point of view, gross margin and also the loss, we have an improvement in performance. We did have a slight slowdown in the month of July, primarily because of some challenges in terms of sourcing the motors. You would remember there were issues on the rare -earth -free magnets. But that was quickly recovered, and we are back on track in terms of volume, top -line and margin growth. We don't see t hat as a cause of concern anymore.
Kapil Aggarwal: Okay. And another thing is that on a consolidated basis, quarter -on-quarter, our net worth is reduced by approximately Rs. 100 crore. Why it's like that?
Parag Satpute: Sorry, which legal entity are you referring to?
Kapil Aggarwal: On consolidated basis.
Parag Satpute: Consolidated. Okay. Thank you for your question. Akhila, would you like to take that?
Akhila Balachandar: Yes. This is primarily due to the absorption of losses from the Greaves Electric Mobility division on a stand -alone basis .
Kapil Aggarwal: On consol basis, ma'am, we can say in our quarter -on-quarter, we are positive only. Why on consol basis, net worth is being reduced by more than Rs. 100 crore? This is the question. I understand that on Greaves Electric, we are negative, but on a consol basis, we are positive. In quarter 1, our net worth was somewhere around Rs. 1,600 crore. And in this quarter, it is Rs. 1,500 crore. So approximately more than

Rs. 100 crore is reduced.
Akhila Balachandar: Let me come back to you with the answer on that.
Kapil Aggarwal: Okay. Sure ma'am .
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of question -and-answer sess

ion. I would now like to hand the conference over to the management for closing comments.
Parag Satpute: Thank you very much. Once again, thanks for joining this call and for all your questions that were very engaging and I'm also happy to say that I was really happy to see the response to our new strategy of GREAVES.NEXT. Like I said earlier, the

direction for us now is clear in this next phase. We have defined our priorities and the whole organization is aligned and excited to execute on these strategies. We look forward to delivering on the promise of GREAVES.NEXT and look forward to seeing all of you during our next investor call. Thank you very much.
Moderator: Thank you. On behalf of Greaves Cotton Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been edited to improve readability.
This transcript contains statements that contain "forward looking statements" including, but without limitation, statements relating to the implementation of strategic initiatives, and other statements relating to Greaves Cotton ("Greaves" or the Company) future business developments and economic performance. While these forward -looking statements indicate our assessment and future expectations concerning the development of our business, a number of risks, uncertainties and other unknown factors could cause actual developments and results to differ materially from our expectations. These factors include, but are not limited to, general market, macro -economic, governmental and regulatory trends, movements in currency exchange and interest rates, competitive pressures, technological developments, changes in the financial conditions of third parties dealing with us, legislative developments, and other key factors that could affect our business and financial performance. Greaves undertakes no obligation to publicly revise any forward -looking statements to reflect future / likely events or circumstances.
GREAVES ELECTRIC MOBILITY LIMITED is proposing, subject to receipt of requisite approvals, market conditions and other considerations, to make an initial public offering of its equity shares and has filed a draft red herring prospectu s dated December 23, 2 024 (“DRHP”) with SEBI and the Stock Exchanges. The DRHP is available on the website of SEBI at www.sebi.gov.in , on the websites of the Stock Exchanges, i.e., BSE and NSE at www.bseindia.com and www.nseindia.com , respectively, on the website of the Company at www.greaveselectricmobility.com and on the websites of the BRLMs, i.e. Motilal Oswal Investment Advisors Limited at www.motilaloswalgroup.com, IIFL Capital Services Limited (formerly known as IIFL Securities Limited) at www.iiflcap.com and JM Financial Limited at www.jmfl.com , respectively. Any potential investors should note that investment in equity shares involves a high degree of risk. For details, potential investors should refer to the red herring prospectus which may be filed with the Registrar of Companies, Tamil Nadu at Chennai in the future. Potential Bidders should not rely on the DRHP filed with SEBI and the Stock Exchanges in making any investment decision.
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s to "qualified institutional buyers" (as defined in Rule 144A under the U.S. Securities Act) in private transactions exempt from the registration requirements of the U.S. Securities Act, and (ii) outside the United States in offshore transactions in reliance on Regulation S and the applicable laws of the jurisdiction where those offers and sales occur. There will be no public offering of the Equity Shares in the United States.

Call: Feb 2026

13th February, 2026

The Manager - Listing
BSE Limited
BSE Code: 501455 The Manager – Listing
National Stock Exchange of India Limited
NSE Code: GREAVESCOT

Dear Sir/Madam,

Subject: Transcript of the quarterly earnings call for the quarter and nine months ended 31st December , 202 5

In furtherance to our intimation 02nd February,2026 please find enclosed the Transcript of the quarterly earnings call for the quarter and nine months ended 31st December ,2025. The transcript is also available on the Company's website at www.greavescotton.com .

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Greaves Cotton Limited

Atindra Basu
Group General Counsel & Company Secretary
Membership No: F13799

Encl.: a/a

"Greaves Cotton Limited Q3 & 9M FY-26 Earnings Conference Call"

February 06, 2026

MANAGEMENT : MR. PARAG SATPUTE – MANAGING DIRECTOR & GROUP CHIEF EXECUTIVE OFFICER , GREAVES COTTON LIMITED
MR. VIKAS SINGH – MANAGING DIRECTOR , GREAVES ELECTRIC MOBILITY LIMITED
MS. AKHILA BALACHANDAR – CHIEF FINANCIAL OFFICER , GREAVES COTTON LIMITED

Greaves Cotton Limited
February 06, 2026

Moderator : Ladies and gentlemen, good day and welcome to the Q3 and 9 -month FY26 Earnings conference call for Greaves Cotton Limited.
As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Parag Satpute – MD & Group CEO, Greaves Cotton Limited. Thank you and over to you sir.
Parag Satpute: Thank you very much. Good afternoon, everyone and thank you for joining us on our Q3 Earnings Call . I am going to start off by giving you an overview of our performance and execution on strategy for Greaves Cotton L imited. I will then handover to Vikas Singh ; who will talk about the Greaves Electric business and will be followed by Akhila Balachandar , who is our CFO and then we will open up for questions.
So let me get started. I am really pleased to share that Greaves Cotton delivered a strong and steady performance in the third quarter. At a consolidated level, our revenues grew year -on-year and our margins expanded. This was driven by consistent demand a nd disciplined execution. This growth was broad based spanning both our core and investee businesses. Like I said a little while later, Akhila will walk you through the financial details.
Last quarter, we introduced 'GREAVES.NEXT' . This is our strategy to build a trusted, innovative and future ready engineering solutions company. Through this strategy, we will be focused on delivering reliable products, sustainable technologies and customer centric innovation. So, this quarter, our focus has been firmly on execution. That is, translating that strategy into action. We focused on strengthening our core businesses by building organizational capability which will lay the groundwork for sustainab le and profitable growth.
For the core businesses, we have three priority areas.
First is the energy solutions :
Here we are strengthening our genset platforms and expanding our aftermarket and service network to deliver dependable and high efficiency energy solutions across the market.
In the second area :
Mobility solutions, we are building a diversified fuel agnostic portfolio through deep connections with OEMs, sharp execution and development of advanced powertrain capabilities. This also includes strengthening our aftermarket retail presence and scaling our compo nents business under Excel Controlinkage .

Thirdly in industrial solutions :
We are scaling engineering applications by expanding into adjacent categories and leveraging our deep manufacturing and design strengths. So those are the three priority areas.
Let me come to the performance during this quarter and I will start with energy solutions :
So, the outlook for India's genset market remains robust and we expect a demand growth of 10% to 12% CAGR in the next 5 years. This is supported by long term structural drivers such as infrastructure and industrial expansion, urbanization and power reliabilit y challenges, particularly in the rural and semi -urban areas. To drive our growth ambitions in energy solutions, we have moved to a more customer -centric organization structure under our new strategy. This is built around four zones and we bring togethe r sales, service and spares under one organization. This is already improving our execution quality, our responsiveness to customers and the engagement we have with the customer. In line with this drive and to enhance the value we provide to customers over the lifetime of the genset, we also launched a retail annual maintenance or AMC offering across the country.
So, in terms of p

erformance :
Energy solutions delivered a 21% year -on-year growth in the first 9 months of this year. And within that, the spares and service actually grew 40% year -on-year. This shows the success of this integrated approach we have implemented under the new strategy.
Turning now to mobility solutions, which includes automotive engines, aftermarket retail, engineered components and the related services :
Here, from a market perspective, the auto industry is expected to grow 6% to 8% in 2026 and it is supported strongly by GST 2.0 and the easing monetary conditions. We also continue to see a structural shift in the fuel mix. In the three -wheeler segment, the transition to CNG and electric vehicles, which we have tracking closely, has been more gradual than we expected. And we see that diesel will still hold an 18% to 20% market share and it has continued to do so in the first 9 months of this year. So , this remains a meaningful opportunity for us in the medium term. While the EV adoption is accelerating, we believe that the multiple fuel technologies will coexist for

an extended period. Also, our export OEM partnership continues to be a key growth driver. Our exports to Europe, including the supplies to Ligier , contributed to a strong quarter and remain a good endorsement of our product quality and competitiveness.

If I come to retail aftermarket business, as a part of the 'GREAVES.NEXT' strategy, we made a very deliberate portfolio choice, trimming and exiting some of the non -core segments so that the team could sharpen the focus and improve the returns on the core business. Within Excel Controlinkage, the overall growth of the business was impacted by softer exports, especially due to geopolitical factors. However, we saw very good and encouraging growth in the domestic OEM business we have. Here we continue to work closely with our OEM partners with an effort

to move up the value chain, expanding from standalone products more to integrated solutions such as assemblies beyond control cables. So, taking all these developments together for the mobility solutions, our revenues grew 15% year -on-year in the first 9 months of this year.

I will now move on to the industrial solutions, which includes the special purpose engines for applications such as firefighting and marine :

While the global macroeconomic environment remains mixed here, demand for mission critical application continue to be resilient. Over the medium term, we expect a steady demand across the engine categories. This segment, therefore, delivered a more muted 3% year -on-year growth for the first 9 months of this year.

Some highlights :

We are pleased to secure a direct Defense supply order during this period and to enter into agreement with the European customer for the supply of FM/UL certified engines. Both of these developments strengthen our order book but also are an endorsement of our capability and credentials to supply to this high demand industry.

That was the performance of the three areas that we are focusing on under 'GREAVES.NEXT' .

From a strategic standpoint, we continue to advance 'GREAVES.NEXT' , which is a multi -year transformation framework, and it is aimed at positioning G reaves Cotton as a trusted, innovative, future ready engineering solutions company.

As I explained in my last call with you, international business will be a key strategic priority, and it will be a significant growth lever across the three areas I talked about. So, exports have contributed to 14% of the revenues in the first 9 months of this year, and this reflects a consistent traction across the global market. We have also strengthened our dedicated and international teams, and we are now actively engaging with some geographies which we have prioritized so that we can scale this fur ther. Alongside these customer -facing initiati

ves, we are also investing
internally, especially in capability building.

I am pleased to share that Greaves Cotton received two prestigious recognitions during this quarter since we last spoke :

• The first one, which we are really proud of, is we were recognized as the "Best Governed Company" in the "Listed Segment Emerging Category ", and this recognition comes from the Institute of Company Secretaries in India. So, it is very prestigious, and we are very proud to receive it.
• Secondly, we also received "The Best Process Control Award" from Stanley Black & Decker, which recognizes "Excellence Among All Its Global Suppliers ". So, Greaves was chosen from across thousands of suppliers for "The Best Process Control ", again, something which the teams are very proud of and work very hard for.

We believe these awards validate our focus on strong governance, a quality culture, and disciplined excellence.

Looking ahead, we remain confident in achieving our targeted growth of 16% to 20% CAGR in organic growth, and this will be driven by accelerating our core strengths, building new capabilities, and selectively expanding into adjacency. A rigorous operating system and governance cadence underpin this approach, and it ensures clear targets and accountability. Our strategic priorities remain firmly on track, and we continue to make targeted investments in R&D and manufacturing, including fuel agnostic engines, advanced gensets, and rare earth -free motors.

Over the coming years, we have earmarked 500 to 700 crores towards new technologies, product development, and capacity expansion. I will now conclude by saying that Q3 was a quarter of steady and broad -based progress. We delivered healthy growth, we improved the portfolio resilience and continued the momentum across our strategic priorities.

I am now going to handover to Vikas to talk about Greaves Electric. Over to you, Vikas.
Vikas Singh: Thank you, Parag. A very good evening, ladies and gentlemen. Thank you for joining us today on our Earnings Call . I will provide a brief overview of Greaves Electric Mobility performance and recent exciting developments before we open the floor for your questions.
I am pleased to share that Q uarter 3 '26 was a period of progress for Greaves Electric Mobility , marked by sustained volume growth, market share gains, and continued geographic expansion across both our electric two -wheeler and three -wheeler portfolios. In the electric two -wheeler segment, VAHAN volumes grew 40% quarter -on-quarter to over 18,000 units, driven by new product launches and network expansion. This translated into a market share improvement from 4.1% in Q uarter 2 to 5% in Q uarter 3 '26 positioni ng us as top six th player in India's e -two-wheeler market.
We have now crossed the 2.5 lakh cumulative sales mark, demonstrating market capture during this festive season. What is particularly encouraging is the depth of our regional market penetration. We achieved market leader position in Bihar with a 21.5% mark et share and across the following markets, Tamil Nadu, Bihar, O disha , and West Bengal, which together represent approximately 21% of the national market, we hold around 13% market share. This validates our Build for Bharat strategy, products engineered spe cifically for Indian terrain, climate, and duty cycles.
The Magnus Grand launch early in the quarter drove strong retail traction with on -ground deliveries in Delhi reinforcing dealer confidence and early demand signals. Parallel efforts on dealer expansion and showroom refreshes across key markets have strengt hened our retail presence and customer reach.

On the three -wheeler front, L5 V AHAN volumes grew 33% quarter -on-quarter, marking the strongest quarterly performance for our L5 three -wheeler bus

iness. Our diesel L5 three -wheeler
sales also grew 18% year -on-year, demonstrating balanced growth across powertrains. Regional launches of E LTRA City Xtra, in Ghaziabad, Kerala, and Bihar expanded our geographic footprint, reinforcing presence across northeast and south India.
Technologically, our commitment to the LFP battery chemistry continues to be a key differentiator, positioning us as the safety and durability standard in a market increasingly crowded with price -led competition. We have also strengthened customer access through strategic financing partnerships with Alt Mobility for B2B fleet segments and Sriram Finance and Perpetuity Capital for retail financing, addressing the needs of fleet operators, delivery partners, and MSME customers across both e-two-wheeler and e-three -wheeler portfolios.
Looking ahead, our focus remains on disciplined and profitable growth. We are continuing to scale in markets where we have demonstrated product market fit, expanding our retail presence in north and west India, while continuing to strengthen our foothold i n south and east regions.
On the international front, we continue to evaluate opportunities for exporting our products and building our presence in Nepal and Philippines. In summary, Q uarter 3 FY ‘26 reflects continued momentum for Greave s Electric Mobility , combining execution, innovation, and customer focus. With our product portfolio, localized manufacturing base, and technology -driven approach, we remain confident in our ability to play a meaningful role in India's transition to clean, connected, and aff ordable electric mobility . That concludes my remarks.
I would now hand the floor over to Akhila. Thank you.
Akhila Balachandar: Good evening, all. Thank you, Vikas. Q3 marks the first full quarter of execution following the strategic direction we outlined in Q2.
As expected, this is an initial phase of implementation where actions taken during the quarter are focused on sharpening priorities and setting the operating framework for the periods ahead.
Against this backdrop, our core businesses delivered steady and h ealthy operating performance during the quarter, reflecting the strength of the underlying businesses even as we begin executing on the new strategy. While the benefits of the strategic initiatives will unfold progressively over the coming quarters, we are encouraged by the early signs and remain focused on consistent execution and disciplined delivery as we move ahead.
That said, I am pleased to report strong and resilient financial performance for Q3 and 9-month FY26, with margin improvement across consolidated and standalone financials. During the quarter, our consolidated revenues for the quarter stood at Rs. 875 crores , increasing 17% year -on-year. For the 9-month FY26, consolidated revenue reached Rs. 2,436 crores , reflecting a 16% year-on-year growth driven by broad -based growth across the businesses and consistent execution across markets. Our profitability metrics improved significantly during this period.
Q3 FY26 standalone revenue of Rs. 575 crores with EBITDA of Rs. 78 crores and PBT before

exceptional items of Rs. 74 crores . The standalone revenue grew 14% year -on-year, while EBITDA increased 18% year -on-year, resulting in a 13-basis point s improvement in margin. As a separate update, Q3 FY26 results reflect Labor Code -related provisions arising from regulatory implementation across the country. This impact has been appropriately recognized in the financials. For the 9-month FY26, our standalone revenues stood at Rs. 1,667 crores with EBITDA of Rs. 232 crores and PBT of Rs. 226 crores , reflec ting a 33% year -on-year growth in PBT and 150 basis point s expansion in margins, supported by strong demand and cost optimization initiatives.

As explained by Vikas, GML also saw a strong momentum in Q3 FY26

driven by strong volume
growth. In Gre aves F inance, the managed AUM of our financing business has crossed Rs. 441 crores as of December 2025. Our balance sheet continues to remain strong, with Gre aves C otton being net cash positive and a minimum level of debt at the overall consolidated level. As outlined earlier, our planned investments are fully aligned with our strategic priorities focusing on R&D and technology upgrades, capacity expansion and digital tools. In summary, Q3 marked revenue growth across all business segments, margin expansion and strong cash generation while maintaining financial strength.

We continue to remain focused on operational efficiency and working capital discipline, leading to a return -led prudent capital deployment. With this, I handover to Para g.

Parag Satpute: Thank you, Akhila. Let me give you the concluding remarks before we open up for questions. So, in closing, our forward path is very clear. We remain focused on execution, discipline, growth and cash generation. Our priorities remain unchanged. They are expanding market share, growing international business, building capabilities and ensuring every project delivers a strong return on investmen t. We are cautiously optimistic about the business environment and confident in sustaining the momentum.

Q3's strong performance reinforces confidence in our strategy and leadership. As we advance ‘GREAVES.NEXT’ , we will remain aligned around the three metrics and maintain transparent communication. Greaves Cotton stands on a strong foundation with a diversified portfolio, a robust execution engine and a clear strategic direction.

We thank our investors for your trust and support and look forward to building on this success in the quarters ahead.

So, let's open up for questions now.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Dhruv Zobalia from Prospero Tree. Please go ahead.

Dhruv Zobalia: Thank you for the opportunity. I know that Gre aves Electric has filed and SEBI has approved the DRHP, but I would like to know when will Greaves Electric achieve cash break -even and how much cash is available to continue this loss -making business?

Akhila Balachandar: Akhila here. Thanks, Dhruv, for the question. As you are aware, we have already filed the DRHP and we have already received final observations . We are currently in the process of working on the IPO and in the course of time, you will surely come to know all the relevant timelines. As regards cash available with the business, that is the purpose of the IPO. And if you have read through the document s, we will be raising approximately a primary of 1 ,000 crores , which will be utilized for fu nding the growth aspirations of Greaves Electric Mobility.

Dhruv Zobalia: I would also like to know what are the ESOP costs to Greaves ?

Akhila Balachandar: You are talking about Greaves Cotton?

Dhruv Zobalia: Yes, Greaves Cotton. What is the ESOP cost that is incurred by the company?

Akhila Balachandar: So, we have an ESOP scheme, which is approved both by the board and the shareholders. And all the details of the scheme are in the public domain. As decided by the nomination and remunerations committee, the ESOPs get allotted, vested and granted to the key m anagement personnel and the others who are approved by the NRC. The exact cost of this, maybe we can share it with you on a separate note.

Dhruv Zobalia: And my last question is that I would like to know the revenue generated by the subsidiaries and EBITDA for each subsidiary.

Akhila Balachandar: Sure. See, these details will be available while we are sharing currently the consolidated revenues, and the investor de ck clearly gives out most of the information you asked for. The audited financials for each individual subsidiary will h

appen on an annual basis. Is there anything
specific that you would like to know? I request you to send us a separate email and we can answer it on a one -to-one basis.

Dhruv Zobalia: Okay ma'am. Thank you. That's all from my side.
Akhila Balachandar: Thanks, Dhruv . Thanks very much.
Moderator: Thank you. The next question is from Zakir Nasser from Nasser Investments. Please go ahead.
Zakir Nasser : Sir, hearty congratulations on a very decent set of Q3 numbers and for explaining the future of core Greaves so well. My question to you is that our competitor and Cummins has given a very strong commentary on the data centre, AI centre kind of demand coming in from the Indian market. What are your thoughts on this area because of what they would be doing, Greaves also would be doing a part of it. So, your thoughts on this. And my next question would be to either Vikas or Akhilaji. We are doing 18,000 numbers on the two -wheelers. What would be a break -even number? Would it be 25,000 -30,000 bikes a quarter kind of stuff? I think the IPO is coming closer because it's been a year because these two businesses would separately wor th much more than EV and Greaves together. So, your thoughts on these three things. Thank you.

Parag Satpute: Thank you, Zakir. And thanks for your good wishes . On the execution of our strategy as you remember, when we met, we explained to you how we are going to go ahead with 'GREAVES.NEXT' and this is the first full quarter of execution. And I will reiterate what I said in my opening remarks. I am very happy with the way the team has rallied around this new strategy, and the numbers speak for themselves. Within the energy solutions, 21% growth over last year in the first 9 months . I think it's very healthy. To your specific question around the opportunity for data centres , yes, that's indeed a very attractive space. It was already for the last few quarters something we were actively looking and working on. But now with the recent announcements in the budget, it is going to be even more interesting to go after. So, I would like to confirm the industry view that that's a very interesting opportunity area for our energy solutions business. And with this new str ategy and the way we have structured our te am, we stand in a very good position to go after that segment of business.
Akhila Balachandar: So, let me take the second question on the 18,000 numbers and also the breakeven. So, yes, I think if you also refer to Vikas's commentary, we have been increasing market share consistently. And this quarter, as per V AHAN data, we have touched (+18,000) units. We have a very strong path to profitability. But given the stage where we are on the road to IPO, I would not be able to comment any further on that. Over a period of time, definitely all your questions will get answered.
Zakir Nasser : Thank you, ma'am. And best wishes for the upcoming IPO because I think Greaves and Greaves EV will be worth much more separately. Thank you. And if you can, ma'am, would Greaves EV be a subsidiary or associate of Greaves Cotton once the IPO happens?
Akhila Balachandar: The intention is it will definitely remain a large shareholder . But all those are outcomes which only post -IPO one can really give a definitive answer. So, I will hold myself to them.
Zakir Nasser : Thank you. Best wishes.
Moderator: Thank you. The next question is from Krisha Kansara from Molecule Ventures. Please go ahead.
Krisha Kansara: Sir, my first question is regarding our Gen set segment. If you can tell us what was the volume growth in this quarter if we compare YOY?
Parag Satpute: So, we would like to share with you the revenue growth which we have given. I think it's competitive sensitive information. So, we would stick with the revenue growth, and we have tried to split it into the aftermar

ket as well. So, our aftermarket is growing faster at 40% and our overall revenue has grown by more than 20%.
Krisha Kansara: Understood . One question on Excel Controlin kage . So, growth has been very slow since last few quarters and I think in our last conversation as well, you mentioned that there were issues with one of our key clients. So, what is the status on that? Have those issues been resolved and when can we expect this segment to start registering the growth that it used to register before?

Parag Satpute: No, that's a fair point and I remember you asked me this question last time. So, and I alluded to it in my opening remarks. Yes, overall Excel numbers have not grown as we expected but actually there are two parts of the business, the domestic business and the export business. So, the domestic business has actually been quite good, and it has grown in high double digits. So, which should be good because that is a large part of the business. It is the export business which has witnessed headwi nds and we see that it is due to geopolitics. We had a significantly large customer in Russia, the demand in that market is significantly impacted due to the ongoing political situation there and also, of course, other opportunities were a bit on hold with the overall tariff di scussions ongoing. So, I would say this quarter was a continued kind of headwind in geopolitics for the Excel export business but from an internal point of view, the domestic

business is very strong and is growing and our operations a re very robust. So, as soon as the geopolitical winds become more favorable, we will be able to recapitalize on that business.
Krisha Kansara: So, can we expect this slowdown to continue for the next few quarters, or can you give just some sense on the Excel Controlinkage numbers because I think that is one of the key growth drivers.
Parag Satpute: It is one of our interesting parts of our portfolio. So, like I said, the domestic part of the Excel business, which is nearly two -thirds of the business or a bit more than two -thirds, grew by 17% year-on-year for the first 9 months of this year. That is heavily connected to the MHCV commercial vehicle industry in India. As we spoke, there is a lot of tailwinds there due to the whole industrial development and the GST 2.0. So, we expect that to grow in the next few quarters. The exports, whil e we have faced the headwinds in those specific geographies I talked about, we have now in place a dedicated international business team. We have increased our investments there and they are actively working to open up new markets, especially in Europe because the market for Excel products is quite attractive in Europe. With the recent announcements in improved trade conditions between Europe and India, that should also in the next few quarters become better.
Krisha Kansara: Understood. Thank you.
Moderator: Thank you. The next question is from Sana M, who is an individual investor. Please go ahead.
Sana M: Hi, good evening, sir and thank you for the opportunity. So, my first question is, are you evaluating any strategic merger or acquisition opportunities currently?
Parag Satpute: Thank you for your question, Sana. And I will refer back to the 'GREAVES.NEXT' strategy. We have been very explicit and clear that, yes, we have three dimensions of our growth. We are accelerating the core , we are building new muscle, which is the organic growth part. But we are also very actively looking at inorganic growth, which is M&A and JV. We have a dedicated team since we launched the strategy to actively scan the market for attractive opportunities, which will be synergistic to our businesses. And at the right time, we will make that call. And I can then talk a bout it also with our investors. As we speak, we are acting on multiple fronts and there are oppor

tunities we are closely evaluating.

Sana M: And, sir, one more question I have, like, how do you ensure consistent product quality across businesses?
Parag Satpute: That's a very good question. And thank you for asking it. I believe that is one of the core strengths of Greaves . Actually, we are taking this call from our manufacturing plant in Aurangabad. We just completed 50 years. And this is where, like I said in my opening remarks, we have been awarded as a global supplier by a reputed company like Stanley Black & Decker. The manufacturing practices which have been perfected over the last decade have been well ingrained in this plant. And we are able to transfer that into some of the new plants we are acquiring. A good example of that would be Excel. Since we have acquired Excel, especially in the last two quarters, we have been transferring these practices and making sure that their process and quality standards remain very high. I would say when we look at M&A opportunities or JVs, this is one of the things we closely evaluate. How could we take our best practice and unlock synergies between the two companies . This is based on the very strong individu al and process capabilities we have developed in Greaves over the last decade, I would say.
Sana M: Thank you so much for your answers, sir.
Parag Satpute: Thank you.
Moderator : Thank you. The next question is from Ankur Poddar from S van Investments. Please go ahead.
Ankur Poddar: Hi, sir. My first question is regarding our growth target that we have given 16 % to 20% CAGR organic growth. So , can we say which division are we seeing growth from, like segmented growth numbers? And also for our inorganic growth, are there any transactions which we are evaluating?
Parag Satpute: Thank you for your question. Like I said in my opening remarks, the three areas that we focus on, energy solutions, mobility solutions and industrial. Energy solutions has grown 21% year -on-year for the first 9 months of this year. Mobility solutions has grown 15% year -on-year. And industrial solutions, which has been slightly more muted, has grown 3% year -on-year. Together, we have actually achieved our target of being above 16% year -on-year growth. And we believe that the portfolio we have is well distributed. So, it is resilient. And that gives us confidence that we can consistently meet the target we have laid out of 16 % to 18% CAGR over the next few years. That was organic growth. Inorganic growth, I just answered the previous question, saying that we have a dedicated M&A team, which is actively looking at acquisitions in segments which are synergistic and adjacent to these three areas we talked a bout. And that will be on top of this 16% to 18% organic growth. The size of those investments or acquisitions actually depend on which deals come to our table and which ones we decide to go ahead with.
Ankur Poddar: All right, understood. And my next question is regarding our investment plan, which we have

given of 500 to 700 crores under 'GREAVES.NEXT' . So, can you give us a breakdown of like annually what CAPEX are we expecting next year and in FY28?

Parag Satpute: So first of all, where will we spend this money, 500 to 700 crores ? We have identified three specific areas that we need to spend the money. One is product development because as we go into international markets, as we move into some of the high technology areas, we need to continue to upgrade our products and develop new products. So, a good section of this will be spent on product development. Secondly, on capability development, manufacturing capability, also technological capability. And this is automation in manufacturing , this is digital. So that is the second area. And the third area is expansion into new geogra

phies because international business is going to be a key area. So, I could say that the first two, which is product development and capability development, we have already started because we believe those are going to be at the core of our growth ambitions. To be able to split it out, I would say between 500 to 700 crores as we see it, it will be front loaded. So, we can see larg er investments in the coming first 2 years of this plan. And then as we move forward, it will, of course, taper down because the investment will start to deliver. A more specific breakup at this moment, we would not like to give.

Moderator: Thank you. The next question is from Pratik Kothari from Unique Portfolio Management. Please go ahead.

Pratik Kothari: Good evening and thank you. So, one until last quarter, we used to break this down into different segments and we used to share EBITDA numbers for each of them. Do we intend same for the new divisions that we have, energy, mobility? Until last quarter, we used to share all of these numbers.

Parag Satpute: That's right. So last quarter, we revealed the new strategy 'GREAVES.NEXT' . There was a deliberate refocus of the company. We decided to prune our portfolio in especially in retail and some of the engine businesses as well because we wanted to be focused on high growth segments and we wanted to become more market oriented and customer centric as a company. So, we have organized ourselves to focus on these three areas that I talk about, which is energy, mobility and industrial. So, if you look at the investor deck, which we have uploaded this time, you will see the revenue split between these three areas already, w hich we have given you.

Pratik Kothari: And I am asking about the operating profits, the EBITDA margins that we used to share until last quarter , revenue, yes.

Parag Satpute: Yes. So , one of the reasons we were sharing EBITDA cell was an acquisition and we were progressively increasing our ownership in Excel. We will complete that acquisition in the next few quarters. And as the organization structure, we are now restructuring to be focused on these three segments. What we intend to do in the coming quarters is to also share some leading indicators which will help the investor community have an early view on how the pro gress to strategy is happening. But we intend to reveal the EBITDA at the GC L standalone and the consol.

Pratik Kothari: And this, if you can explain in more detail . So, one is the industrial that has been ballpark at this range, 80 crores , plus minus 2 -3 for last few quarters. So, what is happening there? What are we

doing to solve this? Because again, this is one of our high growth focus. So one is that. And second, on the energy solutions, I mean, you did call out the faster growth in aftermarket or after sales and spares. What takes off that? What is going well? Are we getting to more geographies, more product? Is it domestic led? If for both of them, you can break down what is going right in energy solutions and what we need to improve in industry.

Parag Satpute: Good. I will answer that. Let me start with energy solutions. So, if you follow, I mean, consistently over the last few quarters, we have registered 21% year -on-year growth. What is going well within that? Yes, you it's mainly domestic. Let me say at the moment, the export business has not kicked in. So, this growth is mainly driven by domestic sales. We have got a very strong position in certain segments, application segments, which is what we call infrastructure and residential, which is th e medium range of gensets. We have got a very good product offering, and we are now expanding across the country through more dealers and through our own sales teams. So that has driven the growth so far .

In the coming quarters of course, we will continue with that. But w

e expect to see increase in our aftermarket and service business because we have invested in teams and we have invested

in technology . A few quarters down the line as soon as the international business team comes up to speed, we expect that we will see an increase in our business from identified export geography there. So that is the plan in energy solutions.
If you come to industrial solutions, it is a mix of multiple applications. I would say some of the interesting applications there, one which I woul d like to quote is the fire pumps . The fire pumps , we have a dominant market share position there in India. We have faced low growth, I would say, than expected in the last two -three quarters, because overall the market has not grown as much. But this is a segment which we see that as only as a temporary slowdown. It will pick up as it is very closely linked to t he infrastructure and especially expansion of the infrastructure into the Tier III and Tier IV cities. We also expect that this industrial solution and fire pump, especially there is a good opportunity to grow that business in the Middle East and Africa. And the new team we are building will be focused on that. I could say that it will improve in terms of growth. But our main growth engines will be energy solutions and the mobility solution. And just as a data point, and you will also see that in our invest or relations, we have had the first success because we have signed an agreement with the European customer for the fire pump application.
Moderator: Thank you. The next question is from Nilesh Doshi from Prospero Finvest Limited. Please go ahead.
Nilesh Doshi: My question is related to Greaves Electric Mobility IPO because as per the DRHP, the large portion is the OFS. So how the balance amount comes to the subsidiary will help the subsidiary to achieve the breakeven?
Akhila Balachandar: Sure. So, Nilesh, if you go through the DRHP, we have a primary issue of 1 ,000 crores . And there is a breakdown of the utilization of 1,000 crores . Apart from this, there will be an offer for

sale. So, it is not only an offer for sale, it's a primary plus a smaller portion pertaining to the offer for sale. So , the money raised from the primary will be directly infused into Greaves Electric Mobility. And this will help them in their vision going forward and grow forward. The details of the utilization, as I said, are very clearly spelled out in the DRHP.
Nilesh Doshi: So, madam, if I am not making a mistake, the Rs. 1,000 crores comes to the Greaves Electric Mobility and the other portion, the extra portion will go to the current promoter, the Greaves Cotton and other promoter. Is it right?
Akhila Balachandar: That is correct. Your understanding is absolutely correct.
Nilesh Doshi: So, in continuation to that question , our DRHP is being approved in May 2025 and still the IPO has not come. So , when the IPO is now planned or in any case, if the IPO could not come, what is another alternative for the company to raise the fund?
Akhila Balachandar: Sure. So , as you rightly said, we have received final observations in May , 2025 and we have time till one year, which is therefore valid till May 2026. We are currently, as I said, in the process of working on the IPO. And since this is a work in progress and already in the public domain, I am not sure that we are looking at any plan B. The plan A is to go for the IPO and we are working on that.
Nilesh Doshi: And in the current press release, it is informed that the Rs. 500 to 700 crores of the CAPEX is planned. So , is it restricted to Greaves Cotton or for the subsidiary also? It covers the Greaves Cotton only or the subsidiary, that Rs. 700 crores ?
Parag Satpute: These 500 to 700 crores that we talk about is for the core business of Greaves Cotton , which in these three segments w

e talk about in energy solutions, mobility solutions and industrial solutions.
Nilesh Doshi: And fund mobilization from the internal accrual or we will go for any debt raising or like that or what is the plan for the fund?
Parag Satpute: This is from internal.
Akhila Balachandar: So, if you go through our financial results, we have approximately (+250) crores of cash on the books. And therefore, we are very confident. And if you also see my results, we are generating operating cash on a quarterly basis. We are comfortable that we will be able to fund this internally.
Moderator: Thank you. Next question is from Saket Kapoor from Kapoor Co. Please go ahead.
Saket Kapoor: Thank you. Namaskar, sir and thank you for this opportunity. In continuation to the earlier participant, firstly, ma'am, with respect to the IPO of the Greaves Mobility Solution company, when we will be able to raise, how will be then the equity structured in terms of promoter holding, provided we are able to raise something at enterprise value, drawn value for 1 ,000

crores ? How will be then the numbers will be reflecting in the P&L of the current existing company Greaves Cotton? Whether we will be line by line or only an associate company? How will that shape up going ahead?

Akhila Balachandar: Thanks for the question. But some of these are best answer ed post IPO, because all these will depend on the exact capital structure of the company post IPO and how it reflects on our books. It is very premature for me to comment on it at this point in time.

Saket Kapo or: And depending upon the fund that will be raised, then the cash flows and the dependence on the currently on the promoter company will not be required. So that is the only fair understanding investors can keep in mind that by May, we should expect that this depleting of the profitability for the parent company because of consolidation and its financial support to the mobility franchise will cease and we will have fair understanding of the core operations of the company.

Parag Satpute: That's a fair understanding.

Saket Kapoor: Right, sir. And taking into account the core business, our bread and butter, where we are earning the cash flow, there are challenges in terms of these engines being the ICE engines or being run by the fuel diesel and that also being phased out in a manner going ahead. So, what's the current strategy or the thought process of the management in terms of our whole and sole focus on the most profitable segment? And if you could just give some color or appraisals on the same.

Parag Satpute: Yes, indeed. Definitely. When we were working with the strategy before we launched it, we, of course, did thorough analysis, not just of the current situation, but how the market landscape will look in the coming few years because of strategies for the nex t 5 years. So, on one hand, yes, diesel has seen a decline. But what I can tell you is that we believe going ahead and especially for the next 5 to 7 year period, the fuel, it will be a mixed fuel portfolio that most companies will go for. So, the sharp de cline we have seen recently, especially for the automotive industry in the diesel will stabilize. Currently, it's at around 18% to 20% of market. We expect it to only have a gradual decline. But on the other hand, there are segments where we expect it will continue to be a dominant technology.

Let me take the genset segment. So, due to the nature of the application there, we believe that in the near future in India, in many of the developing countries, gensets will continue to be a very - very important part of the supply. And multiple studies we have done and external reports we have received show that there is 8 % to 10% growth happening in this space. So that's on what will happen to the current portfolio. But we believe as Greaves, we have already

started working
on the next level and started to see the benefits of that. To give you two or three examples. One, the Excel Controlinkage acquisition we did is an auto components or engineered components business, which helps to make our portfolio resilient. That is one. On the second hand, in our strong space of three wheelers, we have already invested in electric powertrain. We are already supplying electric motors to the L3 and now very soon to the L5 segment. We have strong technological partnerships with companies such as Chara, which are focused o n future rare earth free motors. So that's the second way we are making our portfolio more resilient.

And thirdly, we have also opened up new application areas. A case in point is the recent success we have had with the European customer called Li gier, where we are supplying not just the engine, but the whole engine systems and systems around it for application of micro cars. This application, it's a niche application, we believe that it will remain in place for the coming future. So in that way, we see that we will be able to deliver on the 16 % to 18% growth that we have committed to in the ‘GREAVES.NEXT’ strategy with the portfolio and the plans that we have. Hope that answers some of your questions there.

Moderator: Thank you. The next question is from Rohan Mehta, who is an individual investor. Please go ahead.

Rohan Mehta: Hello, good evening, sir. Thank you for the opportunity. So, you spoke about inorganic opportunities. So, the CAGR target that we have of somewhere around 15 % to 20 odd% over the next few years. Do you see a breakup of how much is expected from organic growth vis-à-vis inorganic?

Parag Satpute: Thank you for your question, Rohan. The 16% to 18% target we have is for organic growth. Any inorganic growth we expect will be on top of that.

Rohan Mehta: Thank you.

Moderator: The next question is from Dhruv Zobalia from Prospero Tree. Please go ahead.

Dhruv Zobalia: Hello, sir. Thank you again for the opportunity. I would like to ask that since you mentioned earlier about the CAPEX planning, which will be for the core business, but I would also like to ask that since we have cash balance of about 250 crores and in future we will focus more on the CAPEX side for the core business or for covering the losses for our subsidiaries till the time the IPO is approved and launched.

Parag Satpute: I am not sure I fully understood the question. The CAPEX we have laid out, the 500 to 700 crores is something that we have planned for to help grow the core businesses and to achieve the growth of 16 % to 18%. And we believe we will be able to do that based on the way we are generating the cash and our current cash balance.

Moderator: Thank you. The next question is from Saptarshi Bhattacharya.

Saptarshi Bhattacharya: My question is on Greaves Technologies. So initially it was a subsidiary company and now it is part of the core business. So now I see that there has been hiring done from competitor companies which are in ER&D space. So how do we plan to grow this particular business?

Parag Satpute: Thank you for your question, Saptarshi. I think we have well noticed that Greaves Technologies is an interesting asset we have. It was an acquisition we did a few years ago. What we see, it's a very interesting niche. We employ about 400 highly skilled engineers there and we are providing engineering and R&D services to some marquee customers in the automotive industry. We now are looking to see how we can leverage this asset that we have at. The first step is to use their

skills to help grow the Greaves core businesses. As you saw we have a lot of ambition on improving technology and becoming a future ready engineering solutions company. So as a first we will use the

m internally and then of course we want to grow their exte rnal business. So the 16% to 18% growth target I have given, it kind of includes some of the upside we will see from selling ER &D services as well. But we see that as a good and core component of the overall portfolio we have.

Moderator: Thank you very much. Due to time constraints, we will take that as the last question. I would now like to hand the conference over to Mr. Parag Satpute for closing comments.

Parag Satpute: Thank you very much. I appreciate all of you for joining us today. We appreciate your trust and your ongoing confidence in our journey. We remain committed to delivering a strong performance and are excited about the opportunities that we see ahead. On behalf of the full managem ent team, I would like to thank everyone once again, not just for the time but for the continued engagement. Thank you.

Moderator: Thank you very much. On behalf of Greaves Cotton Limited, that concludes the conference. Thank you for joining us ladies and gentlemen. You may now disconnect your lines.

Note: This transcript has been edited to improve readability.

This transcript contains statements that contain "forward looking statements" including, but without limitation, statements relating to the implementation of strategic initiatives, and other statements relating to Greaves Cotton ("Greaves" or the Company) future business developments and economic performance. While these forward - looking statements indicate our assessment and future expectations concerning the development of our business, a number of risks, uncertainties and other unknown factors could cause actual developments and results to differ materially from our expectations. These factors include, but are not limited to, general market, macro -economic, governmental and regulatory trends, movements in currency exchange and interest rates, competitive pressures, technological developments, changes in the financial conditions of third parties dealing with us, legislative developments, and other key factors that could affect our business and financial performance. Greaves undertakes no obligation to publicly revise any forward -looking statements to reflect future / likely events or circumstances.

GREAVES ELECTRIC MOBILITY LIMITED is proposing, subject to receipt of requisite approvals, market conditions and other considerations, to make an initial public offering of its equity shares and has filed a draft red herring prospectus dated December 23, 2 024 (“DRHP”) with SEBI and the Stock Exchanges. The DRHP is available on the website of SEBI at www.sebi.gov.in , on the websites of the Stock Exchanges, i.e., BSE and NSE at www.bseindia.com and www.nseindia.com , respectively, on the website of the Company at www.greaveselectricmobility.com and on the websites of the BRLMs, i.e. Motilal Oswal Investment Advisors

Limited at www.motilaloswalgroup.com, IIFL Capital Services Limited (formerly known as IIFL Securities Limited) at www.iiflcap.com and JM Financial Limited at www.jmfl.com , respectively. Any potential investors should note that investment in equity shares involves a high degree of risk. For details, potential investors should refer to the red herring prospectus which may be filed with the Registrar of Companies, Tamil Nadu at Chennai in the future. Potential Bidders should not rely on the DRHP filed with SEBI and the Stock Exchanges in making any investment decision.

This announcement does not constitute an invitation or offer of securities for sale in any jurisdiction. The Equity Shares have not been and will not be registered under the U.S. Securities Act of 1933, as amended (" U.S. Securities Act "), and may not be offered or sold within the United States except pursuant to an exemption from, or in a transact

ion not subject to, the registration requirements of the U.S. Securities Act and applicable U.S. state securities laws. Accordingly, the Equit y Shares are only being offered and sold (i) within the United States to "qualified institutional buyers" (as defined in Rule 144A under the U.S. Securities Act) in private transactions exempt from the registration requirements of the U.S. Securities Act, and (ii) outside the United States in offshore transactions in reliance on Regulation S and the applicable laws of the jurisdiction where those offers and sales occur. There will be no public offering of the Equity Shares in the United States.